

NMDC Ltd. (NMDC)

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Call: May 2023

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NMDC Limited

(~ IRC6'R' C5T ~) (A GOVT. OF INDIA ENTERPRISE)

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~ ~ 'ffism I Corporate Identity Number: L 13100TG1958 GOI 001674

No.18(5)/2023 -Sectt. 30.05.2023

BSE Limited National Stock Exchange of India Limited

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Calcutta Stock Exchange Limited

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Kolkata, West Bengal 700001

Dear Sir I Madam,

Sub: Transcript of NMDC Limited post Q4 FY23 -Analyst I Investors Conference

Call held on 24th May 2023 at 1200 hrs.

Ref: Regulation 30 of SEBI {Listing Obligations and Disclosure Requirements)

Regulations, 2015; NSE Symbol: NMDC; BSE Scrip Code: 526371

Reference the captioned subject, please find enclosed Transcript of NMDC Limited post

Q4 FY23 Analyst I Investors Conference Call held on 24th May 2023 at 1200 hrs. The

same is also being uploaded on the website of the Company.

This is for your information and records.

Thanking you,

Encl: As above. Yours faithfully,

for NMDC Limited

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A.S. Pardha Saradhi

Executive Director &

Company Secretary

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"NMDC Limited Q4 FY2023

Conference Call"

May 24, 2023

ANALYST: MR. AMIT DIXIT – ICICI SECURITIES LIMITED

MANAGEMENT : MR. AMITAVA MUKHERJEE – CHAIRMAN & MANAGING

DIRECTOR – ADDITIONAL CHARGE & DIRECTOR

FINANCE – NMDC LIMITED

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Page 2 of 20 Moderator : Ladies and gentlemen, good day and welcome to the NMDC Limited Conference Call hosted by ICICI Securities. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and "0" on your touchstone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixit. Thank you and to you Sir!

Amit Dixit : Thanks Seema. Good afternoon everyone. At the outset, I would like to thank the management of NMDC for giving us an opportunity to host this call. From the management side, we have Mr. Amitava Mukherjee – Chairman and Managing Director (Additional Charge) & Director Finance. We are going to start the call with the opening remarks from Mr. Mukherjee on the performance of the company and the outlook post which we will open the forum for Q&A. Without much ado, I would hand over the call to Mr. Mukherjee. Over to you Sir.

Amitava Mukherjee: Thank you very much and my apologies for being delayed by a couple of minutes by some time. Q4 has been as you know you have seen the numbers have been extraordinary for us. It is almost the best Q4 ever both in terms of production and in terms of sales. The margins we could hold the prices in Q4 despite a lot of headwinds in pricing. Naturally because of the Q4 performance our overall performance for the financial year has also improved and with a net profit of Rs.550 Crores I think that is reasonably satisfactory. Of course we have been helped by two extraordinary items. One was the sale of NINL where we made around Rs.280 Crores and the interim relief given by the Supreme Court for around Rs.950 Crores so these two did help but going forward we look to better these figures both in terms of production. We see FY2024 to be anywhere between 46 to 49, 50 million tonnes of production and sales and net profit of more than Rs.5500 Crores that we did this year. Of course we will not touch the FY2022 figures.

That was all-time high but given the volume guidance that we have taken for the current fiscal and the pricing outlook which might be a little challenge in the first two quarters but going forward in the Q3 and Q4 let us see how it pans out but the increased volume would actually sustain us through a greater bottom line than it was done this year. So we can now take the questions.

Moderator : Thank you very much. We will now begin with the question-and-answer session. We will take our first question from the line of Ashish Kejriwal from Nuvama Institutional Equities. Please go-ahead Sir.

Ashish Kejriwal: Good morning and thanks for taking my question. Sir three questions from my side, one is on steel plant? We have spent around Rs.2500 Crores and we have shown this as a non-NMDC Limited
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Page 3 of 20 current assets in steel plant so first question is why we have not given it to while at the time of the demerger not to steel plant and if it is not happening then when the plant gets sold will we get back it that time only or will it linger longer and associated with that when we are expecting this plant to be commissioned?

Amitava Mukherjee: So this plant will be commissioned in June end that is for sure because all the ancillary plants now have been commissioned both the coke oven batteries, the central plant, the power blowing station, and the oxygen plant all of them have been commissioned and are already producing. We are already producing and selling coke and blast furnace refurbishment is on. I think that we should be able to blow in around June 15, 2023, and we should be able to get process the hot metal into steel in the SMS and then roll it to get the hot coils by end of June so we have a clear visibility now and we are confident that by end of June we will be able to roll out the coils. So far as the capex is concerned, yes as you know that since the plant has not been commissioned even all the opex is being right now booked into the capital work in progress and whatever coal we are buying of course is to run the coke oven plant is also being booked into capital work in progress as the sale of coal is being credited to the capital work in progress. It is reducing the work in progress. It will get commissioned within the next one month and the capex till date I think is around Rs.22,935 Crores so approximately Rs.23,000 Crores as of date which includes the amount of coal that we have bought and less the amount of coke that we have sold.

Ashish Kejriwal: Sir my first question was that now when NMDC spent Rs.25000 Crores on NMDC steel plant and still it is showing under our books as non-current assets so why we have not...

Amitava Mukherjee: It is showing as Rs.2500 Crores.

Ashish Kejriwal: Rs.25000 Crores?

Amitava Mukherjee: That is inter corporate outstanding. That is inter corporate outstanding why because you see from the appointed date is January 1, 2021, and the actual demerger took place on October 13, 2022, so in this intervening period whatever I have spent for the steel plant we are supposed to get back. That is why it is being shown. This is not a loan. This is an inter corporate outstanding. It is obviously a noninterest bearing. Had it been a loan of course

inter corporate loan is now guided by section 196 that is a different ball game altogether but this represents all the amount that is due for the expenditure that we made in the intervening period of January 4, 2021, to October 13, 2022.

Ashish Kejriwal: Okay so Sir are we still spending on this and once the plant gets sold will we get back at the same time or?

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Page 4 of 20 Amitava Mukherjee: Yes even if the plant does not get sold once it starts commissioning and once it gets commissioned and starts earning this will be paid back to us, even if it is not sold and even if it is sold later. Of course if it is sold then I will be accredited. I will

sit on the creditor in

their books and even if it is not sold and once the revenue starts coming in, we are a creditor in their books and naturally all this money will come back to us.

Ashish Kejriwal: Sure that is clear Sir and Sir second question is on the capex? Now we are in the middle of doing some study pipeline and other production enhancing projects so is it possible to update what could be the probable capex in FY2024 and FY2025 and what are on those?

Amitava Mukherjee: FY2024 we should be doing around Rs.2000 Crores at least on the ongoing projects if not more and we are in the process of getting a lot of capacity enhancement work sanctioned. Most of them are on drawing board now but all these sanctions we plan to complete in the next six to nine months so once those sanctions are there so in a FY2025 there will be the tendering and going forward I think we will utilize most of our cash balances for projects that we have and we intend to spend in the journey to about 100 million tonne capacity of both production and dispatch at least Rs.3000 Crores a year going forward in the next few years.

Ashish Kejriwal: Rs.3000 Crores per year?

Amitava Mukherjee: Yes because we already have some of the major projects are going on. The pellet plant is around Rs.1200 Crores the slurry pipeline laying itself is around Rs.1100 Crores. The initial plant is around Rs.900 Crores. The SP3 or the screening plant three in Kirandul is around Rs.3000 Crores. The recently sanctioned work for increasing capacity of deposit 14 and deposit 11C in Kirandul is around Rs.1100 Crores. The SP2 which is already sanctioned and most of the clearance has been received. Now it is at the tendering stage at SP2 at Karnataka. It is around Rs.1000 Crores so we have a major project has have already been sanctioned. Some of them are in execution. Some of them are in tendering stage and some of them are at the approval stage.

Ashish Kejriwal: Sure thank you and all the best Sir. I will come back in the queue.

Moderator : Thank you Sir. We take the next question from the line of Mohammed Farooq from Pearl Capital. Please go ahead.

Mohammed Farooq: Good afternoon. Thank you for the opportunity. I have been following up on the monthly production figures of NMDC for the past 26 months so I noticed that your production is directly related to your monthly sales and 80% or more of your sales come from four clients

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Page 5 of 20 RINL, JSW has more than 50% share and you mentioned in the last meeting that you are interested in export opportunities also but your exports are zero? Even last year when the iron ore price were above \$180 for more than three months you did not export so can you please let us know if NMDC is really interested in exports or what if one of your major clients for whatsoever reason reduce buying from NMDC what is your plan B one is about exports?

Amitava Mukherjee: Yes exports it depends whether it makes an economic case or not. As of now even at \$180 it did not make an economic case because our domestic realization would have been more than the net export realization because you must realize that at around the export duty on iron ore is 30% percent so if you work back and see at the ultimate after accounting for the logistic cost, the export duties and other things if it is more profitable for us to export then we do export it but the current prices and even at 180 when the prices were 180 of course our domestic prices were also higher so we always keep a tab whether it is more profitable for us to export the on the net realization basis or it is more profitable for us to sell at the domestic market so as of now the math's always works out in favor of the domestic market because our net sales realization in the domestic market appear to be higher when we compare it so that is why unless there is a severe downturn of demand and we are compelled to export which

is a less profitable option for us we would not export but yes as

you said the export is always the plan B because if some of our major customers for some reason their off take is severely curtailed then of course just to maintain the volumes we

will have to export even at a relative disadvantage of it but we do not see that happening in the near future. Most of our major customers have major, major expansion plans and if you see the off take of major plants like JSW or AMNX that that has increased in the last financial year as compared to the year prior to that.

Mohammed Farooq: Okay Sir one more thing Sir. Last year May not that good because of the export ban and also weather conditions so what about this year? Do you really see a good improvement over last year in the month of May?

Amitava Mukherjee: In the month of May.

Mohammed Farooq: Yes for the current month production and sales?

Amitava Mukherjee: For the current month yes. March we did a historic figure of 5.5 million in one month which has never happened in NMDC. April we have continued the momentum. Our April was the biggest April ever and May also our numbers have of course I cannot give you the number because that has not been declared in the stock exchange but as of now our progress in May

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Page 6 of 20 has been much more satisfactory as compared to any of the previous May so Q1 also we expect that we would end up as one of the highest Q1 in the history of NMDC.

Mohammed Farooq: Current Q1 will be the best one Sir that is what you are expecting?

Amitava Mukherjee: It looks as if the current April was definitely better. The momentum is continuing in May as well and naturally we are very optimistic about the Q1 scenario in terms of volume not in terms of prices.

Mohammed Farooq: Sir one last question Sir what about any new clients that you are adding? We see only JSW, RINL and ArcelorMittal and one more, these four clients 90% if we take? Any major client that you are going to add in the current year or next year?

Amitava Mukherjee: You see because of logistics in India you must understand that the iron ore market is geographically segregated so but where our mines are so Odisha obviously will cater to the plants that are easier and cheaper to transport from there and naturally our clientele in terms of geographical base has been more or less stable because that is how the markets within the country is also geographically segregated so unless these new plants come in the geographical areas that we serve which is the east coast and the Karnataka sector and the West Coast also where we serve unless capacity expansions come in there so naturally thankfully most of our main clients have major capacity expansion plans and some of them have already executed a major part of their expansion plans so accordingly we are very optimistic about the off take from our existing clients. Chhattisgarh is again another place where we have a very deep interest in but the real game changer would be when we get the slurry pipeline to Vizag and we are planning at least at the drawing board level we are planning to take the slurry pipeline another branch of it towards Raipur also. These two would be a major game changer.

Mohammed Farooq: When will that happen Sir?

Amitava Mukherjee: It will take another three to four years.

Mohammed Farooq: Sir last when is new chairman taking over Sir?

Amitava Mukherjee: I have no idea. It is way beyond me.

Mohammed Farooq: Thank you Sir. All the best.

Amitava Mukherjee: The chairman is appointed by the ACC so I have no idea of that.

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Page 7 of 20 Mohammed Farooq: Thank you Sir.

Moderator : Thank you Sir. The next question is from the line of Satyadeep Jain from Ambit Capital.

Please go-ahead Sir.

Satyadeep Jain: Sir thank you. A couple of questions one on the all the expansion plans obviously in Kirandul and generally in

Chhattisgarh when we look at all these expansion plans just want to get an update on the evacuation also where are we on the completion of KK9? Are there certain patches which are still pending and if there is any patch that is still pending what is causing that delay and when do you expect the entire KK9 to be completed?

Amitava Mukherjee: The KK9 line is 131-kilometer line and that has been doubled up to Nagarnar. A major part of it out about 150 kilometers about more than about 110 has already been done and the rest are in progress and the capacity of that line is supposed to increase from 28 million tonne to around 40 million tonne and railways has also undertaken a lot of doubling themselves beyond Nagarnar up to Vizag they are doing it in patches, but you must realize that in railways obviously whatever is done and is commissioned doubling the benefits of that keep on coming so it is it is not like a steel plant where the last mile has to be completed for getting the benefit of the entire project. We are already reaping the benefits of the patch about 110 kilometers that has been done. The rest of the 20 kilometers to 50 kilometers

that is left over is basically left over in the last phase that is between as that is near our mine head. Hopefully, what our interaction with railways is that by the end of 2024 the entire stretch would be completed and the capacity of the line would be a substantially increased but the issue is not a line capacity. That has never been constraint. The issue is rake availability so last quarter and especially in March the railways were able to provide us with adequate number of rakes and as a result the dispatches and consequently the production could be maintained so if the railways are able to provide us with adequate amount of rakes the dispatches and production can be enhanced substantially. We have very limited capacity of storage because the mine at the hilltop and we store at the valley and there is always a very limited capacity of storage so naturally unless we are able to dispatch it affects our production also and that majorly is affected by the rake availability and once the slurry pipeline comes in then that would be a greater game changer.

Satyadeep Jain: The slurry pipeline would connect to the steel plant also, when would that be completed?

Amitava Mukherjee: Yes as of now the work is in progress by I think 2025 end we should be able to commission the verification plant which is at the head end. The slurry pipeline progress is already out of 131 kilometers I think pipeline for 24 kilometers have already been laid. Another 24

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Page 8 of 20 kilometers they have been aligned for laying. Another 24 kilometers of pipes have already arrived which has not been aligned and only 24 kilometers of pipes are due to arrive so work is progressing and there are certain challenges sometimes. There are always site challenges and progress of work. The private plant is also being made so I think the entire system will be ready for use by FY2025.

Satyadeep Jain: Okay the second question on the off take by different consumers in different states? We are seeing a lot of I do not know auctions in Gadchiroli in Maharashtra? There is a lot of interest there? Obviously JSW has also won some mine there? Do you see some risk especially if you look at Western regions the off take from some of these Western players particularly gets limited and you have to find the other alternative buyers there?

Amitava Mukherjee: We are very keenly watching all our main customers. We always interact with them almost on a very, very regular basis and on a daily and weekly basis. We are aware of their expansion plans. We are aware how their expansion project is going and we are very hopeful that the approach that they are having towards their capacity expansion that our relationship with our main customers would always be dependent and obvi

ously we expect

that it is more of a symbiotic relationship that we would be able to service our major clients even more because we are also in the process of capacity substantially so I think that would be a win, win situation for both our customers and us.

Satyadeep Jain: Thank you so just please one quick question on the Rs.2500 Crores that is outstanding just a follow-up to Ashish question just want to clarify that amount will come back to NMDC within FY2024?

Amitava Mukherjee: It should of course. It should depending on how the plant is performing so that is something that would be coming back not in one shot, but on a regular basis that will come back to us.

Satyadeep Jain: Thank you so much.

Moderator : Thank you Sir. We take the next question from the line of Sumangal Nevatia from Kotak Securities. Please go-ahead Sir.

Sumangal Nevatia: Good afternoon and thank you for this opportunity. I joined the call late so please excuse if this is already discussed. First is that I wanted to know Sir what is a capex guidance this year it has been somewhere around Rs.1400 odd Crores so 2024 and 2025 annually how much are we looking to spend?

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Page 9 of 20 Amitava Mukherjee: For 2024 I think we should be able to do at least Rs.2000 Crores. 2025 onwards with the additional sanction of work because we are now once the steel plant is commissioned our total focus will be towards capacity expansion programs be it for our capacity enhancement of the production side or the dispatch side the dispatch infrastructure so going forward unless we do Rs.3000 Crores it will be difficult for us to reach the 100 million tonne and we are committed to the 100 million tonne target and accordingly we are focusing on getting these projects that are being executed to be completed and the projects that are already sanctioned to be tendered out and executed and sanction of a lot of new projects towards the 100 million tonne goal.

Sumangal Nevatia: Got that. Sir this quarter we started recovering the receivable from monitoring committee so if you could just highlight what is the outstanding receivable as on date and what is the timeline we are expecting the future recovery?

Amitava Mukherjee: We have been petitioning the Supreme Court for the last quite a few years last six to seven

years that 10% that the monetary committee had earlier retained it will be refunded to us and the Supreme Court has been kind enough to grant us an interim relief that whatever 10% was recovered between January 2019 and March 31, 2022, to be refunded to us. Accordingly we got about Rs.950 Crores. We are also approaching the Supreme Court to refund the entire amount from I think 2012 onwards to 2019 and that outstanding as of date is around Rs.1900 Crores after realization of this Rs.950 Crores interim relief that we have got from the Supreme Court. Thereafter we have around Rs.1900 Crores of outstanding to be recovered on the same account and we hope that the Supreme Court would be kind enough to sort of entertain our petition which has been there for long.

Sumangal Nevatia: Okay so Rs.1900 Crores which is outstanding which is before?

Amitava Mukherjee: January 1, 2019.

Sumangal Nevatia: Have we accrued anything after that I mean say in FY2023?

Amitava Mukherjee: There was some because of mid 2022 with last year what happened was that we have been since the monetary committee was disbanded so thereafter we are into direct sales and of course we are depositing 20% or 10% was earlier and 10% under protest but now that deposit has also been stopped. We did it for a couple of months but now that Supreme Court has given us the order that instead of 20% only 10% is to be recovered from NMDC as is being done for the other miners in Karnataka as well so naturally there is no current accrual to the old outstanding.

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Page 10 of 20 Sumangal Nevatia: Okay and Sir t

his is the net amount?

Amitava Mukherjee: Net amount yes. It is a net amount in the sense.

Sumangal Nevatia: We have written off something right?

Amitava Mukherjee: We used to write off this entire 20% as per Ind-As in our books as expected credit loss and SPV charges right. Now obviously that is why when we get back this Rs.950 Crores, it was not taxed. It is not a taxable income because the entire previous years we have already recognized this as an expenditure and accordingly the accounts are made of course when the tax are made these expenditures were disallowed and that should be added back while assessing the tax liability and accordingly now that we are getting the refund this is completely without any taxes.

Sumangal Nevatia: Got it alright Sir. Thank you and all the best.

Moderator : Thank you. We take the next question from the line of Kunal Kothari from Centrum Broking. Please go-ahead Sir.

Kunal Kothari: Thank you for the opportunity. Sir similar question on the monitoring committee expense so as you mentioned that from May 2022 it has been dissolved and from now on there will be no cost that we will be booking in our accounting statements so if I believe the yearly cost that we used to book is around Rs.500 Crores to Rs.600 Crores so from next year onwards like FY2024 this cost will not be incurred is my reading right?

Amitava Mukherjee: It will be incurred half because you see 20% was being recovered by the monetary committee, 10% on account of SPV and 10% on account of R&R. Of this 10% has been directed by the court that you should not recover and whatever you have required from January 1, 2019, should be refunded back to NMDC which has now already been done right. What we are fighting is the case of this day extra 10% between the inception that was around 2013 to now to 2019. In Karnataka all the other mines were only 10% was being deposited by them and NMDC was doing 20% so 10% will still continue to be paid to the state government towards the R&R charges towards SPV charges so I had earlier booked around Rs.500 Crores now it will be Rs.250 Crores but that will be partially offset by the additional 22.5% that we have to now pay Kumaraswamy because Kumaraswamy if you remember was recently renewed in October 2022 so from October 2022 there is an additional 22% on sales from Kumaraswamy so to that extent yes there are different items but if you see the overall impact you can check that 10% of sales and this is 5% of sales on NMDC Limited

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Page 11 of 20 50% of the production. It is a math that should be done overall but these are unrelated items I must say.

Kunal Kothari: Okay got it. Sir apart from the guidance you provided in FY2024 volume guidance what volume guidance that we can see in FY2025 as well?

Amitava Mukherjee: We have broken the 40 million tonne barrier last year. We did more than 40 million tonne this year. Going forward in FY2024, we expect to do anything between 46 million to 50 million tonnes depending on two or three things. One is of course the enhanced efficiency that we have in all the projects now that will account for some. You have seen March; you have seen April and we are into a major efficiency upgrade. The second is of course

Chhattisgarh monsoons. If it behaves normally then of course we get a greater time for mining and it really helps us. If the monsoons are affected then the production to the extent of almost around 1.5 to 2 million tonnes is affected but if the monsoons are normal so that we can do and the third thing we are depending very strongly on is the upgradation of the Kumaraswamy mine from 7 million tonnes to 10 million tonnes so for that the requisite regulatory authorities are being followed up and we have done a lot of formalities in this regard and hopefully somewhere around mid of this financial year we should be able to get that enhanced capacity put to use so considering all these t

three factors, I think anything between 46 to 50 would be imminently doable.

Kunal Kothari: Okay Sir. Thank you so much.

Moderator : Thank you Sir. We take the next question from the line of Kirtan Mehta from Bob Capital Markets. Please go-ahead Sir.

Kirtan Mehta: Thank you Sir for giving this opportunity. Just to sort of understand we are targeting 6 million tonne to 10 million tonne in?

Amitava Mukherjee: You are targeting.

Kirtan Mehta: 6 million tonne to 10 million tonne increase into the production next year and you just mentioned that 1.5 million tonne assuming the half year operation for the Kumaraswamy can add which are the other mines where this additional production would come through?

Amitava Mukherjee: The journey from current 40 to 67 or 70 up to 100 is basically divided into two parts. One is of course the generic increase on our existing mines the capacity for which a few mines like deposit 40 and deposit 11 C the projects have already been sanctioned for the others the projects are being sanctioned but apart from that we will need the operationalize of deposit

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Page 12 of 20 4 that is NMDC, CMDC, deposit 13 which is also under NMDC, CDMC and we have to source something from Orissa if possible. We are looking at various possibilities and some of it will have to come from overseas also because we have subsidiary company in Australia and that some amount would be offshore also so overall I think it is possible to reach a figure of 100 million tonnes in let us say six to seven years' time that certainly is a doable thing. In the immediate turn of course we are looking at 46 to 50 and is whatever call that is required whether we should work 24/7, 365 and increasing the production capacity of our existing plant for example the Bachel plant we are screening plant where we are increasing our existing capacity by around 2.5 million ton so all these I think will account for whatever we are aspiring for.

Kirtan Mehta: Right Sir and corresponding to this production guidance of 46 to 50 million tons what would be the sale guidance also we have seen sort of the inventory built up of around 2.8 million ton in the second half of the last financial year would that be sort of also considered sort of getting released during FY2024.

Amitava Mukherjee : Going forward FY2024 I think we should be doing 46 as I said.

Kirtan Mehta: What you are saying is production guidance is between 46 to 50 million tons. I was asking what was the corresponding sales guidance.

Amitava Mukherjee : That has to be in tandem with the production because as you know that we produce in the hills and we have very limited stocking capacity and which is almost now full so unless we sell we are not able to produce so as I said earlier in the question that in March we could do 5.5 million tonnes simply because our dispatches are very well supported by the railways so unless we dispatch so naturally availability of rigs which is a challenge we are working closely with the railways. We are building the slurry pipelines so the dispatches capacity has to be created in tandem and we have already created a storage yard at Kumaramaranga which is near Jabalpur which is about 100 kilometers from our mines so we are looking at all options so that dispatch does not become a constraint towards our production because as of now unless we are able to dispatch we are not able to produce

Moderator : Thank you. The next question is from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Good afternoon Sir so I had a question on the coal blocks Tokisud and Rohne coal blocks so any status update on that Sir.

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Page 13 of 20 Amitava Mukherjee : Tokisud in fact we have a meeting with the coal secretary tomorrow and day after. We are pursuing the case. There are issues regarding land acquisition there and that now we have decided

ed to go through the coal bearing act of land acquisition but since as you know these are not virgin blocks these were deallocated and then reallocated with us so there are some

complications regarding land acquisition. Once that is solved we should be able to do mining in a quick time frame. Of course Rohne is little later we should be able to start mining around 2025 because the approvals are under process. There also some land acquisition issues are there but those are being solved and most of it is forest land so we have to do some compensatory forestation so lot of activities are being simultaneously pursued in Rohne also but Rohne is a little later. It should come around 2025 and Tokisud if we are able to get the necessary approvals in terms of EC and other things and the land acquisition we should be good to go around next financial year or it will be at the later part of this financial year.

Pallav Agarwal: Sure Sir, so the exceptional income that we booked for this quarter so this money has actually already been received so it is reflecting in cash balance.

Amitava Mukherjee : It has been received in April. It was received long time back and the monitoring committee money has been received in the month of April. It was not received in March. I think the orders came in March. It came on February 22nd or 23rd of February something like that and the cash was received in the month of April. It is all realized.

Pallav Agarwal: Right so because now we have almost close to 7000 Crores cash and large buy back was something back is there any plan for probably buy back at some stage.

Amitava Mukherjee : Personally, I would like to invest all of this into capex because if we are going towards that 100 million target that we have we need some massive capex to be done because without that capex it is not going to come, so capex is right now our first priority for the enhancement.

Pallav Agarwal: Okay Sir thank you.

Moderator : Thank you. We take the next question from the line of Chirag Singhal from First Water Capital. Please go-ahead Sir.

Chirag Singhal : Thanks for the opportunity. Sir my first question was on the exports so the current international prices are around \$103 I wanted to know at what price it becomes viable for us to export.

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Page 14 of 20 Amitava Mukherjee : There is no particular number to that. It also depends at that point of time what is the domestic prices, you see how the economy case is made up. We take the international prices then from that there is a 30% export duty and then from that there is a logistic cost from here to the port which is around \$20 to Vizag, the port handling charges and other things itself become \$4 to \$5 so we account for all of these and the royalty, you account and then see what is your net export realization if you are making an export and generally the trend is that you see that the net realization from domestic sales actually become higher than the net realization from the export so as an economic case it is difficult, even we have seen at \$200 our prices we around 6000 then so naturally an economic case was not made out. The second case is whether you have a problem regarding your dispatches, so if some of your bigger clients there is an uptick issue then that has to act as sort of plan B that you do it to maintain volumes even if the relative realization in export is a little lower than the domestic one so we have not come to that stage as yet but yes you cannot rule out export you will have to create the infrastructure and keep the export potential ready because as somebody pointed out and very correctly that more than 70-80% of our sales to our few select customers and if something were to sort of be affected in one of the major customers then of course just to maintain the volume you will have to export even if at relatively slightly lower margin than the domestic, but as of now the domestic de

mand is adequate for us to

dispatch whatever we are able to produce.

Chirag Singhal : So if I look at the current domestic price so our price that we have declared is close to Rs.4000 would it be the right understanding that at the current domestic price if the international prices are let us say around \$120 it becomes viable for us to export at the current domestic prices.

Amitava Mukherjee : At the current domestic prices I think it will be more than \$130 would become viable, 30% is export duty, \$20 is the logistic cost, port cost and then there is around 19.8% on royalty and other thing that also goes from our pocket in case of exports because that is all inclusive money I get so when you work back it does not make an economic case for itself. At current I think it could be even more than \$130 at the current level of price. I have not done the math's but it can be done easily.

Moderator : Thank you. The next question is from the line of Rahul Jain from Systematix. Please go ahead.

Rahul Jain: Thanks for taking my question. Firstly on pricing we have seen a good deceleration in Chinese price but we have not really had any meaningful cut so are we seeing a situation that demand supply dynamics in India have turned quite favorable for the miners hence the

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Page 15 of 20 price correlation may not really hold like it as held in the past. In the sense we have seen a good price cut in China most likely a \$30 cut whereas we have seen Rs.100 per ton in mines that we have done so over the last three to four years.

Amitava Mukherjee : I have been saying that we are facing headwinds in terms of pricing. Obviously, we have been able to hold on as of now but there are several pricing pressure and several headwinds there is no doubt about that but even at \$100 and at the current prices we are at around at least 30% discount in the east coast. Of course at the west coast the spread between domestic prices and the international prices at landed cost basis would be much lower. It should be around at the current prices around 10% only, but in the east coast I think it is hovering in the range of 25 to 30%. Import duty is only 2.5%.

Rahul Jain: Right. Sir on NMDC steel so where is the dual process and also whenever the deal concludes you will have to purchase 10% will be at the price at which the purchase is done or at any different price how will that work out.

Amitava Mukherjee : I do not understand about the due diligence process because we are not driving the process. The investment is being driven by the government of India by the Ministry of Finance so we do not have exact visibility about the stage it has so we are not in a position to either confirm or deny or enlighten you with the details of the process or the stage of the process. Now regarding the 10% of course the government holds around 60 point some percent of the holding and it has decided to sell around 50% to its strategic partner now the rest of the percent whether it continues to hold in its own name or whether it transfers it to NMDC we do not have a visibility on that because no formal decision has been communicated to us and if the decision is taken though government of India share that to be transferred to NMDC at what prices can only be speculative because we have absolutely no visibility on either things as of now.

Rahul Jain: Okay Sir. Thank you.

Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go-ahead Sir.

Saket Kapoor: Thank you for the opportunity. I put forward my questions firstly for the slurry pipeline Sir what is the total capex that is being envisaged. How much have we spent in the current capital work in progress Sir an amount of Rs.1991 is being reflected as on 31st March 2023 so how much is on account of coal that lies because of the NMDC steel part and thirdly about the three factors which you mentioned for our pr

duction rising from 40 to 49

million. I find that the two factors are not controllable by us so how confident are you about NMDC Limited

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Page 16 of 20 first say about this monsoon part standing our way when you have given this guidance from 46 to 40 we must have the control over the factors. These were my question.

Amitava Mukherjee : So I will take the three questions separately. First is your question about slurry pipeline. The sanction cost of the slurry pipeline is around 2900 Crores. It is going to go up to 3500 Crores. We have spent till date 1240 Crores till date right and three majors works are progressing and progressing reasonably well, one is pellet plant it is being done by L&T that is around 1200 Crores, the other is the laying of the slurry pipeline which is again being done by L&T it is around 1200 Crores and the third is we have beneficiation plant of around 900 Crores so that is being done by KPTL so all these major contracts are progressing so we expect that this year there will be a substantial increase in the slurry pipeline expenditure. Apart from that we are also in the drawing board stage of making two more slurry pipelines one would be from Nagarnar towards Vizag and we are also thinking about the economic sustainability of having another pipeline from Nagarnar towards Raipur if that is possible and there is a small pipeline joining of course Kirandul to Bacheli so I think the phase two, phase three should cost at least 7 to 8000 Crores each because this 131 kilometers is going to cost us about 3400 to 3500 Crores so naturally that being almost double the length would be at least 7 to 8000 Crores at today's prices that is number one. Number two you asked about the steel plant.

Saket Kapoor: Yes Sir about the capital work in progress amount of 2000 Crores.

Amitava Mukherjee : Capital work in progress today is 22935 Crores, of course as you know that battery of coke oven has been commissioned, one battery was commissioned around 5 to 6 months back and the other has been commissioned about one and half months back so this coke oven we have operationalized. We are buying coal from Australia and also selling coke here so naturally because this plant has not been commissioned as per the accounting standards these are all booked plus CWIP or minus CWIP. The sales are booked as minus CWIP and the purchase of coal and other raw materials are booked as plus CWIP including all the cumulative expenditure up to May 2023 is around 22935 Crores that is around 23,000

Crores of which if you see the net coal impact is around about more than 1000 Crores that is what the coal we have bought minus the coke we have sold because we have to keep around 1.5 lakh coke ready for our blast furnace to be blown in and now that is almost ready and now we will be blowing in the blast furnace around 15th June and doing the mill and steel making shops by end of June so there we have a clear visibility out there. The third portion of guidance is of course you say some of it is uncontrollable factors like monsoon that is completely beyond our control but the approvals are partly under our control and we are actually expediting that following it up, whatever compliances are required. For example in NMDC Limited
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Page 17 of 20 Kumaraswamy we are doing it in double the speed and so it is partially under our control and the visibility that looks from us today that we should be able to get all the clearances by middle of this financial year and naturally that we are giving a band of taking the optimistic and the pessimistic scenario that around 46 to 50 would be the guidance. There is a spread there because we really do not know exactly when the approvals will come but we are following it up and we are fairly optimistic that they should come in the middle of the year and we should be able to take a substantial advantage of the enhanced 3 million capacity at

Kumaraswamy and monsoon of course as you know it is not in your hand but we have had two major monsoon so let us hope we do not mine on intense monsoon but we mind on extended monsoon, whether it rains for 30 mm a day or 50 mm a day, extended period that will cost us.

Saket Kapoor: Sir our losses in the pellet other business services sector are still continuing Sir. We lost around 154 Crores for FY2023 so what steps are we talking to mitigate the same.

Amitava Mukherjee : See the pellet plant is otherwise structurally okay and things are okay but you must realize that the pellet plant was designed for processing 85% slimes and now because of regulatory issues we are not being able to use our own slimes which is lying at 300 meters away from the pellet plant. It is not even 300 meters. I think it is around 100 meters from the pellet plant. It is on the edge of the pellet plant but because of the regulatory issues first the renewal of the Donimalai mine itself was delayed then when it was the delayed then there was a dispute regarding the tailing point itself now we are obviously pursuing with both the Ministry of Forest and the Government of Karnataka to give us permission to use our own tailings so hopefully that should take another 4 to 6 months and once we got those tailings we can run the pellet plant. Major loss-making unit was obviously Panna which is the diamond mine. The good news is that Supreme Court has allowed us that we should be doing the mining, has allowed us to do the mining and necessary approvals are being processed. The internal timelines and we are pretty confident that we should be able to do it. We should be able to start mining on first of October. First of October we should be able to start Panna mining but the good thing about Panna mining is that we now have additional source of income there whatever the black turf was there which was lying as waste around 5 to 7 million tonnes are there now finally the forest authorities and the environment authorities have allowed us to sell it in a limited way but that would also contribute to the overall and we expect Panna more than break even and turn in profits after a long time by next year because it will be October so maybe this year it will be just the losses will be minimized or maybe we will just about reach breakeven but going forward with the mining of diamond in Panna and also the sale of black turf which was otherwise a waste material we should be able to change the colour of the profit and loss from red to black.

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Page 18 of 20 Moderator : Thank you. We take the next question from the line of Nilesh Doshi from Prospero Finvest Limited. Please go ahead.

Nilesh Doshi : Thanks for the opportunity Sir. Sir do we have any agreement with the NMDC steel plant to supply the iron ore and if there is any agreement then how much the sales volume can be increased.

Amitava Mukherjee : Yes we have a long-term agreement with NMDC Steel Limited and naturally NMDC it will be viable for NMDC Steel Limited to buy from us only because of logistic cost and because of the geographical location of it and 3-million-ton plant at 1.8 tonnes of iron ore per ton of steel we should be selling around 4.5 to 5 million tonnes of iron ore per annum when the plant is on full capacity.

Nilesh Doshi : Because this will be addition to what earlier sales because the plant has not yet come.

Amitava Mukherjee : This is how we are looking at the 100-million-ton road map because it is not only a question of production, it is a question of sale also and NMDC Steel Limited is going to be one of our permanent and major customers going forward.

Nilesh Doshi : Okay Sir you have mentioned the export duty of 30% but is there any import duty and if

there is import duty what is the rate of import duty.

Amitava Mukherjee : It is only 2.5% the import duty and that is why the Indian miners like us we face the brunt of

lower international prices because then the steel makers have the option of buying from India our imported iron ore but we are unable to take the advantage of high international prices because when you discount it by 30% and then discount it by further 20% for royalty etc., and then discount it by another \$25 for the logistic cost so we are unable to take the advantage of high prices in the international market but the disadvantage is of lower prices in the international market affect us directly because the import duty is only 2.5%.

Nilesh Doshi : But there is any import quota.

Amitava Mukherjee : It is a free import.

Nilesh Doshi : Sir every month we announce the price of fines and iron ore so that prices and taxes the composition of the ultimate price is 50:50 because we announced the price without the royalty and other duty so additional royalty so what is the ultimate price to the buyer.

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Page 19 of 20 Amitava Mukherjee : 20% is around taxes and duties, 15% is royalty, 30% on royalty is your DMF and 2% on royalty is your annuity so all this add up to 19.8% of our declared prices and on landed cost basis then you will have to factor in where your customer is because logistic cost is also very substantial. From here to Vizag itself it is around \$20 and then if you are taking it to the west coast then there is port handling charges and then there is sea freight etc. It depends on where you are.

Nilesh Doshi : If you permit I will ask only the last question you said that you believe in massive capex to improve our profitability in the future but already we have 7000 Crores on the balance sheet and we are generating enough cash from our current operation is it not wise to distribute that amount to the shareholder in the form of either dividend or buyback.

Amitava Mukherjee : If you see the history of NMDC we have been distributing in either form around 45% of our net profits every year, this year we have distributed a little less because our profits were little less and we have some capex plans as well so we have distributed overall Rs.6.6 per share which translates into approximately 35-36% of our net profit so we have been very generous in terms of pay outs to the shareholders and as you know that our dividend yield is also one of the highest in the country which most of the public sectors are there.

Moderator: Thank you. Ladies and gentlemen due to time constraint that was the last question for today. I now hand the conference over to Mr. Amit Dixit for closing comments. Thank you and over to you Sir.

Amit Dixit : Thanks everyone for joining the call and participating in the discussion this afternoon. I would sincerely thank Mr. Mukherjee for very patiently answering all the questions. I would now like to hand the call over to you Sir for any closing comments.

Amitava Mukherjee: Well I wish to thank all the participants for taking the time out and we will be very happy to have more questions offline and if you have any queries do please contact my office and we will be happy to obviously give you all of the clarifications. I believe that going forward NMDC has bright future essentially because now that the steel plant has been demerged and it will be commissioned I think the focus now will be completely on enhancement of the mining business which because of the steel plant was both in terms of human resources and in terms of financial resources that was a very resource consuming effort that we had, but now that it is getting not only it has demerged and formed into a new company and we are going to commission it now the focus would of course be on the mining business and the projects related to mining business and going forward I think the growth trajectory of NMDC will completely change. I think the growth graph would be much steeper and much

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Page 20 of 20 sharp then it has ever been in the past 8 to 10 years

so I think NMDC is a story to stay interested in. Thank you so much.

Moderator: On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

No.18(5)/2023-Sectt. 23.08.2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001
National Stock Exchange of India Limited
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Bandra-Kurla Complex,
Bandra (East), Mumbai – 400051
Calcutta Stock Exchange Limited
7, Lyons Range, Murgighata,
Dalhousie,
Kolkata, West Bengal 700001

Dear Sir / Madam,

Sub: Transcript of NMDC Limited post Q1 FY24 – Analyst / Investors Conference
Call held on 17th August 2023.

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015; NSE Symbol: NMDC; BSE Scrip Code: 526371

Reference the captioned subject, please find enclosed Transcript of NMDC Limited post
Q1 FY24 Analyst / Investors Conference Call held on 17th August 2023. The same is
also being uploaded on the website of the Company.

This is for your information and records.

Thanking you,
Yours faithfully,
for NMDC Limited

A.S. Pardha Saradhi
Executive Director &
Company Secretary
Encl: As above.
Page 1 of 17

“NMDC Limited
Q1 FY2024 Conference Call”

August 17, 2023

ANALYST: MR. AMIT DIXIT – ICICI SECURITIES LIMITED

MANAGEMENT : MR. AMITAVA MUKHERJEE – CHAIRMAN & MANAGING
DIRECTOR (ADDITIONAL CHARGE) & DIRECTOR
(FINANCE) – NMDC LIMITED
NMDC Limited
August 17, 2023

Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY2024 Earnings Conference Call of NMDC hosted by ICICI Securities. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and to you Mr. Dixit!

Amit Dixit : Thanks Michelle and good morning everyone. On behalf of ICICI Securities I welcome all of you for NMDC Q1 FY2024 earnings call. At the outset I would like to thank the management for giving us an opportunity to host this call. We will begin this call with brief opening remarks from the management post which we will open for interactive Q&A. Thanks and over to you Sir!

Amitava Mukherjee: Good morning everybody. So thank you for connecting and this has been the best quarter Q1 ever since inception for NMDC and not only Q1 it has been the best Q1, Q2, Q3 aside the Q4 which is of course always the star quarter if you leave out that quarter so this has been the best ever quarter except in Q4. Good thing is that April, May and June they individually have also been the best both in terms of production and sales since inception so that is a remarkable achievement that we have been able to log and this absolutely dovetails with our annual plan of anything between 47 to 49 and God willing even up to 50, so to that extent as per the annual plan we are on the right track. The most harping aspect is that this time our sales has been till July about a million tonne over our production that is nearly heartening, that gives us great leverage and also as the production goes up our cost of production per tonne comes down and despite the margin pressure that we have as you know that we have taken price adjustment a couple of days back so despite those small hiccups in prices because of the increase in volume and a consequential reduction in prices, cost per tonne I am confident that we will be able to maintain our overall EBITDA margin of 41% on an annual basis, so overall what has been has been good and what we are looking at is also very encouraging, so I think we can now sort of have a firm footing where we can make this quantum leap to a 100 billion tonne in the next five to six years for which our plans are right now. So

me of them are already being executed and some of them are at driving mode stage and we hope that we would be able to do that by 2030. We already have a new NMDC logo for NMDC 2.0. It speaks about our commitment, it speaks about our aspirations, it speaks about our pride past, and so going forward we are very hopeful and very, very optimistic of the future, so thank you. You can ask the questions now. Moderator : Thank you very much Sir. We will now begin the question and answer session. The first question is from the line of Alok Deora from Motilal Oswal. Please go ahead Sir.

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Page 3 of 17 Alok Deora : Sir just wanted to understand this price which we give including royalty, DMF and NMET so if we just want to calculate it as against the previous prices, which you used to give excluding that then what would be the typical differential between that, so just if you could indicate how much is the difference now for these three items?

Amitava Mukherjee: The normal loading is around 21% because of the royalty issue but that is not the only thing while going for integrated pricing internally we have seen the correlation that is there between our prices and the IBM prices generally 0.996 in Chhattisgarh and 0.992 in Karnataka so we have had a recession and we have checked out so we have had a factor of neutralizing that as well so it will not be a straight-to-straight. The last time we declared in July so it is not a straight sort of 21% loading so it was an internal mechanism that we sort of where we hedged our risk for the first time against the IBM prices that could be fluctuating so after hedging then we declared our prices so if you ask a straight correlation I do not think it will be arrived at but it will be around 21-22% around that percentage and going forward after three months when things settle down I think that would come to around 21.4% but you cannot have a one-to-one correlation.

Alok Deora : Sure any update on this NMDC steel plant any update on that?

Amitava Mukherjee: Yes we have commissioned the blast furnace.

Alok Deora : I think a few days back only.

Amitava Mukherjee: On 12th we highlighted it, now hot metal is coming out and I think in another two to three days hopefully the silica will come down to less than 1% and then we can take it to the SMS and then roll it, so I am looking at somewhere around anything between 20th and 23rd so that this plant will be fully commissioned because we have already produced about 3000 tonnes per day right now the output will go up and this silica will slightly come down. We have already started the pig casting machine so it is taking that, it is on online after the commissioning of the blast furnace. Another seven days I think we should be done and

dusted.

Alok Deora : Yes sure. I was asking actually from the time any this disinvestment any update on that?

Amitava Mukherjee: So that type of process is being run by DIPAM so as you know that the EOI had been called for and this is a state-of-the-art plant so obviously there is a lot of interest. Exact numbers I cannot say whether it is five or eight people have applied but I have told that a lot of. We are not privy to the names who have participated but there has been more than adequate interest in that so which is very obvious because it is a state-of-the-art plant and absolutely the modern plant so naturally there has been more than adequate interest. Now that the

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Page 4 of 17 commissioning will be done I understand that the pace will pick up because a lot of things where people were looking at the commissioning to happen first so now that is done I think the pace will pick up but it is not being run by us it is being run by DIPAM that you have to understand.

Alok Deora : Got it just last question, so just some status update on the capex plans which we have been undertaking what is the status on that,

is it progressing as per the plan or any changes?

Amitava Mukherjee: As you know that we did including Nagarnar last year around 35 to 3600 Crores, this year excluding Nagarnar although we are targeting at around 1600 to 1700 Crores but I think we should be doing around 2000 Crores, so now we have got major project sanction so going forward I think the normal would be at around if I am to go to 100 million tonne in the next five to six years then the total investments per year has to be more 5000 to 6000 Crores, when we get all our projects sanctioned somewhere in the vicinity of 7 to 8000 Crores going forward three years from now, once we get all the projects sanctioned. Our existing projects for the next two years should be I think more than 2500.

Alok Deora : Sure. That is all from my side. Thank you and all the best Sir.

Moderator : We will move on to the next question which is from the line of Pallav Agarwal from Antique Stock Broking Limited. Please go ahead.

Pallav Agarwal: Just wanted to know on any updates on the coal blocks so when are we planning to commission, what production targets are there?

Amitava Mukherjee: As you know that there are two that we have. One is Tokisud the other is Rohne. Tokisud we are in the land acquisition phase of course, now we are going for both this coal blocks under the coal bearing area acquisition which is CBA Act. We have applied to the Ministry of Coal for the relevant notifications and that would expedite. Hopefully as you know in Tokisud we have already appointed an MDO, so once the clearances are there it should take about a year end somewhere around early next financial year or in the closing stages of this financial year we hope to do some mining in Tokisud. Rohne is of course more than a year away. Rohne would take us somewhere around FY2025 mid or somewhere around that but that is the bigger problem. The main thing is now that we need the notifications of the CBA Act.

Pallav Agarwal: Sure Sir, also Sir any update on the SPV amount that 50% balance that we were to receive so is it possible to receive that in this FY2024?

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Page 5 of 17 Amitava Mukherjee: We have petitioned to the topmost Court so we are waiting for a decision. We are confident that it will come in our favor but of course we cannot set our timeline. I hope that we will get it this financial year. I hope that we will win.

Pallav Agarwal: Currently whatever we are selling in Karnataka are we paying that 20% or we are paying only 10% right now?

Amitava Mukherjee: It is only 10%. We won that case so it is only 10% now. They refunded us around 990 odd Crores.

Pallav Agarwal: Last thing Sir. We got this clearance to expand the mining capacity at Karnataka so will we see some incremental volume?

Amitava Mukherjee: Yes we hope to operationalize that. You see we have got the environmental clearance we have got it for 10 million tonne, now one more clearance from the Monetary Committee is required because Karnataka itself is fully capped so that cap needs to be readjusted from that 35 million tonne or 40 million tonne cap of that area and that has to be redistributed only that is left, so hopefully if we get it soon our target to operationalize that is around October 1, 2023 the additional and if that comes through I think we should be getting at least two out of the three and that is why our current guidance as I said in my opening remark is around 47 to 49 and hopefully 50. It all depends on how soon we can operationalize these things.

Pallav Agarwal: Right Sir. Thank you so much.

Moderator : Thank you. We will take the next question from the line of Sumangal Nevatia from Kotak

Securities. Please go ahead Sir.

Sumangal Nevatia: Good morning Sir and thank you for the opportunity. First question is Sir your comment on capex is not very clear to me so this year you are saying 2000 Crores is roughly the ballpark we are looking at and

based on existing projects which are already approved per year 2000

Crores is a number to kind of work with for future years also?

Amitava Mukherjee: Next year I think we should be doing much more than that. I think 2500 would be minimum next year if not more. We are trying to literally drive the capex because we believe that going to a 300 million tonne not only the existing projects needs to be completed fast but a lot more needs to be sanctioned, so capex is something that we will really have to look at and this year I think we will do 2000, although our budgeted target is around 1600 only the official number is 1600.

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Page 6 of 17 Sumangal Nevatia: How much did we spend in 1Q?

Amitava Mukherjee: Capex till date is already we have touched around 606 Crores for NMDC up to August. Q1 figure I will have to actually go back and see how much capex I have done, but up to August 600 Crores we have already reached and I remember around 40% of the capex comes from the Q4 only so we are in line to do around that number. Q1 of course I will have to revert back. I think it was 351 in Q1 but by now we have reached 606 by August 15, 2023.

Sumangal Nevatia: Understood. Sir second on the volume growth if you see 2018 to 2023 we have been quite rangebound 36-38 million tonnes so one is when you are kind of expecting around 10 million tonne addition this year, I just want to understand what would be the breakup, how much are we expecting to supply to Nagarnar and if you could share what is the estimated breakup of this 10 million tonne from Karnataka and Chhattisgarh?

Amitava Mukherjee: Karnataka as I was telling in the previous question we have got the EC for additional 3 million tonne so this year if we operationalize in October maybe more than 2 million tonne should additionally come. On the production side we also have 2 million tonne capacity upgradation project in Bacheli in Chhattisgarh so that is going to be another 2 million tonne there. That is going to be commissioned in September end definitely October so we are going to get 1.5 million tonne from there also and then hopefully by January we will be starting 365 days working. Right now we have weekly offs so we are getting additional equipment and manpower to ensure that we have 365 days working so that should be giving us quite a volume there and a couple of mines in Chhattisgarh which are doing two shifts, we are planning the third shift there and we are increasing material and men and we will do the third shift out there as well. So taken all this I think it depends on how early we can operationalize all these four so that is why we are keeping a guidance from 47 to 49 or maybe hopefully 50 this year and next year it will be more than 50.

Sumangal Nevatia: For this additional 3 million tonne and 2 million tonne upgradation in Chhattisgarh and 3 million tonne capacity in Karnataka do we have both the screening plant equipment in place for additional capacity and is evacuation not a constraint?

Amitava Mukherjee: We have the plants. In fact Bacheli it is screening plant upgradation that we are talking about so we have the mining capacity but we had limited screening capacity so that is a debottlenecking which should give us 2 million tonne.

Sumangal Nevatia: When you say about increasing one shift and working 365 days was it new this year or was it also happening in the Jan-March period in FY2023?

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Page 7 of 17 Amitava Mukherjee: It was not happening. In fact it will not happen immediately also. The earliest we can target this is January because I need men and material for that, men and equipment for that so they are not available off the shelf so we have ordered the equipment, once they get delivered by the time we will recruit the people also but hopefully we have set ourselves the target of January if we can do it earlier we will be gaining, if we do

it later we lose. Chhattisgarh was

operating six days a week and one day of maintenance.

Sumangal Nevatia: How much are we supplying to Nagarnar, what is the estimate for this year and say next year?

Amitava Mukherjee: Nagarnar would consume at peak around 4.5-5 million tonnes.

Sumangal Nevatia: This is entirely from our existing mines right?

Amitava Mukherjee: Yes all four mines.

Sumangal Nevatia: Got it and just one last question. The news reports that we are eyeing partners to tap gold mining in Australia and also some early exploration work in India if you can just share what

exactly is happening in Australia, what is our interest stake there?

Amitava Mukherjee: Australia we have a legacy and we are going to do the gold mining in about a month's time, a month-and-a-half we will start our own gold mine there. All the approvals are there except for one which is expected by this month end, once we get that we will take about a month to tie-up the further logistics and start mining around end of September for sure that will be our own gold mine and we can use the proceeds to go into further exploration. Regarding the other things we have a very big tenement there around 17400 hectares which was jointly owned by NMDC and Hancock. So now we have a third partner which is the Atlas there. Atlas as you know is the sixth biggest mining company in the world, so we have tied up with them for the magnetite exploration which is at the (inaudible) 22:32 almost the final stages of the PFS. The initial results are very encouraging. If that satisfies it can go up 15 million tonne magnetite, iron ore mine in the next five to six years and also that tenement has some potential for lithium and other minerals so again the tie-up is with Hancock so that we can explore those minerals also.

Sumangal Nevatia: Sir Legacy has been a loss making entity since years so what sort of profitability is we expecting with this gold mining start is there any visibility on your earnings metrics as well?

Amitava Mukherjee: Initially we do not accept it to have bumper profits. The first mine that we are doing is essentially not a very big mine but whatever we earn from there I think we expect to earn
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Page 8 of 17 around \$15 to \$20 million. What we expect to do there with that is to plow that back to the another four to five adjoining tenements that we have for gold which is very promising and see the results there. If the results are encouraging then we can go in for a big time gold mining and that would be at scale. This is more of sort of experimental in the thing that we have not mined in Australia. We want some firsthand experience. We are not looking at the money part right now. We are looking at enough so that we can plow it back to invest in other gold tenements that we have and also to gain experience, so the next phase would be the one that will be the one and scale. This is small amount.

Sumangal Nevatia: Got it. Thank you so much Sir and all the best.

Moderator : We will take the next question from the line of Vikas Singh from Phillip Capital. Please go ahead.

Vikas Singh : This is Vikas Singh from Phillip Capital. I just wanted to understand our realizations which has increased on a sequential basis, but on a monthly basis we have started to cut down prices from April onwards so just wanted to understand how much of lag we are expecting or is there any mix change which would have resulted in a better than expected realization?

Amitava Mukherjee: The mix change yielding to better realization I think we are sometime far from that right now we need the infrastructure to do the blending, etc., etc. Yes I believe you are talking about iron ore prices right?

Vikas Singh : Yes Sir.

Amitava Mukherjee: There have been severe pressures on the prices as you know since this entire financial year hardly we have not been able to take any price increase. In fact we hav

e had to sort of

reduce it quite a few times including the one a couple of days back where we had to make a marginal adjustment but I hope we have bottomed up and the prices would go up. The good thing is that since the volumes have gone up and this is a fixed cost industry so your cost per tonne has come down so that really compensates for the loss of pricing leverage. So to that extent yes the margins we will be able to sustain but hopefully let us see what happens after the monsoon, if the demand picks up and as of now there is no visibility of something great happening on the price front so I think we will just have to survive this pricing pressure as of now and that is what we are doing.

Vikas Singh : Sir actually I was just referring to our 1Q price increase over 4Q levels while our average realization was on a continuous declining trend since April so just wanted to understand the reason for that particular?

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Page 9 of 17 Amitava Mukherjee: Q1 prices it was just marginal. I think around March we had taken some price increase at that point of time so thereafter it has been completely down south because the Q4 prices were around 4663 and Q1 prices average domestic realization was 4850, it was only a marginal increase of 4%. We tried to sustain that in April and thereafter we could not because of the market dynamics so even after Q4 it has not been very encouraging to us.

Vikas Singh : I will take that one Sir. Sir my second question pertains to our evacuation plans of railway doubling as well as this study pipeline if you could update us the stage of completion they have right now?

Amitava Mukherjee: Out of the 50 kilometers of railway line upgradation I think more than 100 kilometers has already been done commissioned and trains are running there. The last stretch which is around 25-30 kilometer stretch is being under construction. We are told that phase wise by end of this financial year they will be able to deliver but the problem is not of line capacity as of now the problem is availability of wagons. Even before doubling the capacity was 28 million tonne and now the capacity is around 40 million tonne so it is not a capacity constraint it is nonavailability of wagons that is the problem because we are producing around 30 million tonne from Bailadila approximately, 7-8 million tonne goes through the conveyor of ArcelorMittal, 2 million tonne goes through road. Our rail transportation is only 20 million tonne but if the rakes are available then we can really upscale our dispatches through rail so it is not a capacity constraint issue in terms of line capacity, it is more of availability of trains and rakes that is the issue. Railway has been helping us a lot. In Q4 we did an average of 18-19 rakes which we need to do annually rather than 13-14 rakes that we get now.

Vikas Singh : Understood Sir. Sir in terms of NMDC steel what are our FY2024 and 2025 production targets?

Amitava Mukherjee: This year we will have the entire H2 to us for production, so we should be touching about a million tonne in the H2. We have a constraint of nonavailability of live and donor because the plant has not yet come up really and despite we using purchase live and donor for making steel we should be able to do about a million tonne this year. Our plant would be full capacity next year because these are modern plants you really do not need too much of a problem in ramping the production once the availability of input.

Vikas Singh : Understood Sir. Sir just last question what is our net cash balance as on 1Q end?

Amitava Mukherjee: At the end of Q1 I think it was around 1700 I will just have to refer to that particular figure. I think it would be there in the presentation. Q1 we are net cash balance of 11279 Crores.

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Page 10 of 17 Vikas Singh : That is all from my side Sir. Thank you and all the best for future.
Moderato

r : Thank you. We will take the next question from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar : Thanks for the opportunity Sir. With regard this Legacy operations or Legacy mines like it has been in our belt for last 10-12 years and we have not been even able to like extract iron ore from there and even for this lithium mining?

Amitava Mukherjee: What iron ore?

Kamlesh Bagmar : Yes I am talking about the Australian operation or Australian subsidiary so like around 10-12 years and we have not been able to mine even the iron ore there and apart from that like for this lithium as well we would be left with around 29% odd stake after this arrangement which have been done with Hancock so like what potential could be there in terms of earnings because we would be hardly left with now around 29% odd stake which we used to have around like 80% odd earlier prior to this deal so if this entire prospecting and all those activities go on so how many years would it take like say five, seven years and after that what commercial arrangements would be there, like would it be around all trading operations how that would proceed if the feasibility studies are in positive format?

Amitava Mukherjee: Right number one first you must understand the Legacy is essentially an exploration company it is a junior mining company so its main business was exploration and naturally as you know in mining in all explorations do not lead to success so the success rate is rather low specially most of its exploration was in terms of deep seated minerals where the success rate is as good as going to a casino and winning a jackpot, it is not quite different so to have expectation of mining from a junior mining company straightaway or a definitive mining plan I think that expectation is something wrong because that is not the way the Legacy was working. It is good that we were successful in one of the tenements to get gold and we just got lucky there and we have a few more tenements which are promising so far as gold is concerned. Now so far as the big tenement of Mount Bevan is concerned where we have entered into agreement with Hancock you must realize that Legacy did not own 100% of that, Legacy used to own 60% of that and 40% was owned by another company called Hawthorn which were the original owners of that, so we were only owning 60 of that now we are actually getting down to 30% of that and it is a sweetheart deal in the sense we have zero risk, so we are not spending, the PFS is costing around more than 200 million right and we are not spending a dime on that. In fact we got around \$10 million to sign that agreement so we are not funding a dime on that and we get 30%, of course if the iron ore is then we get 30% of that so subject to of course our willingness to invest up to that level so it is a sweetheart deal we do not have any downside and all the possible upsides so similarly

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Page 11 of 17 since we are doing the lithium exploration in the same tenement so the terms and conditions of the lithium exploration is also very, very similar and both of these are sweetheart deals and in the lithium exploration we have another clause that we have 75% off-take rights so that is adding sugar to the sweetener so that is a real sweetheart deal so nothing could be better so far as Legacy is concerned from that deal. Yes even if the iron ore PFS comes out to be successful operationalizing that mind should take at least four to five years that is how the Australian mines, all the approvals, construction so we are looking around five years from that and of course if lithium is found the PFS itself is going to take around 18 months and if the PFS is good then we will take another three years to sort of come to mining season but it all depends upon what the PFS results are.

Kamlesh Bagmar : Thanks for the very explanatory answer and on the gold mine

s there also we have 60% odd economic interest?

Amitava Mukherjee: No gold mines are 100% owned by us. All the tenements are 100% owned by us except this big tenement which we which we call Mount Bevan we had 60% ownership and with the other company Hawthorn had 40% ownership and we could not invest in that A because Hawthorn would have got a free ride so there was no dilution clause in that agreement which was under 10 years back so I could not invest and if I had invested unilaterally they would have got a free ride so now that the investment is being done by third party which is very, very reputed it has a huge 55 million tonne, 60 million tonne size in Australia so they are the real big brother to be within the Australian mining area. It is a sweetheart deal that we got.

Kamlesh Bagmar : Five odd years away from now.

Amitava Mukherjee: Yes the initial PFS technical results are all fine in the iron ore. They are all very, very encouraging the initial PFS results but we will have to wait for the entire thing about what run about logistics and all those things are being worked out so we are keeping our fingers crossed but we are optimistic and we cannot have definitive sort of say right now.

Kamlesh Bagmar : Lastly on lithium reserves in India anything you are hearing from the government?

Amitava Mukherjee: No we have not been offered. Obviously we are not going to bid. I do not think we are going to be because we do not have adequate return. We do not plan to bid on a deep-seated meeting, if it is offered to us on a reservation we will take a look at that at that point of time.

Kamlesh Bagmar : Great Sir thanks a lot.

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Page 12 of 17 Moderator : Thank you. We will take the next question from the line of Satinder Singh Bedi from Eon Investments. Please go ahead.

Satinder Singh Bedi : So congratulations on great production and sales numbers for the quarter. Sir you have given a long-term forecast of 100 million tonne over the next five to seven years so what are the indicative kind of figures for FY2024, 2025, 2026 because we have a greater handle on that I guess at this point in time?

Amitava Mukherjee: We have an EC of 54. This year if anything it will be 47-49 and if we can prepone our things that we said so it could reach 50 but that is something more aspirational than doable 47-49 should be for this year. Next year of course definitely we will cross 50 because by that time would have operationalized all four of these things we will definitely go above 50. We will try and touch our EC capacity of 54 so that would be our plan so we are working on that.

Satinder Singh Bedi : The current projects that are under execution at this point of time what do they take our capacity to the slurry pipeline beneficial plant, screening plants and so on so forth?

Amitava Mukherjee: You have to look at the project in two different, one is the dispatch and marketing and sales related projects which is slurry pipeline and all the things and one is the reproduction related project which is the screening plants, etc., etc., so the screening plant in Kirandul for example is 12 million tonne. The one that we have trended out last week at Karnataka is 7 million tonne upgradable to 10. We have just tendered it out last week right and the downhill conveyor that we are tendering in the next week would be the downhill conveyor and the crushing system at Kirandul 14C etc., is another 10 million tonne so these are the ballpark things so from the production side again we need to get these done. The other mines also need to upgrade and we need to make this investment in the next two, three years so that we reach at least 60 billion tonne from Bailadila itself. The current is around 30 million tonne so we will try to reach around 50 plus and by that time NMDC CMDC should also come that is Deposit-4 and Deposit-13. Deposit-4 would be operational next year. Deposit-13 mi

ght take a little bit longer so we have should have another 7 to 8 million tonne from NMDC CMD Limited. Now you come to the dispatch side, of course as you know that we are upgrading the railway line from 28 million tonne capacity to 40 million tonne capacity and what the railways are doing in fact it will be effectively 55-60 million tonne capacity evacuation through rail itself and I am not told that the number of wagons that the railways have ordered the availability of wagon in the Q4 and going forward in the other financial should not be a problem so we have a fair bit of evacuation capacity out there and around 15 million tonne of slurry pipeline we are already building so that is our evacuation plans from there. We will have to take a serious look at the Karnataka dispatch also, once the upgradation plans are through so we need to take a call on that.

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Page 13 of 17 Satinder Singh Bedi : Any progress on your export of iron ore plan?

Amitava Mukherjee: Not as of now. We are exploring that market. As of now at this current prices our domestic on a netback method our domestic realization is more than our export realization because of as you know the 30% export duty that is there but yes going forward and there is more than adequate domestic demand for our products but we must keep that export window open because if tomorrow there is a slight slack in demand or the prices go down and people start importing then we need to sort of just keep ourselves float when you are ramping up to 50 and from 50 to 70, 70 to 90 and to 100 so unless you keep that window open it would be a major challenge so we have decided that we should be off the blocks as soon as possible, have some tie-up, keep the window and the market open so that people interact with confidence but that is more of a sort of a long-term plan for which certain short-term things need to be done so that is what we are doing.

Satinder Singh Bedi : Since the single largest cost head is actually the additional royalty and the various fee exists so is amplification of the same would help so earlier we used to pay an additional royalty of 22.5% out of our basic price now there is no basic price per se, now we have a list price which includes the royalty of 15% with DMC and the annuity fee so how does it change?

Amitava Mukherjee: Do not worry it does not change. You have seen the map. Even if you see the IBM prices we had including all right. We have just aligned our prices to the IBM prices so when our basic prices were let us say Rs.4000 rupees the IBM prices were Rs.6000, not Rs.6000 it was around rupees it was around Rs.5000 okay including all those levies, so IBM used to declare 5000 and we had a basic price of 4000. We have now just aligned our prices with the IBM method of calculation which was being done by all the merchant miners except us, OMC was doing it, all the private parties were doing it expect we are not doing it, so we just aligned the method but our liability for 22.4% will remain on the netback method so they will deduct the royalties, you cannot have 22.5% on royalty again, so it will be taxation on taxation so that cannot be done. That liability towards additional royalty of 22.5% will remain on the netback method so there is not going to be any change in that. (*)

(*) The above highlighted point in red color may kindly be read as below:

NMDC was paying Additional royalty @ 22.50% on IBM prices since its applicability w.e.f. 28.03.2021 and not on NMDC's Basic Price. So, even after change in pricing structure from Basic to All-inclusive, NMDC will continue to pay Additional Royalty on IBM prices.

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Page 14 of 17 Satinder Singh Bedi : Understood Sir. Sir to help us model the potential revenue so if 100 were our list price now

as per our new pricing mechanism then what will be the royalty component out of that so if 100 is our list price

now what would be the royalty?

Amitava Mukherjee: 100 is equal to let us say 121.4 approximately.

Satinder Singh Bedi : Our realization will be 77.5?

Amitava Mukherjee: You divide 100 by 121 by 4 and then multiply that but there is other correlation factor that we had factored in for the July pricing just to insulate us from the vagaries of IBM pricing so it will not be a straight calculation. Yes out of 100 I think it should come around 78% or 78.9% or something like that.

Satinder Singh Bedi : So what we are saying is that effectively if sale price is 121.5 excluding the forest permits and transit fee and the environmental cess then our next realization will be 78 of the amount out of 121.4 is that a fair understanding?

Amitava Mukherjee: Out of 121.2 it will be 100, if you take that 100 then this will be around that figure but I need to do some calculation on that.

Satinder Singh Bedi : No sir the additional royalty will have to be still paid because 121..

Amitava Mukherjee: Additional royalty is a part of my cost it is not a pass-through item.

Satinder Singh Bedi : Yes but net of our royalties in our line item so net of royalties we will realize a net 77.5, 78?

Amitava Mukherjee: Yes around that part.

Satinder Singh Bedi : Thank you Sir. I will come back in the queue.

Moderator : Thank you. We will take the next question from the line of Mohammed Farooq from Pearl Investments. Please go ahead.

Mohammed Farooq: Thank you for the opportunity and over the past three years I have been consistently participating in NMDC conference call where we have been presented with range of positive news including achievements like record production level, ambitious target of 50 million tonne this year and in five years 100 million tonne, substantial investment in capex plan and venturing to gold mine, lithium production, substantial cash reserves, new logos and solar power generator, so many things, despite all the positive factors there appears to be a lack of investor confidence in the management, the market often seems unresponsive to NMDC Limited
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Page 15 of 17 the positive news for instance during the export ban investors lost 50% but when the export ban was lifted we saw only 5% jump could you please shed light on how NMDC management is addressing these conceived low investor confidence?

Amitava Mukherjee: We of course put all our achievements and all our observations in the public domain very regularly I interact, so I do not think it is a investor confidence or rather as you say lack of investor confidence is due to lack of communication from the corporate. I think we are a very transparent company, our numbers are there and information of our future plans, etc., is there obviously but I think that most of the PSU stocks are taken as a dividend yield stock rather than a capital appreciation stock. My personal perception is that where you have a portfolio of around 40-50 stocks you will sort of categorize them into some of them will give you a standard dividend yield, some of them where you expect a capital appreciation and fortunately or unfortunately we fall under the sort of a dividend yield category of investment. I think that is my perception because we are government-owned and some amount of our dividend yield is one of the highest in the country and in the world all around, so I think the investors are more sort of looking at us as more of steady income rather than capital appreciation stock, of course whatever I see from the different analysts like lot of people who are attending today's call they have all been very kind to sort of always keep us in the pi category rather than the older cell category. As a company even if you see our performance parameters internationally if you compare us with Vale, Rio Tinto, BHP and FMG we have the lowest C1 cost. Our risk ratings are much lower than Vale or many of the international or Indian companies includi

ng Vedanta and we have a much

lower risk rating. Our parameters other things like GHG or you take any parameters as a company.

Mohammed Farooq: Your cash reserves are 33% at your market cap currently 11000 Crores.

Amitava Mukherjee: A lot of it goes to dividend, around 3000 to 4000 dividend but now we are ramping up capex in another two years we would be substantial investing in capex because without investment in capex quantum capex you cannot hope to reach 100 million tonne so some of them are already taken.

Mohammed Farooq: My next question is in the previous conference I highlighted about the NMDC's top clients like RINL, JSW, ArcelorMittal, and KOCL and given that any reduction in purchase by one of these clients could substantially impact NMDC operation. The reason is with JSW purchase is being 50% below expectation in July has severely impacted on production and sales of NMDC. It was unexpected for NMDC to witness 50% drop in purchases of JSW within a month. Now the good news is you have export EOI with the global export market accounting for more than a billion tonne I am curious to know if NMDC has a specific NMDC Limited
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Page 16 of 17 monthly target perhaps a range of a million tonne or whether the company is more aligned on buyers demand to determine the export target?

Amitava Mukherjee: That is a good question. Let me take the part one statement first. Yes you know that 70% of our sales go to three major buyers which is a business risk right by any standards we are aware of that and accordingly our plans is to diversify our customer base so the first step has already been taken we have our intermediate stockyard at Kumarmaranga and going forward we need many more such intermediate stockyards from where we can cater to markets like Raigarh, like western Odisha and other places, 40 million tonne production and sale and 100 million tonne production and sale are two different ball games altogether. In terms of your marketing philosophy and everything it is a major paradigm shift so we are aware that we need to increase our customer base and accordingly we are making out plans to sort of increase our customer base and one of that is having intermediate stock and blending yards so it will take three to four years to come of course. Yes the mega buyers

that we have three of them account for 70% of our sales so naturally there is dependence of them right now which we need to get out of. Regarding export yes as you know that as of now the numbers do not make sense because your netback in realization in domestic is greater than the netback and realization in exports because in exports we have to pay 30% duty, you have to pay the freight and you have to pay the royalty, all are on your account right so if you calculate the netback economically it does not make sense to export today but as I was saying to the previous caller's question that we need to keep that window open for the volume sake so even if I were to do around a 10% less realization in export I should have that window open to give me the volumes that I need to do, so as a result having a monthly target today would not make business sense but going forward when we really ramp up our production and we are through to the distribution sector yes then as a business since striving for net lower realization does not make too much of a business sense but we need to keep that to our window open for strategic reasons and as a result having a million tonne or half a million tonne export target for a month-to-month basis as of now would not make great business sense but yes going forward it does when we ramp up the production, also to sustain the domestic prices there.

Mohammed Farooq: Could you please update on the latest in export EOI you have done like a month back?

Amitava Mukherjee: Export EOI is done a month back. I really have not followed it up to much because that is more of an exploratory

nature so I will have to get back to you on that one.

Mohammed Farooq: So what is the projected Q2 target for production and sales?

Amitava Mukherjee: This year the dispatches will be very substantial because we had a lot of stock and we have been able to service our customers very well so July we have done more than that. Q2 last

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Page 17 of 17 year I think we did around 7 million tonnes in production. I think this year we have already done by July I think two points something so I think we should be doing around 8 million tonne in Q2. I think last year instead of 7 I think we should be able to do 8 and in terms of dispatch last year Q2 was around 8.5 million tonne I think we should be slightly increasing that. It should be marginally above that as well.

Moderator : Thank you for your reply Sir. Sir the participant has left the queue. Ladies and gentlemen due to time constraint that was the last question. I would now like to hand the conference over to Mr. Amit Dixit for closing comments. Over to you Mr. Dixit!

Amit Dixit : Thanks Amitava Sir for very patiently answering all the questions. On behalf of ICICI Securities I would like to thank all the participants present in the call. I would like to turn over to Amitava Sir for the final comments. Over to you!

Amitava Mukherjee: Thank you Amit. It has been a nice quarter for us but going forward I think we will have to build up on this momentum and we are not probably looking at the next few quarters but we are looking at the next few years where a quantum leap needs to be taken and we are preparing ourselves for that both in terms of investment physically and as well as in terms of corporate culture and all infrastructure, so we hope to see NMDC 2.0 in a completely more efficient, agile and a much, much bigger scale that we are at present. We are capable of doing that and I think we owe it to the nation and the investors and the industry to realize our potential and I think going forward you will see a completely different NMDC. We are proud of our past achievements but then we intend to do in the next five years what we have done in the last 60 so that is the challenge to squeeze in 60 years of achievement and experience into next five years of performance so that is what we are preparing for. Thank you so much.

Moderator: Thank you members of the management. Ladies and gentlemen on behalf of ICICI Securities that concludes this conference. We thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

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Dear Sir / Madam,

Sub: Transcript of NMDC Limited post Q2 FY24 – Analyst / Investors Conference
Call held on 17th November 2023.

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015; NSE Symbol: NMDC; BSE Scrip Code: 526371

Reference the captioned subject, please find enclosed Transcript of NMDC Limited post Q2 FY24 Analyst / Investors Conference Call held on 17th November 2023. The same is also being uploaded on the website of the Company.

This is for your information and records.

Thanking you,
Yours faithfully,
for NMDC Limited

A.S. Pardha Saradhi
Executive Director &
Company Secretary
Encl: As above.

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“NMDC
Q2 FY2024 Earnings Conference Call”

November 17, 2023

MANAGEMENT : MR. AMITAVA MUKHERJEE – CHAIRMAN CUM
MANAGING DIRECTOR (ADDITIONAL CHARGE) AND
DIRECTOR (FINANCE) – NMDC LIMITED
NMDC Limited
November 17, 2023

Page 2 of 19 Moderator : Ladies and gentlemen, good day and welcome to the NMDC Q2 FY2024 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and to you Mr. Dixit!

Amit Dixit : Thanks 0:40 inaudible . Good afternoon everyone. Thanks for joining the call today. At the outset, I would like to thank the management for giving us an opportunity to host this call. From the management, we have today Mr. Amitava Mukherjee, Chairman cum Managing Director, Additional Charge & Director of Finance. Without much adieu, I would invite Mr. Mukherjee for opening remarks covering the complete performance and outlook post which we will open the floor for an interactive Q&A session. Over to you, Sir.

Amitava Mukherjee: Good afternoon. Thanks for joining. Well this Q2 and H1 has been the best ever so that is a big positive that we have. Our production as you know was 25% higher than last year. Sales were around 14% higher than Q2 of last year and these were the best ever. Even H1 every month of this year right up to October except for one month, we have done the best production and sales so we have got the momentum going for that target of 50 million tonnes. We hope to achieve around 50. There are two or three big projects that are going to start anytime now within a week's time. One at Bacheli which will augment our production capacity by 2 million tonnes and the final clearance for the Kumaraswamy mine in Karnataka for about an additional 2.2 million tonne will also be available hopefully within a week or 10 days. We expect to flog these two new facilities as well so that we can reach our stated target of 50 million tonne. On the capex front also we have been doing pretty well. We are way ahead of our target. We are around 40% higher than last year what we had done up to this time and around 80% higher than our proportionate target for the year. We will definitely cross the capex target of Rs.1600 Crores that we had set ourselves in the beginning of the year. Definitely we are going to cross that so overall the momentum is there and we hope to achieve unprecedented results in the H2 as well. So we can now take questions.

Moderator : Thank you very much Sir. We will now begin the question and answer session. The first question is from the line of Kamlesh Jain from Lotus Asset Managers Limited. Please go ahead Sir.

Kamlesh Jain: Thanks for the opportunity. Sir just one question on the part of the realizations like if we see our realizations even if we see the current prices they are at a discount of roughly around Rs.5,500 compared to the import variety price and the prices have moved significantly over NMDC Limited
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Page 3 of 19 the last three odd months but our prices have not changed since last month and over the years we have never seen such a big discount like say around 45% or 47% of discount so what is happening on the pricing front? Even if we see the Karnataka we have not done the auctions of the mines for the last one and a half to two months and I do not know what is the realizations there but the way our revenues are there it seems that realizations of Karnataka are far higher discount as compared

to other markets like say for Bacheli or Chhattisgarh?

Amitava Mukherjee: Yes the pricing front of course we are slightly higher than last year. Our realization in Q2 is around Rs.4,146 per tonne which is around 7% higher than the year on our year basis and in H1 also we have grown by 8% in sales. It is around Rs.4928 per tonne. Obviously traditionally even at East Coast as compared to the export prices the general discount has been around 40% to 45% and that is how it works out but even at these prices we have worked out that if we factor in 30% of export duty and then the port charges and other things our domestic realization would be higher than net back of the export realization because you know that so far as we are concerned that for export we also have to pay the transportation up to Vizag which is almost \$20 in dollar terms so when we see the net realization at the mine had net of taxes and duties. Even at this level our domestic realization is more than the export realization and that is why there is no as such economic case for an export but yes there is a strategic case for exports and then we are looking at it

to what sort of strategic case should be there for future so we need to enter the market and have some presence for future not immediately because immediately in terms of a pure math it does not work out right now. I make more money net of taxes, net of transportation, and net of duties through domestic sales rather than through export sales. Apparently it looks like a 45% discount but still when you factor in all these deductibles, domestic sales is a preferred policy purely on economics. Yes the prices in Karnataka have been traditionally lower than that of the Bailadila sector A because of the quality. Obviously the Bailadila quality is completely different and much better than the Karnataka case that is there and Karnataka does not have access to markets beyond Karnataka to that extent so we have to be a sort of a local player. Yes we have just checked our IBM prices there are slightly higher than us. In Chhattisgarh of course our IBM prices are exactly the same but in Karnataka it is slightly higher so which gives us some amount of headroom there. We will take a look at it and take a call sooner than later.

Kamlesh Jain: Right but based on your answer to the question it seems that you are just focused on the export net debt but like it is not the case like because over the years we are paying like roughly around 22.5% additional royalty? Why we are not leveraging that because if say any importer is there or like say any steel company importing iron ore why do not you think on that part like how much their cost would be if they import there?

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Page 4 of 19 Amitava Mukherjee: I have told you about landed cost basis only. Obviously on landed cost basis you know the duty structure on high grade iron ore export it is 30%. On import it is 2.5% so naturally even at 45% discount for us to sell outside we will be taking a hit on our bottom line but for a steel maker yes still that is why they are still buying from us because still it is cheaper and it has always been the case and that is why there is hardly any import into India because of the duty structure that is there and it has been there for years now. 30% export duty and 2.5% import duty. It is obviously not very viable for us to export but when the prices go down it becomes viable for a steelmaker to import and it has happened previously we know that, 2018-2019 it has happened and again I think 2019-2020 it has happened.

Kamlesh Jain: Great Sir. Thanks a lot.

Moderator : Thank you. The next question is from the line of Alok Deora from Motilal Oswal Financial Services Limited. Please go ahead.

Alok Deora: Sir good afternoon. Just had couple of questions? The first on the target of production for this year, in the last call we mentioned about around 47 to 49? Are we stic

king to that

number or any any updates on that and also there were certain capacity which was expected to get operational by September and what is the status on that at Bacheli?

Amitava Mukherjee: That is what I said in my introductory. We are still sticking to 47 to 49. If you know that H1 we have done around 20 million tonnes in H1 and right now I think we are at around 24 million tonnes mark, approximately at 24 million tonne mark so we are on our way. If you see the H2 production last year, if you even do 10% better than that then we should reach around 46 to 47 and two major projects as I was mentioning in the introductory that one is the fifth line at Bacheli which is likely to add up 2 million tonne to our production so that is complete. We are waiting for the CTE, load testing has been done and I think we will go on stream hopefully in the next four to five days so all the testing, etc., has been done so it is a two million tonne annual capacity. Hopefully in the half year we will be able to do more than one million turn out of that. We are trying to target 1 to 1.5 million tonne out of that so that will be an incremental on that and then Kumaraswamy mine as you know that we have got all the approvals. One final approval is due so we hope to get that within a week to 10 days so then Kumaraswamy also we can ramp up. The contracts are all in place so that is another two million tonne in fact 2.3 million tonne additional so that is 4.3 million tonne of additional so in the H2 even if we can do about 2.5 to 3 out of that 4.3 so I think we should be able to reach 49 to 50 around. We must just touching 50 or just a little lower than that so 47 to 49 still holds good so far as we are concerned.

Alok Deora: Got it Sir and Sir you mentioned about the capex? There has been a sharp jump in the first half? What is the capex we have done in the first half Sir?

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Page 5 of 19 Amitava Mukherjee: The capex till date we have done around Rs.1,000 Crores, Rs.1008 Crores or something till date against annual target of Rs.1600 Crores so we are definitely going to exceed that. We should be somewhere around I think Rs.1800 Rs. Crores to Rs.2,000 Crores range this year.

Alok Deora: Got it. Sir just one last question so just wanted to get a update on this NMDC Steel this divestment status because recently there were comments that it is not going to get divested so your update from your side on that?

Amitava Mukherjee: As of now we do not have a clear visibility on that issue so in fact we should be referring that to Deepam. There were I know that several multiple offers have come but thereafter because of the election in Chhattisgarh and other things I guess further progress has not been made but yes the draft SPA was also discussed with us and from our side we have given the go ahead. Whatever was asked from us we have already done but the exact what is the situation now I am unable to comment.

Alok Deora: Got it. Thank you so much Sir. All the best.

Moderator : Thank you. The next question is from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.

Ashish Kejriwal: Good afternoon everyone. Thanks for the opportunity. Sir two questions from my side? One if I am looking at realization for this quarter we observed that that realization has been somewhat subdued more subdued? Y-o-Y basis lump prices have declined by 2% while fines prices have increased by 11% so my question was is there any adverse product mix this quarter within lumps and fines or is there anything else which are missing in terms of realization?

Amitava Mukherjee: No in terms of overall as compared to Q2 of last year yes it has increased but as compared to Q1 of last year it has decreased in terms of the immediate previous quarter. Of course overall it has decreased and now if you see the Bailadila sector and the Donimalai sector they of course behave differently.

Of course the trend is the same but from Q1 it has slightly decreased not much by around 10% but as compared to Q2 of last year that is the year-on-year figure, we have had a reasonable amount of increase. Yes there was pricing pressures earlier but I think we have taken I think one or two price hikes recently. The last being on October 1, 2023 so now we will again take a call on what the pricing looks like.

Ashish Kejriwal: Sir my question was that fines prices were higher but lumps prices were under pressure so are we witnessing any shift in the product mix within lumps or is the grade remains the same?

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Page 6 of 19 Amitava Mukherjee: The grade remains the same. The lumps prices are still higher than the fines but yes the demand of fines has looked up much better than the demand of lumps in terms of and that is why the head room maybe for fines might be slightly better than the lumps. I think there is a tremendous demand for fines right now and I think we can have a look at the pricing pretty soon now.

Ashish Kejriwal: Sure so that means that if I am looking at OMC's recent auction as well as global prices and keeping in fine that domestic steel or sponge iron prices are almost flattish type then there is a room for further price increase if the demand is good in at least in fines if not in lumps is that understanding right?

Amitava Mukherjee: Let us see how does it translate into a pricing opportunity. That needs to be seen because there are multiple factors to be factored in. The steel prices are a dampener. The demand is a good trigger but the steel prices are dampener but the international prices are again a good trigger so we will factor in all these things. Of course the pricing does take into account multiple variables and we will take a call hopefully in the next two to three days how the pricing should be.

Ashish Kejriwal: Okay secondly Sir we talked about Kumaraswamy mine but that is a 3 million tonne mine? I think you mentioned 2.2 to 2.3 million tonne ?

Amitava Mukherjee: This is a 7 million tonne mine. We have requested for an EC of another plus three but EC we have got plus three but within Karnataka as you know that there is a ceiling that has to be redistributed and what we are getting as of now is around 2.3 million tonne of extra mining permission.

Ashish Kejriwal: Okay so we will have a capacity of 10 in Kumaraswamy but as of now permission will be up to 9.3?

Amitava Mukherjee: Yes. It is 9.28 or something. There is a fraction involved there so let us take it 9.3 approximately.

Ashish Kejriwal: Sir is it possible to give status on your different four projects which are ongoing? One is your screening plant three year at Kirandul? I think you mentioned about 2 million tonnes for that only or something else?

Amitava Mukherjee: No that is the fifth screening line in Bacheli which is ready for commissioning.

Ashish Kejriwal: Okay so that will help us in increasing volume by 2 million tonnes?

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Page 7 of 19 Amitava Mukherjee: By 2 million tonnes.

Ashish Kejriwal: Okay so Sir different status of this like screening plant three at Kirandul?

Amitava Mukherjee: Screening plant three the rapid wagon loading system is being commissioned. I think it will

be commissioned after 17th. 17th is today so there is an election in Chhattisgarh. Thereafter one CP is consent to operate permission is required so hopefully we will get it in the next seven to eight days and we will start the rapid wagon loading system so the siding that was loading two rakes a day will now load four to five rakes a day so that part of SP3 project will be operational. The stacking yard will be operational by February or May but we have had a problem there in the other area in the sense that due to the monsoons one of the gathering walls there has been a problem with the gathering wall which we had constructed so

that is going to sort of delay the project by a couple of months so instead of 2024 mid which we were expecting to commission the plant I think we should be able to commission the SP3 rather by around 2025 that should spill over to 2025 because of the various challenges that we are facing at the site but half of the facilities we will be able to commission by end of financial year which will substantially increase our evacuation. I think our evacuation will increase by 2 to 3 million tonne after the RWLS that will be commissioned by this month end definitely and also after the stacking yard is commissioned by the end of this financial year. The next big project is of course this slurry pipeline. All the contracts have been given. All the contracts are there. The pipeline laying is going on. I think out of 113 km around 70 plus km we have already done the stringing and laying and another 35 km I think the pipelines are being ordered so that is on track. Now the head end there is a beneficiation plant. The contract has already been given around six months back. The contractor is working. We expect to have that beneficiation plant by end of 2024 or early 2025 and the pellet plant of course that was progressing very well but we have put it on hold because we want to increase the plant capacity from 2 million tonne to 6 million tonne so because we have gone back to the drawing board so let us see how we design the additional 4 million tonne line so that is under discussion but we have taken an in principle decision to increase the capacity of pellet plant near the steel plant which is just bordering the steel plant next to the steel plant from 2 million tonne to 6 million tonne that is the decision that we have taken. We are working out the engineering of it and the economics of it but we would like to have that as 6 million tonne. The SP2 at the screening plant two at Donimalai which is a 7 million tonne capacity and which will have upgradeable to 10 million capacity. That tender will be awarded next month. The offers have been received and we are evaluating the offers. I think three offers have been received so we should be able to award that somewhere around middle of next month so these are the three big projects we have. Apart from that we have of course housing projects and others worth of Rs.300 Crores and Rs.400 Crores so that we will be able to see a little later.

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Page 8 of 19 Ashish Kejriwal: Sir doubling of railway line?

Amitava Mukherjee: That is progressing fine about more than 100 km has already been commissioned out of 131 km so two block sections they are working which is the toughest block section. One is near Bacheli between Bacheli and Kirandul. The railways has given us a visibility that they should be able to do it by the end of the financial year.

Ashish Kejriwal: So Sir if I look at the entire thing in perspective we are seeing that rapid wagon loading system that will increase our evacuation capacity by 2 to 3 million tonne? Besides that unless and until our railway lines get doubled we will not have enough evacuation capacity?

Amitava Mukherjee: No I think that this is slightly misperception out there in the field. I want to make it clear that currently as it stands this single line has a capacity of 28 million tonne evacuation and this doubling also because patch doubling you can take the benefits of patch doubling. It need not be complete end to end to take the entire benefit. As and when it is fully completed it will be 40 million tonne but right now the capacities are around 35 to 36 million tonnes so that is not the issue. The issue is availability of rakes and wagons so even right now from Bailadila we are evacuating only 20 million tonne by rail around 7 million tonne to conveyer, 2 million tonnes through road and around 20 to 21 million tonnes through rail so in terms of line capacity we have adequate head spa

ce. In terms of rail capacity that is not a constraint. The constraint is availability of the number of rakes line so once it goes up. About one rake is about 1.3 million tonnes. We are on average getting around 16 to 18 rakes but once that availability goes up then the current line can also cater to another 7 to 8 million tonnes easily in terms of line capacity.

Ashish Kejriwal: Understood so Sir unless and until rakes availability increases with the same rakes we can at least extract a higher 2 to 3 million tonnes because of this rapid wagon loading system?

Amitava Mukherjee: Because of quicker loading and once our loading yard is commission for SP3 that I was telling this two rake which is likely to become four rakes now will become six to seven rakes a day from that siding itself once the stacking yard I will commission in and around

February or March that is the target as of now.

Moderator : Thank you. The next question is from the line of Pramod Dangi from Unifi Investment Management. Please go ahead.

Pramod Dangi: Thanks. My question is like with the heavy investment in the NMDC still kind of the project going behind us are you looking to check up the dividend payout? What is our dividend payout policy now since we do not have any huge capacity?

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Page 9 of 19 Amitava Mukherjee: This is already in the public domain that we have to pay a minimum dividend of 30% of our net profits or 5% of our net worth. Traditionally we have been paying around 40% to 45% of our net profits. If you see the last six to seven years in terms of if you combine the buyback and the dividend the payout to our investors has been in the range of around 40% to 45% of our profit after tax so the board will take a final call but we are designing a lot of capex because we want to get this organization ready for the 100 million tonnes outlook so basically we have appointed two to three consultants to give us their inputs on what sort of marketing infrastructure we need. As you know that Kumar Marenga near Jagdalpur. We have already commissioned and that is the first place where we are selling from our stockyard so we in future would be building a lot of stockyards to cater to different type of customers. We believe that the market needs to be segmented in terms of types of customers because the blast furnace, steel mills and the integrated steel different requirements as compared to the sponge iron plants and we hopefully to instead of having a vanilla product as of now we are planning to have customized products so we have set up consultants and in about three to six months time we will have a clarity on what sort of investments that we need to make to have customized product for different classes of customers rather than have a vanilla product for all of them.

Pramod Dangi: Okay sure and then next is like whenever we invest in incremental capacity not in the mining but the allied capacity like stockyard or the railway line or the evacuation facility how we get compensated? How is our capex? Is it like linked to any relation or we charge over and above the relation some cost?

Amitava Mukherjee: We charge over and above the realization. Most of these mining projects have a ROI of well above 50% even at the current tax ranges. The worst of them have ROI of around 30% so mining that way lot.

Pramod Dangi: I am talking about the allied apart from mining whatever the capex we do?

Amitava Mukherjee: Apart from the mining production whatever capex we do has a very healthy ROI of 20% to 21% or even more than that 25% must be there. The ROIs are generally in the range of around 25% because when you make customized product the value realization is higher than the vanilla products so that is now our next target to have facilities which can make these customized products rather than serving it off the mine head as a vanilla product.

Pramod Dangi: Okay great. Thanks. That is

all for my side.

Moderator : Thank you. The next question is from the line of Vikash Singh from PhillipCapital India Private Limited. Please go ahead.

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Page 10 of 19 Vikash Singh: Good afternoon Sir and thank you for the opportunity. Sir just wanted a clarification you said that you would be increasing pellet capacity from 2 to 6 million tonnes? As I understand our 2 million tonnes was also not running well so can you just give us some insight that whether we have solved the problem and now it is ramping up?

Amitava Mukherjee: Yes. Let us not confuse the two pellet plant. The pellet plant that you are talking about is at Donimalai which is about a 1.2 million tonne pellet plant which has never worked well.

That is for a separate reason altogether. That pellet plant was designed for consuming 85% slimes and only 15% is the fine circuit right and we never got the slimes because of regulatory issues, because of lease not being renewed and now that lease is being renewed there is a dispute with the tailing dam as a result of which we have not been able to get the feed into the pellet plant so that is a completely different reason for that plant not working to its rated capacity. Now the other pellet plant that I was talking about is a part of the slurry pipeline and the 2 million tonne pellet plant just borders the existing steel plant right so that is a different one so as you know the pellet plant to have capacities of scale should be anything between 6 to 8 million tonnes so we are now adding a module. We are not immediately adding a module but we are keeping a provision for adding a module for 4 million tonnes as and when the steel plant itself the capacity is increased in future, but it will be an integrated sort of an expansion. It will be a modular sort of an expansion so that we can sort of bring up 4 million tonnes line and just plug it and play it rather than constructing it all over again so we have making the common facilities fit for 6 million

tonnes in terms of electricity, panels and in terms of the buildings, in terms of the service buildings, and in terms of the fueling arrangements so those common facilities we are making it up scalable, although we will be making only 2 million tonnes right now but as and when we decide to add another four to it, it should be on a plug and play basis almost on a plug and play basis so that is why we are redesigning most of the service facilities of the pellet plant.

Vikash Singh: Understood Sir and my second question pertains to capex so basically you have expedited the capex so which are the projects basically which was expedited and does this mean that the next year our capex intensity would come down because we have that four to five projects on which we were spending money so if we are spending Rs.400 Crores to Rs.500 Crores higher this year that means the next year those projects would have a lower spending until and unless the project cost has increased?

Amitava Mukherjee: This is a good question but what is there is what is not possible in the public domain but you should know is that we have now created a vertical of project organization and we have had the senior most officials as head of projects who are now sitting at Kirandul, Bacheli and at Jagdalpur and at Donimalai which is independent of our production units so these are fully dedicated toward sanction and execution of projects and these project vertical has been NMDC Limited
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Page 11 of 19 given full powers to sort of they have been delegated massive power so that most of the decisions can be taken at the project level itself. So a lot of bureaucracy in the project management has been cut and that is what you see the results that we are about 80% higher than our targets and 40% higher than as compared to last year so that is the first part of the question that we have expedited the project execution

in each of the projects except for

where we are going back to the drawing board. Next year I expect the capex to be even higher because another two to three projects are coming up. One is of course as I said in my earlier answer that the screening plant two at Donimalai we will tender it out in another about 30 days we will be able to award the work. The bids have already come in. We are evaluating them and we will be able to award so that is about a Rs.1,000 Crore project itself Rs.1,200 Crores project. We have the downhill conveyor and the crushing plant in Kirandul for augmenting our deposit 14 and deposit 11C so that is another around Rs.1400 Crores project. We have already tendered out the main packages. We have not opened the bids as well. We are waiting for a couple of clearances. Once they come then we will be able to award that definitely by February or March we hope so there are two more mega projects that will be added to the existing list of projects so I expect the expenditure to go up substantially in the next financial year and going forward as I said that we are now at the conceptual level of deciding what sort of an investment is required for augmenting our dispatches for especially making our product mix customized to different category of customers so once we have that, so in the next five to six years I believe that we will have substantial capex and that is I understand required for this company to become from 50 million tonnes to 100 million tonnes. It will not be happening free of cost so we need to make these investments now so that in another five years time we are able to have the capacities to mine and sell about 100 million tonnes.

Vikash Singh: Understood Sir. Sir just clarification this screening plant at Donimalai which you talked about how much additional this will add in Donimalai?

Amitava Mukherjee: It will not add additional. See Donimalai already has a screening plant for 7 million tonnes which is the production capacity of Donimalai mine. The Kumaraswamy is where we do a lot of contractual mining and we have dispatch problems there because the entire dispatch of Kumaraswamy mine right now is by road only so this will be processing mostly the Kumaraswamy. Of course it will have the facility to process Donimalai ore as well but it is to that extent the feed is flexible but it is essentially designed for Kumaraswamy ore and then for further evacuation through the Ranjithpura side so my constraints of dispatching through road will be taken care of essentially once we use this facility for processing our Kumaraswamy ore.

Vikash Singh: Understood Sir. Thank you Sir and all the best for future.
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Page 12 of 19 Moderator : Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets Limited. Please go ahead.

Kirtan Mehta: Thank you sir for this opportunity. In terms of as we are feeling more comfortable about delivering on our 47 to 49 million tonnes target for this year how do we now see the FY2025 production evolving and what are the key projects that we will be targeting to ramp up production further in FY2025?

Amitava Mukherjee: FY2025 there will be a stagnation maybe we will add about one or two, we will go up to 51 to 52 because our EC capacity right now is 51 and with Kumaraswamy it will increase to 53 so as of now next year I do not think we can go above 51 or 52 but we have applied for the EC enhancement in Kirandul, etc., where one round of public hearing is to be held and it is a long drawn out process after hearing of public hearing, etc., so in the Bailadila sector for enhancement of production it is at the public hearing stage and before the public hearing stage so we will get enhanced EC in around 16 to 24 months time so only then of course we have designed the projects for that. We have tendered out the projects for that so I think we should take another two years at le

ast to ramp up further beyond 53 so I do not see any production happening beyond 52 to 53 even in FY2025 and once we get the EC approved for the Bailadila sector there is no more scope in the Karnataka sector after Kumaraswamy enhancement so right now the enhancement has to come from Bailadila sector for which the clearance procedure has just begun so now the public hearings will be held. EC will be taken. Forest clearances will be taken. It is a fairly long drawn process generally 24 months' time project so the next major ramp up will happen after about the two financial years current and the next.

Kirtan Mehta: Understood Sir. Thank you and one more question in terms of we have started talking about the targeting the customized iron ore projects so what is the quantum that we can look at on the customized route and how much premium could it add to our realization some sort of initial color?

Amitava Mukherjee: That is exactly what we are studying. We have put in McKenzie, BCG, Deloitte and everybody on the job to give us a feel of what the market would be in five to six years and what would be the requirement of our customers that is exactly what we are studying and once we are clear about what segment of customer would require what product then we will make those investments in making those products. That is the exact study that we are now doing. I mean to say the integrated steel plant with blast furnaces have different requirement from our sponge iron plants with rotatory clearance and other things so that is exactly what we have asked the experts to do a deep dive on the current scenario as well as the future expansion plans of our customers and take it into account and come to a marketing policy. I think that should be ready by this financial year and we should have a complete clarity of NMDC Limited

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Page 13 of 19 what we want to produce and where we want to produce them and only then the question of course we expect a 15% to 20% jump in realization when we are able to serve our customers with customized products rather than the plain vanilla product that we are selling right now.

Kirtan Mehta: Right one more question if I may so in terms of the outside the iron ore mining sector we are also exploring the opportunities in other mining areas could you sort of highlight our sort of plan around the same and progress in that area?

Amitava Mukherjee: Yes you will be happy to know, sorry I forgot to mention this in my introductory address that we have commissioned our gold mine in Australia. It is a small mine to start with about a tonne of production and in about a year to 15 months but bordering that we have around six to seven and another 10 mines which are highly promising. We should be able to complete the exploration and take a decision within the next 12 to 18 months so gold is going to be there in Australia. In Australia also we have a big terrain where we have a very, very promising magnetized deposits and are also very promising lithium deposits. We are doing the PFS along with our partners which is Henry or Hancock which is the fifth biggest mining company in the world. They are partnering with us in developing that so we are in the PFS stage for the magnetized project and the pre PFS stage for the lithium project. In India as you know that we have got two coal blocks. One of them we are having slight problem so we have not been able to operationalize that because of land acquisition issues. The other one of course we are going ahead that is the Rohane coal for about 8 million tonnes so that should be producing in another 18 to 24 months so we are diversifying our portfolio. We are looking at across the borders. In fact we are scouting for probable leases in Western Africa, in Australia and in any other places. Within India of course we are requesting everybody if we can get some separate minerals as well. We are open to that but we are not

very hopeful in India because of the auction regime that is there so it for a merchant miner it is not very viable for us to have a huge amount of mines at a very substantial premium. That does not make merchant mining viable so naturally we are looking beyond our shores and we are definitely looking beyond iron ore. The long term should be by around five years' time we should be able to do a top line of around 10% to 15% from other than iron ore so that is what we are looking at. Maybe we will look at a

target of 5% to 10% overseas revenue as well so these are the things right now. Some of them are being executed. Some of them are being planned and we are spreading our wings.

Kirtan Mehta: Thank you Sir. All the best for this interesting journey.

Moderator : Thank you. The next question is from the line of Shweta Dikshit from Systematix Group. Please go ahead.

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Page 14 of 19 Shweta Dikshit: Good afternoon. Sir just one question. I did not get it earlier could you repeat like what is the product mix between fines and lumps and going ahead 46:19 audio cut lumps so do we see that product mix changing in the near future?

Amitava Mukherjee: Yes the current lump to fine recovery is 30% to 70%. We recover around 30% lump and 70% fines but our preliminary survey suggests that in the next 5 to 10 years the lump demand would be substantially reduced and the fines demands would substantially rise and that is exactly what we are studying now and what our customers would be wanting five years from now so that is what I said in my previous question we are making a deep dive on the current market situation, the medium term market situation in the next five to six years and the long term market situation which is 10 to 15 years and based on that survey we will be designing our product portfolio so naturally where I say we will not be making all that vanilla product in terms of X mine sales of either lumps or fines would rather have them processed, blended and make customized product for different sort of customers but this is just right now on the drawing board. We are doing the market survey for immediate term, medium term and long term and we will take a call on the investments that are required but going forward I am told that what we understand our primary market study is that possibly in another five to seven years the lump requirement would be much more subdued. The growth in lump would be much more subdued and the growth in fine would be much more aggressive so we are taking that into but that we have the experts sort of doing the entire market survey for us and based on that we will take a call in another three to six months and see what sort of products we want to make and whom and from where we want to sell.

Shweta Dikshit: Could you give ballpark number of the capex next year?

Amitava Mukherjee: Capex we should be doing about Rs.2200 Crores to Rs.2300 Crores next year. This year we should do somewhere around anything between Rs.1800 Crores to Rs.2,000 Crores against a target of Rs.1600 Crores. We should be able to do Rs.1800 Crores to Rs.2,000 Crores.

Next year we plan to do around Rs.2200 Crores to Rs.2300 Crores of capex.

Shweta Dikshit: Okay thank you Sir.

Moderator : Thank you. The next question is from the line of Mohammed Farooq from Pearl Capital Business Funding, LLC. Please go ahead.

Mohammed Farooq: Good afternoon Sir. Thank you for the opportunity so in the last couple of months NMDC major client RINL has an experience a significant success could you please provide you know insight in how much of this has benefited NMDC in terms of volume compared to the previous year and additionally?

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Page 15 of 19 Amitava Mukherjee: Can you repeat your question about RINL please.

Mohammed Farooq: In the last couple of months NMDC major client RINL has experienced significant success could you please p

rovide us insight into how much this has benefited NMDC in terms of volume compared to the previous year and additionally what is the anticipated supply of iron ore to NMDC Steel Plant for the current year?

Amitava Mukherjee: I will just give you the numbers. Last year we had supplied RINL with around 27 lakh tonnes that is 2.7 million tonne. This year H1 we have supplied around 30 lakh tonne which is 3 million tonne so it has been a 10% enhancement as compared to last year, but RINL is one of our three big customers as you know that around 70% of our product sales is accounted by three people that is JSW which mainly takes from Karnataka and their Western plants take from Bailadila. The second big customer is of course AMNF which has a direct pipeline from Kirandul. That accounts for seven to eight million tonnes and RINL also accounts on an annualized basis around six to seven million tonnes. Now we have a new customer which is our sister company NMDC Steel which will consume around four to five million tonnes and that is completely dependent on NMDC ore so we are supplying whatever is required. Right now the plant is running at around 40% to 45% capacity but whatever capacity it runs and whatever it takes we will be supplying to naturally NMDC Steel which is our primary responsibility to supply to them so we will be supplying to them.

Mohammed Farooq: Okay Sir. The second questioning regarding Q2 production pricing and profit you is it reasonable to assume that the production will go up by 30% and the pricing can go up by 30% so the top line can go at least 50% to 60% up in the Q3 and also the bottom line can go

up 70% to 80% just a forecast for Q3?

Amitava Mukherjee: It is very simplistic to make those forecasts. Those are very approximate numbers. We can tell of course our production in the H1 has gone up by around 20%. We intend to maintain that pace so we can safely assume that our production on an annualized basis will be 10% to 15% around 15% to 20% higher even if we do 48 million tonnes so that will be 20% higher than our previous year so around 20% to 25% increase in production is something that we are targeting and something that we hope that we will achieve. Second is of course the pricing is difficult to give a number to pricing.

Mohammed Farooq: Q2 to Q3 Sir? Q2 and Q3 at least 10% to 20% up?

Amitava Mukherjee: Let us hope so I would be the happiest man if that happens but pricing is a dynamic thing. The market conditions keep changing. The steel prices are a dampener, but the international prices are very encouraging so there are multiple factors, let us see how much further price realization we can make.

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Page 16 of 19 Mohammed Farooq: Okay Sir last question Sir NMDC now currently has a substantial cash flow of close to Rs.14,000 Crores. It is noteworthy that within the listed space there is not a single company with the cash reserve of Rs.14,000 Crores and the market cap is less than Rs.100,000 Crores. We understand that you have lot of capex and capital projects like Rs.2000 Crores and Rs.3000 Crores every year but you also do Rs.5000 Crores to Rs.6000 Crores profit every year? Now the question is why the Rs.14,000 Crores is in the books? I understand there is capital expenditure but at the same time you have Rs.4000 Crores to Rs.5000 Crores profit every year? Could you please explain that Rs.14,000 Crores?

Amitava Mukherjee: Yes idle cash sitting on the balance sheet is not exactly a great thing to happen. We are designing capex so that there is a quantum jump in capex. This Rs.2000 Crores per annum has to increase to Rs.4000 Crores to Rs.5000 Crores per annum in the next three to four years and we are taking steps to ensure that the projects are being conceived. As I said we are going to entirely reorient our marketing infrastructure. We want blending yards and dispatch yards to happen. One of them happened in Kumara

maranga on a small scale a 2

million tonnes capacity yard so obviously a lot of capex will have to be made in augmentation of our production facilities. For example in Kirandul we have already tendered out for around Rs.1400 Crores of the project. So these projects will all come up and come together and with the capex you would will see a quantum jump in capex in the next five to six years but yes it is a profitable business. We generate cash and even after an average payout of around 45% on dividend and share buyback for the last five to six years, we have been able to generate adequate cash for both our capex and for servicing.

Mohammed Farooq: Yes Sir the final question on the steel plant Sir? What news came up regarding the privatization has been stopped a little bit? We have seen the investor confidence come down little bit after the announcement? How can we make sure that this is not going to be like one of like RINL or SAIL in the future how can we give confidence to the investment in case if it is disinvestment?

Amitava Mukherjee: This is one of the most modern plants in the world not only in the country. It is one of the state of the art plants and once we have commissioned it we are now ramping it up. If you know the commissioning was nobody not even in the private sector you had the finished product which is for us the hot roll rolled within nine days of getting the hot metal so that that has been a record in itself. We are already operating at 40% to 45% capacity. We are now testing the other the additional lines so that we can ramp up to 70% to 80% by the end of the current financial year itself. We hope to do so. We were trying to do so and by the next financial year we should be able to run it at full capacity. This being one of the most modern plants and we should be able to make all sorts of products so our average realization would be higher than our compatriots in another company so give us some some time and by the year end we should be able to be clear.

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Page 17 of 19 Mohammed Farooq: Yes perfect very good but one point you mentioned last time if the breakeven needs 2 million tonne which is almost 66% of the project is not it too high 2 million tonnes for a breakeven for this?

Amitava Mukherjee: No that will depend on the prices. I am not very sure. I cannot give you a number on the breakeven point exactly but it is a function of price so I do not know at current level whether it is 60% or 67% or 50%. I will have to work that out. I will not be able to give you off the cuff.

Mohammed Farooq: Okay thank you Sir. All the best.

Moderator : Thank you. The next question is from the line of Ritesh Shah from Investec. Please go

ahead.

Ritesh Shah: Sir thanks for the opportunity. A couple of questions. One is you indicated on the gold mine that we have in Australia and you also indicated about the lithium magnetized deposit that we have? Sir can you highlight the scope of operations over here how big it can be if everything goes fine?

Amitava Mukherjee: Yes the gold right now is a very small gold mine. We will do about a tonne in about a year time a year to 15 months will be there but there are six other mines very close to that so we will be exploring all of them simultaneously and since that is a gold bearing zone near the Laverton area near Kirandul so we expect to have a fairly big gold presence in and around 24 months time. Regarding the magnetized it has around more than about 1.5 billion tonnes of very high grade magnetite. They are just extremely high grade magnetite with PFS is being done. Water is a problem there. The PFS is currently being done. The evacuation routes are being currently done but initially if it becomes viable and if the PFS is right and then the DFS is right then I think initially we will start with a 10 million tonnes mining and it is scalable up to 25 million tonnes to 35 million tonnes but

we will by that time have a

30% holding of that so our proportionate share would be around 3 to 4 million tonne initially and then going up it will be 8 to 10 million tonne. Lithium of course we are in the same fault zone. There are working lithium mines just above our terrain and just below our terrain so we are now just exploring right now so we are at the pre PFS stage so we will hopefully undertake the PFS starting next April hopefully we will start the PFS. It should take around 18 months to do the PFS. Of course if the results are encouraging we will fast track everything so let us see how the results come and then we will let you know.

Ritesh Shah: Right and Sir gold and magnetite both projects will be viable right so from a unit economic standpoint?

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Page 18 of 19 Amitava Mukherjee: Naturally that is what the PFS and the DFS is there for. If it is not viable we will not be doing it but the initial report suggests that they are very encouraging. Gold they are already mining. One mine that will be viable it will not give us huge amount of profits but we expect 8 to 10 million only in the next about a year. The big thing is the other six gold terrain that we have in the surrounding. If we do that then that will be a substantial.

Ritesh Shah: Sure Sir would you like to give some project IRR on the current spot prices for gold and magnetite?

Amitava Mukherjee: I will not be able to give you one straight away.

Ritesh Shah: Okay no worries and Sir the lastly on India specific there was this recent amendment? There have been six minerals which have been denotified from atomic metals but you said we are not very hopeful given the auction regime so are we saying that we would not go and even bid for it or how should we understand that?

Amitava Mukherjee: No you see the atomic minerals from our strategic standpoint that is not something that is our area of interest because most of the value realization lies in processing not in mining. Whether it is iridium or uranium or whatever these windows the processing technology is the main challenge there and not the mining and we do not realize too much value out of mining in these minerals. It is the processing that is important and as a result except for we have a short list of six seven to eight minerals which we want to do is bauxite, iron ore, gold, lithium and some others like copper and those opportunities where ever we get whether in India or outside we will be happy to look at so we have narrowed it down to seven to eight windows only which we are really interested. These small minerals which are found in small places and require huge amount of processing is something that we are not very keen of as of now.

Ritesh Shah: Sure and so lastly on diamond what is the update in India and how should we look at this business in three years to five years out?

Amitava Mukherjee: We had got the Supreme Court clearance. We have approached the power committee for our environmental clearance. Some clarifications are required so hopefully in the next meeting we will be able to put it up and let us see if they give us the clearance then we will be. We are ready for mining. We can go in for the mining within a month's time after getting the EC clearance.

Ritesh Shah: Scope for project any tonnage how should we look at it carat?

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Page 19 of 19 Amitava Mukherjee: Beg your pardon. I think it is 30,000 carat mine but initially the first year I think we should get only 10,000 odd carats but as we ramp it up that mine needs to be redesigned. It will take a couple of years but no further diamond projects in India as of now. Diamond and another minerals that going forward we not very on keen on.

Ritesh Shah: Sure this is very helpful Sir. Thank you so much. All the very best.

Amitava Mukherjee: Amit I think has been more than an hour. Now I think I have another meeting to attend.

Moderator : Thank you very much. Ladies and gentlemen, we will take that as the last question. I now hand the conference over to Mr. Amit Dixit for closing comments.

Amit Dixit: Thanks everyone for attending the call this afternoon. I would also like to thank the management for sparing their valuable time for interacting with us. I will now invite Mr. Mukherjee for his closing remarks. Over to you Sir.

Amitava Mukherjee: Thank you for being with us. We are doing fairly well but we expected to do better. The near future in the medium term we have huge plans for the company. We wish to reorient the entire way that we sell our product and the products we sell also so the company is under a major transformation right now starting with what we have seen with the logo itself. We are very keen and we have taken our sustainability agenda very, very seriously. We have just set up a sustainability full-fledged sustainability department. We call ourselves the responsible minor that is the tag that we have and we take our commitment very, very seriously so going forward we not only want to grow big but we also want to be more responsible towards all our stakeholders be it our customers, be it our shareholders, be it the local community, be it the environment, and be it our employees so we hope to be not only bigger but certainly, certainly better as well in future. Thank you.

Moderator: Thank you very much. On behalf of ICICI Securities Limited that concludes this conference. We thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

No.18(5)/2024-Sectt. 21.02.2024

BSE Limited
Phiroze Jeejeebhoy Towers
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National Stock Exchange of India Limited
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Bandra-Kurla Complex,
Bandra (East), Mumbai – 400051
Calcutta Stock Exchange Limited
7, Lyons Range, Murgighata,
Dalhousie,
Kolkata, West Bengal 700001

Dear Sir / Madam,

Sub: Transcript of NMDC Limited post Q3 FY24 – Analyst / Investors Conference
Call held on 15th February 2024.
Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015; NSE Symbol: NMDC; BSE Scrip Code: 526371

Reference the captioned subject, please find enclosed Transcript of NMDC Limited post Q3 FY24 Analyst / Investors Conference Call held on 15th February 2024. The same is also being uploaded on the website of the Company.

This is for your information and records.

Thanking you,
Yours faithfully,
for NMDC Limited

A.S. Pardha Saradhi
Executive Director &
Company Secretary
Encl: As above.

Page 1 of 18

"NMDC Limited Q3 FY2024
Earnings Conference Call"

February 15, 2024

ANALYST: MR. AMIT DIXIT – ICICI SECURITIES LIMITED

MANAGEMENT : MR. AMITAVA MUKHERJEE – CHAIRMAN CUM
MANAGING DIRECTOR (ADDITIONAL CHARGE) AND
DIRECTOR (FINANCE) – NMDC LIMITED

NMDC Limited
February 15, 2024

Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to National Mineral Development Corporation Limited Q3 FY2024 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you, Sir!

Amit Dixit : Thanks Riya. Good morning everyone and thanks for joining the call today. At the outset, I would like to thank the NMDC management for giving us an opportunity to host this call. From the management, we have today Mr. Amitava Mukherjee, Chairman cum Managing Director, Additional Charge & Director Finance. Without much adieu, I would invite Mr. Mukherjee for opening remarks post which we will open the floor for an interactive Q&A session. Over to you, Sir.

Amitava Mukherjee : Good morning and thank you for joining. It has been a good quarter for us again and best since inception quarter, each month has been best and over a 9 month period we have grown our production by 19% sales by 24%. Our turnover has grown by around 25% and the best thing about this growth in turnover is that it is completely volume driven, because if you see 9 month realization of the average 9 month realization it is almost the same. It is hardly there is any change on that. So this entire 25% of turnover growth is volume driven, which is rather encouraging.

Things also look pretty good in the days to come. January was the best ever as you know we have declared, we are doing well in February as well, and the prices have also kept on, there is a buoyancy in prices, so that is good for us. So overall I think the scenario is pretty encouraging.

Going forward of course I have already said earlier also that we have huge plans of our expansion in terms of both production growth and to achieve higher dispatches and distribution. So I think, so far as we are concerned, we are committed to deliver unmatched performance, continue to deliver unmatched performance. So with that I will rather I would ask for the questions, please.

Moderator : Thank you very much. We will now begin the question-and-answer session. First question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora : Hi! Sir, good morning and congratulations on very good numbers. Just our volumes have going pretty well in terms of dispatches particularly. So this year we had earlier guided for

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Page 3 of 18 around 47 million tons of volumes for the full year. So any change in that number or we would largely be meeting that number any comment on that, and also the volumes for next year.

Amitava Mukherjee : We will be very close to that volume whether we will touch 46-47 or not is a question, but we will be very, very close to that. We might exceed by a couple of tons might fail to reach it by a couple of turns 46 plus is something that, around 47 we are still targeting. The main problem is that the Kumaraswamy enhancement has still not come through, we are waiting every day. So it is with CC and with the HCC. Even it comes within the next three or four days, we should be able to do 1 million ton out of that additional, and then 47 would be comfortable, but if the everyday it gets delayed I lose around 20000-30000 of that, because as you know Kumaraswamy is now closed, because we have already touched 7 million ton and we can do no production from there. So, if that comes then 47 is a done thing. If that is delayed then it will be a tough call, but then we are trying to get to 47 even without that, but that will be a really

tough call. We had actually factored in 2 million tons out of there, but now that it has not come, I think at best what we can hope for even if it comes in the next 3-

4 days is to do about 1 million out of there. So next year guidance would definitely be 50 because Kumaraswamy would definitely be there for two or two plus additional two from what we do. Let us say we are doing around 47, so Kumaraswamy itself will give us two and then RWLS which enhance dispatch from Kirandul will ensure that we can do one or two extra there, and we have got the fifth line also now commissioned in Bachel. So that for entire year should give us two. So we should be able to do at least three or four extra from what we do this year. So 50-51 should be our next year guidance, if things go right, if one more project comes on then it should be around 53, but 50-51 should be a comfortable ask next year.

Alok Deora : Sure, thanks for the detailed answer on that, and we have taken price hikes in this quarter. So how do we see the pricing ahead now for iron ore.

Amitava Mukherjee : I think in terms of pricing hike, in terms of pricing we are fairly comfortable. There could be minor adjustment this side or that a little on the upside little on the down side, but largely I think prices look fairly stable. A minor adjustment on the downside or on the upside could be there a couple of hundred this side, that side for a few products not all, but it looks fairly stable and fairly optimistic right now.

Alok Deora : Got it, sir. That is all from my side. Thank you and all the best, sir.

Moderator : Thank you. Next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

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Page 4 of 18 Kirtan Mehta : Thank you sir, for the great set of numbers and this opportunity for question. In terms of previously you had mentioned that we have a constraint in terms of the EC limit around 52 million ton, but you mentioned that if one more project can come through then we can go to 53 MT. So do we have some flexibility in the EC limit.

Amitava Mukherjee : No, we have applied, you see now the rules allow you for around I think 10% increase if you apply without public hearing. So, we have applied for deposit 5 also deposit 13 also we have applied for many of these deposits to have an enhanced capacity. So, if there some of them come through then we should be able to produce. It is only for five star mines and in any case our deposit 5 at most of our mines are five star mines that was allowed for a 10% enhancement on application basis so we are way through to the application.

Kirtan Mehta : How long does this process take for the enhancement without the public hearing.

Amitava Mukherjee : Around 6 months.

Kirtan Mehta : So technically we can go up to 55 million ton or so with this 10% enhancements.

Amitava Mukherjee : Yes, not all mines because we have applied for certain mines even more than that. So that there will be a public hearing. For example deposit 14 and in 11C, we have applied for an increase by more than 5 million tons. So that will have a public hearing just is about a years' time. But deposit 5 where we do not have, we have not applied for a bigger enhancement. We have applied for a normal 10% enhancement. So it is a mix and match for all sorts of things. So to that extent factoring that in and saying if the things go right we should be doing 53 next year 52, 53 next year.

Kirtan Mehta : And in terms of sort of could you also elaborate on the project progress on the all your projects like slurry pipeline, coal block, as well as our new international mines venture.

Amitava Mukherjee : Let us talk about the slurry pipeline first. Of course slurry pipeline is progressing, the pipeline set has been progressing fairly depositors most of the light of pace where there was a problem has been solved except for two villages so out of 131 kilometers except for two

vi

llages I think all these approvals etc., are there, and the work is progressing. On the pellet plant at the tail end obviously we had actually, we were trying to redesign the pellet plant by making it, we wanted instead of 2 million tons per plant it should be extendable to 6 million tons and so there is some common sizing being done. So that is almost that part of the decision is almost done. So we should see a very smooth progress in the pellet plant at the tail end very fast and similarly at the head end you have this purification plant which again has been we were going slow for again common sizing it to 6 million ton, but enhanceable to 6 million ton and enhance common sizing of equipments. So that exercise is

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Page 5 of 18 also almost over. So next year we should see huge progress in both these purification plant at machinery and the pellet plant at Nagarnar move along in tandem with the site and we hope by 25 end we would be able to get that commission fully. So that is our current outlook 2025 end I think Financial Year 2025 we should be hopefully almost there.

Regarding the coal block, we had requested the ministry for grant us to acquire land on the CBA route, the coal bearing act route. So apparently there are some apprehensions that it cannot be done, but I am very, very hopeful that the necessary approvals will come under

the CBA act, which will drastically reduce our time for execution. If it comes to CBA act then we should be good to go by early FY2026 in around 16 to 18 months time we should be able to start mining in Tokisud and of course the Rohne also we are pursuing, Rohne there is no problem of CBA approval Coal Bearing Act approval. So that would be expedited once the CFR is made. Our Australia operations as you know have already started. We have started mining through Legacy Gold Mine there, we have started, this is our first mine, they are gaining experience that we plan to invest more money to get the exploration in the other tailwinds at a faster rate so that we are able to mine the others if possible within the next 18 to 24 months.

Kirtan Mehta : Thank you for this color. Just one more question in terms of the NMDC Steel Plant as well would you sort of highlight the current progress and time it will take to stabilize operations.

Amitava Mukherjee : Well if you see the production of January of about 1 lakh ton is exactly here. So we did around 97000 or 98000 of HR coil which is almost 50% or 60% higher than our previous month of around 65000-66000. So we are in the process of stabilizing it, in the first four months we had done around 2 lakh tons of HR coil, which in January itself we did 1 lakh. So that procedure that is being done. So once we are able to roll around 5000 or we have touched the 1 lakh mark, once we touch the 1.5 lakh, 1.6 lakh mark I think the company will turn profitable by that time. All we have to do is ensure that the production goes up to 100 from the current 1 lakh that we achieved in January to around 1.5, 1.6 lakh tons. So that would be around 66%-70% and we will break even by that time. Of course we will have to ramp it up even higher, but yes there are not constraints in terms of rake movement and there are other constraints, but then we have to just solve each of them as we go ahead.

Kirtan Mehta : Thank you. Thanks for the detailed answers, I will get back in the queue.

Moderator : Thank you. Next question is from the line of Siddharth Gadekar from Equirus Securities. Please go ahead.

Siddharth Gadekar : Sir, in the recent interview you had highlighted that beyond 53 million tons, it would take us 3, 4 years for the incremental volumes to come in. So beyond FY2025 then we would not see any volume growth till FY2028 is that a fair understanding.

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Page 6 of 18 Amitava Mukherjee : Yes, because most of these are major projects. You see let us take for example why do I say

that because if you see let us take deposit 11C and deposit 14 and 11C. So we expect another 5 million ton coming from that. So that is dependent on the project that is being now currently being tendered. So that will take around 3 years to get executed. So there are a lot of projects which have similar of an execution time, which will give us major volume growth of course 1 million ton, 2 million ton here and there we can obviously go up to 52, 53 maybe even 55 by sort of debottle necking and flogging the existing system subject to getting the enhanced EC limits. But the major things will come in when the projects that we are planning now are executed. They will give us quantum jumps of 5 million ton, 10 million ton each. So that is what I say that the main and it will be a onetime sudden big jump around 28-29 if we are able to award all the projects in the next financial year there is another three years to execute that is the timeline that I see.

Siddharth Gadekar : So sir, it is fair to assume that 2026 to 2029, 2028 at least there will be very minimal volume growth and then 2029 we will see a very sharp jump in volumes.

Amitava Mukherjee : Yes.

Siddharth Gadekar : Okay, got it. Thank you so much.

Moderator : Thank you. Next question is from the line of Pallav Agarwal from Antique Stock Broking Limited. Please go ahead.

Pallav Agarwal : Good morning sir. You had mentioned on the ramp up of NMDC Steel. So in terms of the coil production, so is the blast furnace also production in sync with the HR coil. So the blast furnace is taking more time.

Amitava Mukherjee : No, the blast furnace is perfectly okay, I can run it to 10000 tomorrow, we have run the blast furnace to 7000, 8000 on a particular day, on a few days, there is absolutely no problem with blast furnace. There is some problem with doing the bills, if I can roll the coils to around 5000 to 6000 tons a day which is around 160000 to 180000 a month, then I can back to back you see 6000 of coil means around another 1000 for pig, 2000 for pig casting. So it is 8000 of hot metal around I can take it out. I can take my blast furnace up to 12000. Blast furnace is not a problem.

Pallav Agarwal : So we do not intend to produce pig iron and sell it externally, I mean, it is like going to be consume internally.

Amitava Mukherjee : Well we are selling pig iron, we will sell some pig iron because more the capacity the blast furnace runs the lesser is the cost of hot metal. So, if you are running it at 8000 10000 your

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Page 7 of 18 cost of hot metal comes down. So naturally even if I have to do 2000 of pigging I think that makes sense when the blast furnace center system and that will all depend on the coil pulling capacity that we have.

Pallav Agarwal : So, I mean, our iron ore sales at arm length to NMDC steel so that would keep increasing with the blast furnace production. So how much of additional volumes let us say has in this quarter probably would have come from sales to NMDC Steel.

Amitava Mukherjee : I think it is around last four months I think we have sold 500 something Crores, last four, four and a half months up to January end, December end we have sold 555 Crores.

Pallav Agarwal : So also have you received any more of the refund from that Supreme Court order on that Karnataka.

Amitava Mukherjee : No we have requested the Supreme Court out of 2000 we have got 1000 and 1000 is still here. 1800 is still there out of 3000.

Pallav Agarwal : 1800 Crores you still have to receive sir.

Amitava Mukherjee : Yes, out of 2900 we have received about a 1000 Crores another 1800 Crores we have to receive.

Pallav Agarwal : And this is excluding the 2200 Crores is that we have advanced to NMDC Steel. So that also probably at some point of time once the company turns profit.

Amitava Mukherjee : Yes, that is around 20 is 2000 Crores that obviously will come back.

Pallav Agarwal : Sure sir

. Thank you so much.

Moderator : Thank you. Next question is from the line of Shweta Dikshit from Systematix Group. Please go ahead.

Shweta Dikshit : Sir, could you guide the Capex number for the next two years FY2025 and 2026 and what is the net debt level as of December and lastly what is the CWIP currently.

Amitava Mukherjee : The net debt levels is obviously for NMDC it is nil we have not taken any debt so that is one thing. The current year guidance is of course we will do around 1750 to 1800 Crores for NMDC and we are on target we have already spent around 1500 Crores by end of January another 1500 to go so we should be able to do that. Next year would also be around this same 2000-2100 mark and then going forward there would be some major jumps and all
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Page 8 of 18 that. Next year will be basically again it is existing project sanction. So next year I think it will be around 2000 Crores mark and the current CWIP is at around 2900 Crores that is 2880 Crores so that is about 2900 Crores.

Shweta Dikshit : Okay. Thank you sir.

Moderator : Thank you. Next question is from the line of Ashish Sreekumar an individual investor.

Please go ahead.

Ashish Sreekumar : Hi, congratulations on a great set of numbers. I have two questions just quickly ask them. One is you had mentioned about the expansion plan. So, if you could just elaborate slightly on that, and the last question would be on what is the current capacity at that which we are functioning in the deposit size?

Amitava Mukherjee : I did not understand the last part of your question.

Ashish Sreekumar : The last question I had asked was what is the capacity we are functioning at the moment in the Bachel mines deposit 5.

Amitava Mukherjee : Deposit 5 I think it is the EC is 10 million ton. I will just check I think the EC is 10 million ton and we are doing 10 million ton. So if it goes by we have applied for 12 million ton EC, I think we get that similar in that will be, I will just confirm the numbers of that, but I think if my memories are right that is what we have done. We are now almost the current EC is of course 51 and we have reached around 46, 47 but we are this time by the plant capacity. So obviously the first time we get the plant refurbished or new plant in there. So Kirandul this year is expected to do around 16.5 to 17 million ton and so is Bachel is almost to do around 16.5 to 17 million ton. So that is what we are hoping that we will achieve.

Ashish Sreekumar : And EC will technically take six months that you had already mentioned.

Amitava Mukherjee : If there is no public hearing, but there are some but where we are asking for a huge increase Bachel or Kirandul is supposed to go up to from the current 15, 16 million ton of EC2 we have asked for I think an up to 30 million ton all the mines taken together. So that is a process that includes that needs of the caring and that needs huge Capex too and deposit 5 as you said is the EC is there and we also produced 30 million ton.

Ashish Sreekumar : And the first question on the plants of expansion. If you could just elaborate on that.

Amitava Mukherjee : Yes, Kirandul from the current 2019 we expect to go up to 30-35, so the plants are being made in two of the mines I think even we have tendered out the project of new crushing

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Page 9 of 18 plant and all those things, so that should give us another 5-6 million ton to the SP3 that is the screening plant third which is being executed by L&T it is slightly delayed, but that has a capacity of around 12 million ton. So Kirandul by another four, five years we should be able to do 30 to 35 million tones of Kirandul and from Bhacieli also we have not tendered out anything much except that we have just completed the additional 2 million ton screening line around a month back, which is under stabilization now. So even in Bacheli from the current 18.

8 million ton of EC we would expect is of 30-35 most of the production enhancement projects are been designed right now for the SEBI they had not been tendered out but for Kirandul most of them at least two of them has been tendered out and one of them is under execution.

Ashish Sreekumar : Okay fair enough. Thank you that is all from my side.

Moderator : Thank you. Next question is from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.

Ashish Kejriwal : Hi! Thanks for the opportunity. First, my question is on Karnataka mines. One of your competitor obviously they used to export also and earning much more than what they are what they can sell in the domestic market. So any thought process that we can also start exporting at least from Karnataka.

Amitava Mukherjee : Because we mostly sell above 68%. So the export would attract a duty of 30% and because of that we have seen that our net domestic realization is generally more than our exports in value.

Ashish Kejriwal : So do you think that even at \$130-\$135 per ton our net domestic realization is higher than export relation.

Amitava Mukherjee : Yes, it has been even at \$200 because when you do a net back you also have to pay port charges you have also have to factor in the royalty and DMF which accounts for almost 20%-21% and then you have to call for freight which is again around Rs.1400 to Rs.15500 if you do a net back at mines head very few times there is an economic justification of export. Yes, there is a strategic of export because when you go to 100 million ton you would require to have access to international markets as well for which of course to be present on a long-term basis you cannot be a Fly by Night operator there, but that is an aspect that we are looking at in terms of our expansion plan, not in terms of an immediate sort of thing.

Ashish Kejriwal : So that means for next two years we are not looking export as an option.

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Page 10 of 18 Amitava Mukherjee : We are kind of exploring the market see if there is a strategic tie up is possible with something then it is a different case, but there is no economic case we will have to take a sort of margin hit to do that, but when should we start it is a question that is being debated right now when we should have a profit of course at 100 million ton you deserve one you have to have one.

Ashish Kejriwal : Is it possible to share cash and cash equivalent at third quarter ahead.

Amitava Mukherjee : Yes, cash was I will just give you net cash was around 11500 Crores.

Ashish Kejriwal : And lastly about this lithium and other rare earth minerals last time we discussed that we get an opportunity maybe we can look into it. So what is our status now? Are we going for any auction in that in India?

Amitava Mukherjee : Well it will not apply for the auction route, in fact we are looking at lithium beyond the border even Australia some of the working mines were negotiating this with them for some equity stake or some off take agreement. Our port arrangements of mount lies between lies in a very lithium rich area where there are working mines just above our arrangements, or just below our arrangements. So we are doing our PFS along with our people, along with our partners and we are looking at all the other countries that can offer us opportunity for lithium. So we are not close, we are exploring the international market for right opportunity.

Ashish Kejriwal : The last question is this 252 Crores which we have to pay for this Donimalai iron ore mine.

Is it possible to elaborate it further why it happens because this mine has been there for long and what additional we have taken. So that we have to pay at least panel charges and interest what is on the account of that.

Amitava Mukherjee : Yes, it is a very unfortunate thing that happened. You see we had built our facilities in 1977 there are a lot of plants and conveyor tha

t were built in 1977 and the forest act came in to, the forest act came into forth 1980. So, we built this before the First Act came in and then every thought there was a violation of the forest act with retrospective effect. So now then we wanted something extra done then it was found out about three years, four years back range so original thing you do not have the forest clearance and all those things. So naturally we have to pay these for ultimate, we could have done this because this was at

1980 the forest act came and we had built this in 1977. So it was as because we wanted to add with the facilities it was known that we do not have the original so if you see the actual amount paid is only 30-31 Crores which has been capitalized next is basically penalty of around 60 Crores and 180 Crores is interest on penalty. It is very unfortunate thing and we have to take a massive hit in the Q3, thankfully our numbers are good enough to sort of

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Page 11 of 18 absorb that, but something, but we need to expand also, we need and we say in the long-term interest of the company.

Ashish Kejriwal : Sure sir. Thank you and all the best sir.

Moderator : Thank you. Thank you next question is from the line of Raashi from Citi Group. Please go ahead.

Raashi: Thank you. Sir, just on your volume breakdown the 37 million tons that you have done until January could you just break it down from at least your top three or four clients rough idea.

Amitava Mukherjee : The standard is RINL, JSW and AM/NS. So they account for around 70% to 72% of our sales and that trend has remained.

Raashi: So that is continuing.

Amitava Mukherjee : AM/NS we have sold around 18 million ton, RINL is 15, sorry the percentage is right now JSW is 38%, RINL is 15%, and AM/NS is around 18% of the same.

Raashi: 15%, 18% and 38% you said right.

Amitava Mukherjee : 18%, 15% and 28%.

Raashi: Okay thank you and then on NMDC Steel anything around the plants to divest the government divestment.

Amitava Mukherjee : I have no visibility on that because we are just too concerned about ramping up the production right now. Of course when it was being driven, it is being driven by GCOM and not by us we were aware that there is a huge amount of interest in that very special interest and rightly so it is the state of the art plant. So once and as and when and if it is sold so there will be naturally a huge amount of interest, there was a lot of interest, but then we have been completely gone down with improving that and in any case the government is running that process and right now we do not have much to discuss.

Raashi: Got it and just last question I think just a follow up one on the previous question. So for next year the volumes are expecting to be around 50, 51 million tons and then kind of remaining sort of steady state for the course of the next two, three years until FY2025.

Amitava Mukherjee : If we get that I would make it around 53, 55 little stability on that 53, 55 and as and when this is just come in and there will be account of that.

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Page 12 of 18 Raashi: Got it. Okay thank you sir.

Moderator : Thank you. Next question is from the line of Mohammed Farooq from Pearl Capital. Please go ahead.

Mohammed Farooq : Good morning sir. Good morning and congratulations for the good results. My question is China produces 60% of world steel and consumes almost 50% of both steel and iron ore.

With China's largest real estate firm declaring bankruptcy. Do you anticipate significant headwinds ahead or do you expect China to flood Global Market with steel products. In this case how you justify thousands of Crores spent on capital expenditure in this scenario.

Amitava Mukherjee : Chinese imports at times have been a cause of concern in India that is obviously there, but then our producers have survived and I think if you see the Indian consumption scenario it is very,

very, very encouraging. So we are now at around what 275-280 kilo gram per person consumption up from 168 around few years back. Right now we are at around 180 we are supposed to go up to 262 in the next five, seven years. So there is a huge demand and infrastructure is going to drive it and you have such very pinpointed infrastructure like Har Ghar Nal and which is all consumption of Steel then you have the road infrastructure the Sagar Mala and which in the next five years only these flagship was including the Prime Minister's Awas Yojana which is almost 3 Crore houses. So if you name the flagship the 7, 8 flagship that itself is going to consume around 100 million ton in the next 5 to 6 years. So I do not think from the consumption point that there is going to be any lack of demand in India obviously the Chinese imports have been a cause of concern, but most of it has not lasted for more than some time, because it is huge.

Mohammed Farooq : What do you think about like China it can dump in the world market the steel products that part.

Amitava Mukherjee : That we are thinking about crossing the bridge when we get to the river. Right now it is a hypothetical question because time where even antidumping duties have been imposed whether it is a case now or in future that is what you will have to think about crossing the

bridge when you get to the river not now at that time.

Mohammed Farooq : Second question on the steel. Could you please provide information on the average price realization per ton in the current market and what level you expect in the near future the steel.

Amitava Mukherjee : The current realization per ton of HRC has been around if I correctly say it is around Rs.51200-Rs.51150 this is obviously for HRC and now it is 36500 for the pig iron. Now in HRCs were little we have to our realization average utilization is lesser than our peers
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Page 13 of 18 because of two reasons, number one that we have a price we have a logistics cost disadvantage of around Rs.2000 a ton as compared to our peer. So that is something that needs to cater. Also the site has been producing a lot of during the experimental thing we have been producing a lot of things that are not readily marketed so 10748 we produce around 30000 tons which had to be sold at a little bit of discount it was still at the same. But we had to produce it because for testing our bill. So right now a lot of products come which are not readily sellable in the market so we have to liquidate it with some amount of financial incentive, but going forward with the new stabilizers I think our realization would be higher than our peers.

Moderator : Thank you. Next question is from the line of Bhavesh Patel from Patel Investments. Please go ahead.

Bhavesh Patel : Thank you for the opportunity and congratulations on great set of numbers and wonderful performance. My question is regarding our Capex plan for upcoming, will that come out of our cash balance and the money we make or do we have any fundraising plans and that will have any impact on the dividend policies.

Amitava Mukherjee : I think right now we have more than adequate cash balance to fund our Capex for the next two, three years. So I do not think there is any plans to raise capital from the market as of now. We have around 11000 Crores of cash next year our Capex is around 3200 expected to be around 2200 it will raise to around even 530000 Crores in over course of 5 years. So our average spend of around 5000 to 6000 Crores a year. I think that is the amount of Capex we will be able to service to our own internal accruals.

Bhavesh Patel : Sure thank you and again that will have any impact on the dividend we announced it, right.

Amitava Mukherjee : No, I do not think, I think even today, yesterday we have announced dividend of Rs.5.75 the payout is around 1580 Crores. So we have been consistently paying dividend about 40% ever

y year. So that will cost us 2000-2200 Crores even in future. So I do not think even with the Capex of 6000-8000 Crores and a dividend of if we keep our dividend at the current levels of 40%-45% I do not think cash would be an issue.

Bhavesh Patel : Sure thank you and all the very best for the executions for upcoming large plants.

Moderator : Thank you. Next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Hi! Sir, thanks for the opportunity. Just one question. This is more from a policy standpoint, we were hearing a lot of things around National Mineral Index, Sir any progress over here.

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Page 14 of 18 Amitava Mukherjee : We have not been asked to participate and we do not have any visibility of that. I am wrong

person to give you an update on that.

Ritesh Shah : Sir, let me put it the other way around if the ministry had to do something they would definitely seek your suggestions. So is there something that which has actually the input that we have given to the ministry.

Amitava Mukherjee : No, not as yet nobody has asked us out of it.

Ritesh Shah : Sure that is useful. Thank you so much.

Moderator : Thank you. Next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari : Good afternoon sir. We were talking about lithium mining and rare earth mining. In India also we have at Degana in Kashmir cannot we get it on nomination basis.

Amitava Mukherjee : No, let us be very clear that NMDC is not interested in rare earth that is a separate ball game altogether it is a conscious decision that we have set and not.

Rajesh Bhandari : And what about lithium sir.

Amitava Mukherjee : Yes, lithium, it is something of our interest, but most obviously as of now I think the government is keen on doing the auction route for lithium. So that is little less.

Rajesh Bhandari : Sir you told that forest has put penalty but operations are there your conveyors, etc.

Amitava Mukherjee : Operation will be there

Rajesh Bhandari : So it will continue because you have already paid the penalty.

Amitava Mukherjee : This is not related to that also. We wanted to put in a few more infrastructure assets there.

Then we came to know that all this in 1977 this forest scheme and acts have come, after that forest department told so, we did something.

Rajesh Bhandari : One thing came into my mind you have many lands with you, many places with you so why cannot we apply for the solar energy?

Amitava Mukherjee : No, that we will have to take a call the only square land we have is in Palvancha the rest of the land is not square.

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Page 15 of 18 Rajesh Bhandari : Even there is a conveyer gallery, etc. we can put solar on top of it. Sir you have (inaudible) 47:06 conveyor galleries.

Amitava Mukherjee : No, that is a difficult thing because see that would depend on where the conveyers are situated there are other things just because we have conveyor we have them does not mean that it can be economically done at an industrial scale that is not feasible we have a piece of land at Palvancha a huge piece of land (inaudible) 47:32 we will see what happens.

Rajesh Bhandari : Yes, I know sir I am from McNally Bharat so I know we have done lot of job there.

Moderator : Thank you. Next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor : Namaskaram Mukherjee and thank you for the opportunity. Sir when we look at our consolidated numbers there is an increase in other expenses I think so to the tune of 20 or some odd Crores if you could explain the reason that is lower the profit by that equivalent amount and also on the pellet part we are losing money under the category of pellet with a run rate of now 30-35 Crore.

Amitava Mukherjee : You are asking about the increase in other expenditure of...

Saket Kapoor : When we look at the consolida

ted numbers then the quarterly numbers. Shall I repeat sir.

Amitava Mukherjee : Quarterly numbers I did not get the CSPs.

Saket Kapoor : Sir if we see both standalone or consolidated numbers...

Amitava Mukherjee : It can be high.

Saket Kapoor : Other expenses number 543 Crores. There is an increase in when we take the consolidated number.

Amitava Mukherjee : No, but that is for legacies where mining operation will go on for now it is that expenditure (inaudible) 49:15 .

Saket Kapoor : And there is no income as of now.

Amitava Mukherjee : No, it could start in another two, three months. Now first we have to show we are top player, we have to remove the overburden, when we over start (inaudible) 49:42

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Page 16 of 18 Saket Kapoor : And on the pellet losses, what should we read into it and how long will this losing trend continues 30-34 Crores quarterly loss.

Amitava Mukherjee : No, it has come down for past 9 months to 17 Crores loss we have now increased our production up to 2 lakh ton.

Saket Kapoor : Please correct me sir for 9 months the losses in the pellet and other mineral services is to the tune of 104 Crores and quarterly run rate is 33-34 Crores so sir tell about this.

Amitava Mukherjee : It is for the pallet only 65 Crores and sponge iron is 11 Crores, we have bought the EC we should be able to start it by the end of this month, SIU we have to keep that property so there is no activity at Palvancha. Pellet plant last nine months the losses have come down from the 58 Crores to 17 Crores the good news is that the penalty that we are paying for 250 Crores also covered the tailing dam at Donimalai from where we could not extract the tailing to feed our pellet plant. Now once we pay that we will be able to feed the tailings to the pellet plant and hence the production would go up. We are also contemplating having a partnership with private players on O&M basis to run the pellet plant so that on avenue sharing basis. We are exploring that avenue as well. So that should be finalized in another 3 to 6 months.

Saket Kapoor : So you mentioned Panna Diamond losses at 50 Crore.

Amitava Mukherjee : Yes.

Saket Kapoor : So that is annual basis or for what period.

Amitava Mukherjee : For the last 9 months.

Saket Kapoor : And what steps are we taking to mitigate, I mean, just if we are starting expedition that is only answering my previous question.

Amitava Mukherjee : We have not did EC and nobody knows the ministry will come, it has been put up to the ministry once the approval comes in three or four days we should be able to do it.

Saket Kapoor : Then we covered the losses and the 50 Crores losses this will get covered post the mining.

Amitava Mukherjee : Panna has never been very profitable for us but now for one year we have to do waste mining. One year we do not expect any diamond to be found because the one year waste

mining Panna is generally a very profitable venture for us, but it is our oldest mine the only mine so it is like the diamond on the crown so it is something that is more than...

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Page 17 of 18 Saket Kapoor : It will continue sourcing there.

Amitava Mukherjee : Yes, but not to this extent. Initial year yes when we do the waste mining yes, but once we start producing it will come on drastically, but it will not be a money spiller for us.

Saket Kapoor : Thank you and all the best sir.

Moderator : Thank you. Next question is from the line of Reddeppa Gundluru from Financial Advisor Stock Analyst. Please go ahead.

Reddeppa Gundluru : Namaste sir and congratulations for the wonderful figure for this quarter 62.6% also dividend. Wonderful performance. Here my question is what is the progress of our legacy and also the company, subsidiary company NMDC Limited. How much money is being given to legacy by the way of the investment for the boosting of this company for operation then my question is whe

n will you expect the profit from this company.

Amitava Mukherjee : Well the gold project that is already under mining is expect to give us 10 million ton, expected to give legacy of 10 to 11 million ton and if you find more it will only go higher about 9 to 10 million ton, but we will have to invest more in exploration. So there are five other segments there of gold close to us. So we can take a call of them simultaneously so that we get the economies of scale. Apart from that on our flagship we are tied up with as you know Hancock prospecting which is one of the largest mining companies of the world and the PFS of the Bangladesh project is almost over. In another two, three months the PFS will be over and the PFS on the lithium mining would commence I think in another two to three months that should be completed in 12 to 18 months.

Reddeppa Gundluru : We are giving the benefits to our NMDC Steel, NMDC Steel is taking various benefits from our NMDC Limited so all this money will when will we expected to repay.

Amitava Mukherjee : What the base reason I think we have already touch a level of 45% we go to 75% and then the company will be able to generate cash profit and then we will be able to go from there.

Reddeppa Gundluru : Thank you sir. I am satisfied.

Moderator : Thank you. Next question is from the line of Mayur an individual investor. Please go ahead.

Mayur: Good morning sir. Congrats for the good set of numbers. Just I wanted to ask regarding the mines which we bought, I mean, we started a gold mine in Australia, so have the production been started regarding that.

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Page 18 of 18 Amitava Mukherjee : That is exactly what I said, we have already started the mining and right now waste mining

is being done and in another month or two we should be able to hit the level. Right now the waste mining level is being done so obviously when you start mining we have to take off the top there to reach the ore. So in another one or two months I think two months we should be able to generate cash flows from our ore anyway is already working.

Mayur: What will be the production capacity to get the breakeven and coming on net profits for NMDC Steel.

Amitava Mukherjee : It should be at 55% that is around 5000 tons of coils per day.

Mayur: So can that be achievable in Q2 of FY2025.

Amitava Mukherjee : Definitely in fact we have target to achieve that number by Q1 of 2025.

Mayur: Congratulations and thank you sir.

Moderator : Thank you. Ladies and gentlemen due to time constraint that was a last question of the day. I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you sir.

Amit Dixit : Thanks everyone for attending the call this afternoon. I would like to thank the management for sparing their valuable time for interacting with us. I will now invite Mr. Mukherjee for closing remarks. Over to you sir.

Amitava Mukherjee : Thank you Amit and thank you all for listening in and for the great encouragement provided. We hope to continue our good performance not only to Q4, but also in the coming years, we have major investment plans that we are lining up right now, they are most of them are at prime stage. So in times to come NMDC and both also NSL would be an exciting thing to keep watch on and obviously even we have great hope for our coal ventures at Jharkhand if the CBA comes through we should be able to do that fairly quickly. So overall our future looks very bright and encouraging for NMDC. Thank you so much.

Moderator : Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

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Dear Sir / Madam,

Sub: Transcript of NMDC Limited post Q4 FY 2023-24 Results – Analyst /
Investors Conference Call held on 29th May 2024.
Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015; NSE Symbol: NMDC; BSE Scrip Code: 526371

Reference the captioned subject, please find enclosed Transcript of NMDC Limited post
Q4 FY 2023-24 Results Analyst / Investors Conference Call held on 29th May 2024. The
same is also being uploaded on the website of the Company.

This is for your information and records.

Thanking you,
Yours faithfully,
for NMDC Limited

A.S. Pardha Saradhi
Executive Director &
Company Secretary
Encl: As above.

“National Mineral Development Corporation
Q4 FY24

MANAGEMENT : MR. A
MANAGING
DIRECTOR OF
DEVELOPMENT

MODERATOR : MR. A
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National Mineral Development Corporation
FY24 Earnings Conference C all
May 29, 2024

AMITAVA MUKHERJEE - CHAIRMAN
MANAGING DIRECTOR (ADDITIONAL CHARGE)
DIRECTOR OF FINANCE - NATIONAL MINERAL
DEVELOPMENT CORPORATION LIMITED
AMIT DIXIT - ICICI SECURITIES
National Mineral Development Corporation Limited
all"

CHAIRMAN -CUM-
MANAGING DIRECTOR (ADDITIONAL CHARGE) AND
DIRECTOR OF FINANCE - NATIONAL MINERAL
DEVELOPMENT CORPORATION LIMITED

National Mineral Development Corporation Limited
May 29, 2024

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Moderator: Ladies and gentlemen, good day and welcome to NMDC Limited Q4 FY '24 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you, Mr. Amit.

Amit Dixit: Thanks, Manuja. Good morning, everyone, and thanks for joining the call today. At the outset, I would like to thank the management for giving us an opportunity to host this call. From the management, we have today, Mr. Amitava Mukherjee, Chairman-Cum-Managing Director (Additional Charge) and Director of Finance.

Without much ado, I would invite Mr. Mukherjee for opening remarks, post which, we will open the floor from an interactive Q&A session. Over to you, sir.

Amitava Mukherjee: Good morning. Good morning, everybody. Thank you for joining. I'm pleased to talk to you once again on the results which has been spectacularly good. The last financial year, both in terms of production and sales were the highest, they were record-breaking. And of course, because we could not get the Kumaraswamy then, it was only last year, so we were slightly lesser our target. But this year, Kumaraswamy sanctions have already come, there already -- all the sanctions have come, but it has come for about 1.5 billion tons extra.

So this year, we will be even better. Our profits were around 19% higher for this quarter as compared to the previous quarter. Now this is, of course, leaving out the exceptional items. Last year, if you remember, there was an exceptional item of about INR1,000 crores, INR990 crores for monetary committee.

So if you leave out that exceptional item, our PBT in this quarter has been 19% higher and in the entire year has been about 30% higher. So these are -- I understand very satisfactory performance. But this current year, we expect to do much better than this and surpass our current best achievement easily. That is what we are looking at.

The capex itself was also record-breaking about INR2,100 crores, which is the highest ever if we are giving out the Nagarnar steel plant. Of course, we reached INR3,700 crores above 3-4 years back. But of that INR3,700 crores, I think, more than INR2,500 crores was Nagarnar. So like-to-like basis, capex was 114% higher than our target and the highest ever.

Going forward, we have about INR50,000 crores of investment in the pipeline at various stages from pending sanctions, some have been sanctioned, from our tendering stage and some other stage. So we are on our way to make this company about 100 million tons company in the next 5 to 6 years. So thank you. We can now have our questions.

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Moderator: Thank you very much. The first question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora: Congratulations on pretty decent numbers, especially on the volume front. So sir, just firstly, if you could indicate now with the sanctions coming, what kind of volumes we are looking at for FY '25 and '26?

Amitava Mukherjee: FY '25 [inaudible 0:04:54] million tons, that is our immediate target to touch this financial year. It will be a tough point, especially because we lost a little bit of production in the month

of May due to some unfortunate go-slow by the workforce. So we have lost that, but we will make this up because this is early in the year. So we've lost about 1 million tons, but that we will easily make up. So our target for this year would be the 50

million tons production.

Coming that the Kumaraswamy has come from 1.5 million ton extra and remember this year Kumaraswamy from 8th of February, we did not work. In Kumaraswamy, we did not work for approximately 50 days. And that is why the Q4 volumes, if you know, were below the last year's Q4 volume.

So 1.5 million tons, we are surely going to get extra there. And from our other mines, we are -- even in Bachel, the 2 million tons is now it has already been commissioned and it has started working. So we expect about 2 million tons extra in Bachel. And so this year, I think we should be able to touch 50 million tons this year. There after the year after that, we will be trying to touch 54 million and these are the 2 targets that we immediately have.

Alok Deora: Sure. And this capex, which you have guided for FY '25 of around INR2,000, that would be largely that number only?

Amitava Mukherjee: Yes. Because most of our big capex projects are at the tendering stage and where in the first year, the expenditure is expected to be lower, but it's generally 5% to 10% because that is basically designed drawing and equipment versus payment. So thereafter I think from next year, it will really pick up.

Alok Deora: Sure. Just last question. So there is use of the employee wage negotiation going on. So what's the update there? And how could the employee cost look up in FY '25 and '26?

Amitava Mukherjee: See, we are already providing for -- even in this year's account, provision has been made for the -- even in the previous account, I think it was due from 1st April last year. So we have been conservative in making the provision every year. So I don't think there's going to be a major problem there. So I think it's going to be about INR100 crores more [inaudible 0:07:33] cost, approximately. But that will not come a differential here because last year also and this year also we have providing for that in our accounts.

Alok Deora: So the negotiation is completed or it's still going here?

Amitava Mukherjee: No, it's almost under penalty, it's the penalty percentage.

Moderator: The next question is from the line of Pallav Agarwal from Antique Stock Broking.

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Pallav Agarwal: Yes, good morning sir. Sir, just a question on the other expenses. This quarter, we saw it was substantially higher on Y-o-Y and on a sequential basis. So is there -- are there any provisions for expected credit loss on...

Amitava Mukherjee: Yes. Yes, there was this plant in Donimalai, which was with us since 1968. And when the Forest Laws came in 1980, a part of that became forest land. So that was never regularized and we had our infrastructure there. So quarterly gains --, so we then tried for regularization of that. So we had to pay INR252 crores -- INR282 crores for that land which was in our possession where we had our structure, but was the forest land.

So formally, it was diverted last year Q4. So that is why we had to pay INR282 crores and that is the big hit that will be seen in the books.

Pallav Agarwal: So that is in Q4, sir, in the current quarter, you saying?

Amitava Mukherjee: Q4, that was in Q4.

Pallav Agarwal: Okay. Sir, the other question was on -- I think this time, if I take a look at royalty as a percentage of sales, so it seems on the higher side. So normally, what -- I mean, is 40% of the sales revenue a normal royalty percentage to take going ahead?

Amitava Mukherjee: Royalty and additional royalty taken together would be around 40%. In fact, it will be 43% approximately. That is royalty and additional royalty taken together.

Pallav Agarwal: Sure, sir. Lastly, sir, so in terms of what would be the current cash and cash equivalents on the books at the end of FY '24?

Amitava Mukherjee: Gross is 12,000 and net is, I think, 9,000 -- 8,900. As on date, it is 9,200. As of 31st March, it was 8,900 net and as on date it is I

NR9,200.

Pallav Agarwal: Okay. Thank you sir.

Moderator: Thank you. The next question is from the line of Vikash Singh from Phillip Capital India.

Vikash Singh: Good morning, sir. Sir, in terms of employee provision, can you just give us some idea that what percentage of wage hike you have already provided for in terms of provisions?

Amitava Mukherjee: I think we're providing -- around 10% hike, we have been providing, 10%-11% hike of two quarters a year. We are providing month-on-month basis.

Vikash Singh: Understood sir. Sir, my second question pertains to our target of 50 million tons. Last year also, we actually had a little bit of upset in terms of reaching our target. So incrementally --

only your Karnataka mine has given 1.5 only. So rest is coming from Chhattisgarh and do we have the recreation for that?

Amitava Mukherjee: Yes, we will get a little bit from Donimalai. Donimalai last year was 6.1, so we will get at least 0.5 points extra from Donimalai. So Karnataka will give us two. And Chhattisgarh will give us three incremental.

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Vikash Singh: Understood sir. And sir, just one last question. Post the price hike on '27, do we now at our within terms of adjusted for the exporter and as the export duty or there is still a scope of further price hikes?

Amitava Mukherjee: 450 were -- is hardly -- export prices would not really affect unless it is coming down very sharply. Export pricing affect us only when it is a huge downward trend and -- when it is risk to be brought up. Our rate is going up for the export do not really affect us. But domestically, yes, we are at par or blended cost this is with at par or even at a slightly premium on most of the other domestic suppliers are there for the different markets.

Vikash Singh: Understood, sir. Thank you. That's all from my side. And all the best for future.

Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities.

Please go ahead.

Sumangal Nevatia: Good morning sir. Sir, my first question is, we have some advances to the NMDC steel company. So what is the status of that? Any timeline as to when do we expect that to recover?

Amitava Mukherjee: I think from Q2 of this year, we'll -- they will start repaying. That is you see, if you -- because I'm a Chair personnel Director for that company as well. That company is in line -- is processing inline to have a breakeven by Q2. If you see the month-on-month figures, the HRC production right now is at around 120,000 tons per month. We will hit a breakeven, which was about 66,000 in December.

So we have almost doubled it by May. So if you see that our cost of total production of 1 million tons, which we turned to service of April, is the fastest ever in any PSU. Sale, for example, did it in 260 days and RIL did it in about more than 290 days. So even with established team makers, we are performing better. So the only problem there is a little bit of dispatch to all three. We are doing about one to 1.5 rakes per day.

The moment we do two rakes a day, it will touch around 6,000 to 7,000 both on dispatch and production per day. So we will start taking money. The good news is that when I was there on 24th, we started the PCI, the pulverized coal injection. And that will lead to a substantial reduction in cost of hospital and -- so taking all barriers together that we have touched 120, we need to touch above 150, we'll start making money.

We are already cash -- almost cash breakeven. So I think going forward in Q2, is the strength which we are able to maintain this momentum and some of you who are giving problems that are there still, we should breakeven in Q2 and by Q2, the repayment should start.

Sumangal Nevatia: Okay. And sir, do we earn any interest on this advances or is it interest-free?

Amitava Mukherjee: They are not deposit because deposit or advances will draw

, what you call, the provision from

article of Section 186, but this is -- a bigger part of it is pre-deposit expenses. The expenses between the sale of the appointed date and the effective date. That 1.5 years, that expenditure, so that capex and everything that we did on their behalf, that is also the scheme of conservation. That's around INR2,500 crores to INR2,600 crores.

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The rest of it is for iron ore supplies that we are supplying which is being given right now on credit. So the rest of that is around INR1,300 crores. So these two will start to slowing reaping I think by Q2 of the current year.

Sumangal Nevatia: Okay. Sir not clear. Sir do we earn interest on this or it is just pure...

Amitava Mukherjee: No we cannot. This is not a deposit.

Sumangal Nevatia: Okay. Understood. And sir this year given -- I mean what is the target for the steel company in terms of overall production and all the iron ore has been supplied from our Chhattisgarh unit mines?

Amitava Mukherjee: Yes. Iron ore has been supplied from the Chhattisgarh unit there's no doubt about that. And we are expecting to do for the entire year around 1.8 million to 2 million tons that is our target.

Two million tons, we are looking at the breakeven at around 1.7 tons.

Sumangal Nevatia: And the evacuation from the mines to the plant, logistic is not an issue or we have the capacity?

Amitava Mukherjee: That is not the issue. All the seeding problems within the plant of the wagon tipplers etc have been solved. Now 95% of the problems have been solved. So the last milestone that was to be done was the PCI which we have commissioned 3 days, 4 days back which will take around 15 days to stabilize, 15 days to 20 days and then we'll do the TRT, Top Recovery Turbine which will lead us again a savings of about INR100 crores a month on electricity because we will be generating about, I think 15 megawatt, 16 megawatts of the Top Recovery Turbine.

Sumangal Nevatia: Understood. Sir one question on this royalty. You clarified 43-odd percent. This quarter it's around 47%. So is it because of some lead lag in IBM prices? Should we kind of build in 42, 43 only for the coming quarters?

Amitava Mukherjee: There's no impact. I think while this 47% tons. The previous sideline was taken care off in this year because we started the integrated pricing. So little bit of previous years outstanding. Right now there is no more time line. The previous year's arrears also had to be done this year. So that is...

Sumangal Nevatia: All right. That's it from my side. All the best sir.

Moderator: Thank you. The next question is from the line of Natraj Sankar from DSP Mutual Fund. Please go ahead.

Natraj Sankar: Thanks for the opportunity. I just wanted to ask on the -- over the longer term a couple of years as we ramp up the capacity of the steel plant what is the kind of EBITDA per ton would one should visualize as the capacity ramps up beyond the 2 million tons?

Amitava Mukherjee: Beyond 2 million tons the EBITDA margin would not be very high. It should be around the 10% range, but once we do 2.5 to 2.6 that is the third stage of our ramp up. Then the EBITDA margin should be more than around -- should be -- on the current price level it should be

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around 25% on the current price level of both the iron ore and the steel. If steel wasn't looked up we can, but that is around 90% capacity.

Natraj Sankar: Understood. And the second part is, I know it's too early to ask for a capacity expansion or any visual, any thoughts on that?

Amitava Mukherjee: No let us learn to walk then we'll run.

Natraj Sankar: Okay, understood. Thank you so much. Have a good day.

Amitava Mukherjee: Thank you.

Moderator: Thank you. The next question is from the line of Anant Mundra from Mytemple Capital.

Please go ahead.

Anant Mundra: Thank you for the opportunity. Sir last year somewhere you had alluded that we'll start working in three shifts in Chhattisgarh and then we'll also have the benefit of the rail wagon loading system at Kirandul and the new screening plant at Bacheli. However, if I look at the April production numbers they have declined year-on-year. So what explains that for Chhattisgarh?

Amitava Mukherjee: I think April was slightly lower than last year. But the few things that you have mentioned three shift working we are ready with the equipment etcetera, but we need to recruit about 800 people. So that recruitment process is on. It should take another 6 months to get recruited. So we have not been able to start. We have started the third shift. The third shift in 11C which was not there it has already started. So that first shift has already started, but we have not been able to work 7 days. We're still -- Wednesday is the holiday today for example a holiday there. The second thing is [inaudible 21:06] has been commissioned. It has been calibrated, trials runs are also on. And I think in another 10 days, 15 days we should be able to utilize it fully. So that's commissioned, that's working we are loading already. So envisaging they are already doing more rates and the third thing is even at Bacheli the additional 2 billion lines has already been commissioned. That has been commissioned late last year, but we could not take much benefit of that last year. It was commissioned I think in January end and around February it was being stabilized, but this year we'll get the full benefit of that.

Anant Mundra: And sir you also alluded initially in your initial remarks that we are planning a capex of about INR50,000 crores to double our capacity over the next 5 years, 6 years. If I look at the current gross block it's about -- should be about INR5,000, INR6,000 crores. So INR50,000 crores investment is -- I mean can you please give us some kind of a breakup from where will the capex go and where will the...

Amitava Mukherjee: Yes, I can give you the big number at the high level. So we already have our tender, Sp-II Tender has been awarded for around INR1,000 crores, another INR200 crores, INR300 crores for the Tailing Dam there. So that will be INR1,300 crores. The Down Hill conveyor and new crushing plant at Deposit-14 is another INR1,500 crores so that's INR3,000 crores. Deposits-5

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where we are planning gave a new crusher on the complete new set of conveyors coming in for that. That would be around INR2,000 crores. So that INR5,000 crores.

The slurry pipeline Phase 2 from Nagarnar to Vizag would be around INR10,000 crores that's INR15,000 crores. The Phase 3 which is between Kirandul and Bachel that will be another INR3,000 crores. So that's INR18,000 crores. Our new pellet plant because if you get about 10 million tons of slurry at Vizag. So that will cost you at least another INR2,000 crores. So that will be INR20,000 crores. And then we plan to have at least 4 or 5 stockyards one at Vizag and at other places which -- we had BCG and , McKinsey and Deloitte all three going on the question of our distribution network.

So the distribution network which includes Slurry pipeline even to Raipur for another INR7,000 crores to INR8,000 crores and a few stockyards would be around -- each costing about INR2,000 crores would be around INR8,000 crores to INR10,000 crores. Also, RWLS, we have to plan around at least 10 RWLS in our Chhattisgarh area. So at INR50 crores each, which is around INR500 crores. And then one major thing that I have.

Equipment, we are ordering this year around INR500 crores -- INR400 crores, INR500 crores of equipment this year itself. And next 2 years, we have to order around INR400 crores and INR500 crores for equipment. Our digitalization journey, including the IIT poli

cy would take

us around another INR500 crores. And in those previous quarters, etcetera, etcetera, that we need for extra staff man would take us another INR1,000 crores ports, we have to build a new township, but Kirandul is on that. So if you add all of these up at the high level, they come up to around INR50,000 crores.

Anant Munda: Okay. And sir, where will the increased production come from, mainly from which mines will we commercialize new mines? Or is it going to be from the existing mines or a combination?

Amitava Mukherjee: I think that Karnataka sector will be along -- will be 17 million to 20 million tons. We have already got 1 to 1.5, we will restart the process for another 1.5, right? So that's going to be one. Karnataka sector would be approximately, let's take, 17. So that's around 70, more than the 80 should come from Bailadila.

We are planning around 35 of extraction at Kirandul and another, I think, 30 or 35 or something from Bachel. So that's 65. Deposit 4. Deposit 13 if we have to operationalize that should be around the peak credit capacity is 13 plus 7, 20 and our share of that would be 10, approximately 50% would be 10. So that is expected to give us another 10 for the 65 and 10 -- 75. For the rest, we'll have to buy up some mines. So approximately around 75 some -- from Beladilla 75 to 80 from Bailadila and around 17 from Karnataka.

Moderator: The next question is from the line of Pramod Dangi from Unifi Investment Management.

Pramod Dangi: Congratulations Mr. Mukherjee and team. Sir, there are two questions. On the pellet plant, we are still making losses, and I think you are doing some more capex. So what is your time line? Or what is our thought process on debt, when we will breakeven and...

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Amitava Mukherjee: We are following a two pro forma strategy at the pellet plant. Thankfully, our -- this year, there has been a cash breakeven, but that's not satisfactory enough. We need to run the plant at full capacity. That INR282 crores that I said that we have paid for regularization included the area of tailing dam. So the tailing pond, if you remember, the tailings of the pellet plant is designed to have 85% tailings to which we did not have any access till day.

Only now after paying that INR282 crores, we have now that access. We need a few more permissions to start using that tailing. So if we start using that tailing, our tailing target which is 85% of the plant's capacity will start working. So that's one good thing.

The second thing is parallelly, we have plotted an UI for running the pellet plant on a revenue share basis. We have received some responses. We are talking to them, and then we will throw out an RFP, so hopefully, somewhere around November, December we will be -- if that route gets successful, then we will be able to run it with private participation. There's about INR100 crores of capex that needs to be done basically on filter pressure and some grinding circuit. So either we'll do it or our -- if we give it on go basis, then the party will do it. So both the strategies are being pursued simultaneously.

Pramod Dangi: Okay. And secondly, as you said, the target is to go to 50 million this year, the 54 million next year. How our capex is going on into the railway and the slurry pipeline on the evacuation capacity this year and when they will come on stream? And do you already have that EC in place for this expansion?

Amitava Mukherjee: Yes. EC, we have up to 54 now. Not 54, we have up to 53 because Kumaraswamy was given

1.5 extra. So we have now -- previously, we had 51.8. Now if you are at 1.5, it will be around 52 -- 53.3 or something. That is our EC capacity. Next year, hopefully, we are going to restart the application process for taking Kumaraswamy to 10 million tons if we get it. So we are praying that we'll be able to get EC of 54 next year. We have a

already applied for enhanced EC and Deposit 14 and things.

The Deposits 14 for which public hearing has already been held and we expect to get that. That is an enhancement of 5 million tons plus another 5 million tons we have applied. So these are in process. We hope to get definitely by next year. This year, we are telling you, in due point of time, we will get it. The difficult things of public hearing etcetera has been already been done. And it is in the process, it has been sent to a MOEF. So I think we should be able to get that. And what was the second question, please?

Pramod Dangi: Evacuation capacity? We are doing expansion of...

Amitava Mukherjee: So, the [355 laying 0:30:47] work is going on, I think, fairly satisfactorily. Pellet plant and beneficiation plant, we have stopped work for 6 months, and we are just restarting. For last 6 months, we took a principal decision that 2 million tons pellet plant should be upgradable to 6 million tons. So we were -- we stopped all the construction and the beneficiation and that Bacheli has the pellet plant in Nagarnar because we wanted the facilities to be common. We did not want 2 million tons of pellet plant and 4 million tons of pellet plant in the same boundary. We wanted a single 6 million tons pellet plant as and when we required.

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So all these common facilities now are being designed for common sizing and common facilities. So that took us to completely redesigning the entire layout and that 6 months we have not worked. So accordingly, the project has been delayed, but it will give us long-term benefits in terms of additional fueling. So the pellet plants had only [LTO 0:31:51] as fuel. Now we'll have multiple fueling including coal tar and it required coal gasification. So that is substantially going to reduce our fuel cost.

And this additional fueling arrangement was not there in the original design. So we have corrected all of them in the head of Bacheli is a grinding plant. We have already given the change order to our contractor. In the tail end where the pellet part is being made, we will be giving the change order within this week.

So the work will now fully resume. And by the end of next year -- next to the next, current year I think, this December, this December 2025, we should be able to commission the entire system. Railway lines, it is progressing. I think around 10 or 15 kilometres are left, Railways has promised us that they will do it by, I think, in July or August, somewhere around August they have done.

But there is a particular stretch which is a little problematic. I think up to Kirandul, the Railway is doing it. I think in another six months or six months, we should be able to get the entire doubling of city line is done.

Pramod Dangi: Yes great. And then lastly, if I can ask on the dividend payout ratio. This year, it is around 45%. And with the cash in the balance sheet and the money which will come on the NMDC Steel, are you looking to increase the payout ratio or it will remain around 40% to 45%?

Amitava Mukherjee: No, we have -- this year we have repaid 37.5% of the net profit. So 38% of our net profit this year we have paid. Because we have a lot of capex now lined up, we have a huge amount of capex lined up as I was saying in the previous question. So for the next four, five years, I don't think capex more than this can be -- dividend more than this, it would be prudent to say. But that is a call that Board will take apparently. Subsequently, they cannot pre-empt the board. But I think a 38% payout with this capex there, I think saving a little bit of cash would be advisable.

Pramod Dangi: Sure. Thanks.

Moderator: Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: Thank you sir for this opportunity. We have lined up very huge growth targets and yo

u just

elaborated on breakup of INR50,000 crores of capex. In terms of sort of taking the approval for this -- I presume, we'll be doing in some sort of packages. So what would be the first package that we will be lining up? Would you also sort of give us time line on when will we take the approval on this capex?

Amitava Mukherjee: Few of the approvals have already been taken, at least INR4,000 crores to INR5,000 crores we have already taken. Our target for this year is to ensure that all the approvals are taken from the National Mineral Development Corporation Limited

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competent authority, whether it is Board or whether it is the committee of Directors. We are planning -- most of these are at DPR stages, various institutions are making these DPR so that's another thing. So our target this financial year is to definitely take all the approval for at least INR40,000 crores out of the INR50,000 crores.

And at least around INR15,000 crores to INR20,000 crores of the INR40,000 crores sanctions.

So that is our target -- immediate target this year.

Kirtan Mehta: Understood, sir. And what would be the peak capex that we envisage over the next three, four years, at peak capex?

Amitava Mukherjee: Peak capex should be INR50,000 crores for five years -- peak capex should be reaching INR7,000 crores to INR8,000 crores I think year after next. Year after next, two, three years, we should be at the INR8,000, INR9,000 crores.

Kirtan Mehta: One more question was on the NMDC Steel, I believe we mentioned that we could achieve 25% EBITDA margin once the plant reached 90% capacity utilization at current prices, does it mean that are we guiding for EBITDA per ton of around INR12,000 to INR13,000 per ton under the current calculation?

Amitava Mukherjee: Yes, I think it should be -- that should be possible because, see, this is a very energy-efficient plant, it's continuous process. So there is no heat loss. To that extent, the energy -- steel business is what, one-third, about 40% is coal, 20% iron ore and around 25% is energy cost. So this is a very energy-efficient plant because we don't pull it down and then reheat it and all those things.

So it is likely to have a very, very efficient working. And in terms of manpower also, this is a very lean company, and we plan to keep it that way because other costs with the PSUs have had. Actually, we went -- for both manpower and energy this will be -- blast furnace system is very, very efficient. This is one of the biggest blast furnaces and the bigger the blast furnace it is, the more efficient it is, the more cheaper it is.

Now we have got the PCI. So we'll have a coke rate -- the fuel rate, which will be one of the lowest when we do to 90%. And we have the TRP and other, so our energy consumption would further go down. So we are very confident that this will be one of the most efficient steel plants. Under those circumstances, little bit high percent EBITDA should be possible.

Moderator: Thank you. The next question is from the line of Raashi from Citi Group. Please go ahead.

Raashi Chopra: Thank you. Just on your capex, in FY '25, you say it's going to be INR15,000 crores or INR2,000, I missed that?

Amitava Mukherjee: For the middle one, INR15,000 crores, it will be around 2, 2.5.

Raashi Chopra: Yes, 2, 2.5. Okay. And have you mentioned that the recovery would start from NMDC Steel in the second quarter. Are you talking about the INR25 billion noninterest bearing outstanding, is that for the plant that's going to start?

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Amitava Mukherjee: That is going to start as well as the outstanding for the iron supply is going to start.

Raashi Chopra: And that was the 1,300?

Amitava Mukherjee: Yes, presently at 13,00.

Raashi Chopra: Okay. And did you recover the entire amount from the monitoring committee?

Amitava Mukherjee: No. We have -- out of the IN

3,000 crores outstanding, we have recovered INR998 crores, let's say, about INR1,000 crores. We have -- so another INR2,000 crores -- INR1,892 crores is due. That we are still fighting in Supreme Court because judgment was against us, we have asked for review of judgment.

Raashi Chopra: All right. Then on the -- coming back to the volumes, you are targeting 50 million tons in this year and 54 million tons in FY '26 and Kumaraswamy 1.5 million incremental and another 3 million tons coming from Chhattisgarh. So the -- from an end use perspective, one is going to be NMDC Steel that's going to take up the incremental volume. Where else are you expecting the volumes to grow?

Amitava Mukherjee: Our customers are absolutely willing to take as much as we produce. JSPL is asking, we've not been able to provide JSPL what they are asking. Even JSW, are fulfilling not more than 50% of their demand. RINL, we are fulfilling around 70%-80% of the demand and one week when we, what we call, JSPL when we ramp up, that's going to cost us more. In fact, I would love to produce 10 million ton extra and people would consume it immediately.

Raashi Chopra: I understand. And the INR100 million target is by when you said?

Amitava Mukherjee: Around FY '30. FY '30 '31 That's character year safety. Once all these capex that we are

planning, this year, we'll be actually sanctioning and tendering out and by next year, all the tendering will be over. When I take 3-4 years of execution. So all the capex would be ready to use by around calendar year '30. So that's the time when the benefits of these capex, which are all directed towards the 100 million tons things would be done.

Raashi Chopra Understood. And just lastly, on...

Moderator: I request you to rejoin the queue for your follow-up questions. The next question is from the line of Satyadeep Jain from AMBIT Capital.

Satyadeep Jain Sir, first of all, you mentioned something about slurry pipeline to NMDC Steel fund. I just wanted to check what's the status and wanted to understand the economics of that slurry pipeline? How do you realize NMDC value from that pipeline that you sell to NMDC Steel?

Amitava Mukherjee The pricing of the pellets -- you see, we are going to sell -- make pellets out of that slurry. The concentrate is not being sold. We are going to sell pellets. So that's in that system and arms with the production. So naturally, the value-add for NMDC will be -- easily realizing the value add because if you know that slurry is the cheapest mode of transport of the -- it is at least simply on transportation terms it is 30%-40%, if not more cheaper. I think almost 50% cheaper and that is including 50% of driving cost and everything, around 40%-45%.

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So you'll be able to make cheaper pellets and realize even more. And now that we have dual fuel arrangement in the making of the pellets, our cost of manufacturing will be much lower. And because it will be an arm's-thread market price, so I think NMDC for that should be a very positive realization and positive ROI for the slurry pipeline systems.

Satyadeep Jain I wanted to understand on that freight. So let's say, NMDC Steel right now is procuring iron ore from the Bachel by truck. So it will continue to pay the same delivered cost of iron ore that it is paying right now and the -- whatever freight savings are there, NMDC will take that freight savings?

Amitava Mukherjee It will be carrying pellets. So the pellets would be slightly more in lumps. But the benefit of using pellets are there in the blast furnace. So NMDC Steel will be buying. So to that extent, the pellet will be more expensive than the fines that they are buying today. But the use of product is more efficient to the blast furnace and it will realize more value out of it.

So there we have mix of pellets and sinter and lumps that will be charged as burned to the

blast

furnace. The right mix for NMDC Steel Limited has to work out. But obviously, the prices of pellet will be much more than the delivered cost of fines. But whatever fines and sinters is replaced by pellets, the efficiency of the blast furnace goes up and accordingly, the money comes out of efficiencies and not out of cheaper raw materials put in the blast furnace.

Satyadeep Jain On the NMDC Steel plant, I didn't get the volumes for this quarter, but just wanted to understand what is the pricing that you're getting in the market? Are you able to get the same pricing as some of the other private players are getting for the steel? Who are the customers?

Amitava Mukherjee The volumes for this quarter was around -- HRC was around 3 lakh ton, 2,28,000 ton which is above and the previous quarter was about 1,80,000 tons, so substantial growth for this year.

This month, I think, April, we did 1,06,000 tons and May, we are doing about 1,20,000 tons. So 2,20,000 tons will always -- in Q1 already done and another one, 20 or 30, around 3,50,000 tons this quarter we should be able to do Q1. So that is the volume guidance for us. We will be able to still -- what was the second part of your question?

Satyadeep Jain Just wanted to understand who are the customers, are you able to get the same pricing as others?

Amitava Mukherjee The pricing, unfortunately, because the ramp-up period made to order stock -- made-to-order production is less while the margins are higher. The average price deviation has been around more than 49,000. We would like that to go up around 49,200 actually. So we'd like that to go up to around 51,000, around 2,000. That will be possible when we increase our share of made-to-order.

We have been talking to OEMs, we have got a few trial orders from major OEMs who are putting [Karabara 46:31], et cetera. We have produced, I think, in '24, the first time LPG grade steel. So the higher grade steel we produce the highest margins would be. Remember, 49,200 is by producing only [vanilla 46:46] grades of 2062 and 10748. So essentially, we have been producing just to ramp up the volumes so that the blast furnace works correctly on these vanilla grades. The more OEM and the more high-end things that we do, we'll start realizing

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more of this. We have an inherent disadvantages. We have two inherent disadvantages. One is that we do not have any stockyards or stockists anywhere and hence all our sale is X works, X plants anywhere which is no other seed plant does it.

Second is that we are located remotely where the cost of transportation to customers is substantially higher than a lot of -- than all the other plants. So accordingly, our net realization has to be slightly lower. But then the second thing we cannot do anything about it because a geographical location is a geographical location, I cannot move by plant. But regarding the first part of holding on and having stockyard system, we are exploring the possibilities for that.

Moderator: Thank you. The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar So first, on the volume, you have guided for 50 million tons for FY '25. So how should we look at the volume growth of '26 and '27, given that we would have some capacity constraints?

Amitava Mukherjee So NMDC, this year we are planning 50 million tons as I have said. Next year, we should be targeting around 53 million, 54 million for '26. FY '27, we haven't taken a call. We'll have to get back to this, but this year it is 50, next year it is around 54.

Siddharth Gadekar But beyond FY '26, do we have the capacities to increase volume or we will have to wait for some approvals to come in before we ramp up volume?

Amitava Mukherjee Not only the approvals, the approvals are all on the way, that is not a problem. The capex needs to be -- we'll have to --

as and when the capex starts fortifying. So our production will keep on increasing. But the big bag jump will come around FY '30 or FY '31.

Siddharth Gadekar Okay. So secondly in terms of capex, this year, we are targeting INR2,000 crores-INR2,500 crores capex. How should we look at the capex beyond FY '25 on an per annum basis?

Amitava Mukherjee Total capex of around 50,000. We are now pursuing for a land parcel what we are not accounting for and this is a land parcel of around INR1,500 crores in Vizag, about 1,000 acres we want there because we have to terminate our slurry pipeline, build a blending yard there, build a pellet plant there. So we are looking for about 1,000 acres of land in Vizag, but that is going to cost us around INR1,500 crores.

So if you include that, then our capex for this year would be around INR2,500 crores. If we are able to strike a deal for the lag, then INR2,000 crores in plant machineries and other contracts, and around INR1,500 crores in land. So that should be substantial, INR3,500 crores. And going forward, if I take the INR50,000 crores for capex plan, then the peak would be around INR8,000 crores or INR9,000 crores in the third year -- in the third quarter, it should be...

Moderator: Thank you. The next question is from the line of Bhavesh Patel from Patel Investments.

Bhavesh Patel: Thank you for the opportunity and congratulations on great set of performance numbers for the last year. My question is, number 1, what benefit will NMDC receive a bill the distributor and National Mineral Development Corporation Limited

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stock is for NMDC Steel and will that start accruing in the next couple of years itself? Or is it going to take time?

Amitava Mukherjee We plan to do it as soon as possible. It is a win-win situation for both of us. You see, I have a cash, as I said, of INR9,200 crores as of now. And my deployment in the stock would not be more than INR500 crores. I am margining around 8% of bank interest on this. And this is likely to give me a return of around not less than 14%-15%. So that is the minimum that's going to -- for NSL, the benefit is that the evacuation would improve, which would improve the production because NSL has stocking capacity of only 85%, which is 15 days of production.

So, we have a regular evacuation and hence production can increase. Here, I think the basic calculation is that we can have delta of the land cost in Hyderabad and Vizag from where we can do the entire count including Chennai market where we can touch and the Andhra market and the Hyderabad. We can have a delta of not less than 2,000 to 3,000 per ton which will be shared back substantially with NSL also. So, it is a win-win situation for both of us.

Otherwise, what happens is that once we produce more, we have to make some distressed sales in this trade and that's the amount of distressed sales because we don't have any other stockyards or any other thing and we have fully limited capacity in NSL. So, this could be a great sort of win-win situation for both the companies.

Bhavesh Patel: Okay. Thank you on that. Now with the overall increase in capacity in terms of production as well as upcoming capex plan do we expect increasing profit? And because of that increase in absolute dividend amount. I said earlier, you mentioned about 38% dividend payout. But overall as a company, do we expect increasing dividend in terms of actual numbers going ahead?

Amitava Mukherjee: I think we have been consistently paying around 45% every year, 40% to 45% every year. So this 38% is almost in line with the 40% to 45% payout every year. That is what the Board

takes us all on that. But I think this sort of a dividend payout or we guess in absolute numbers it will increase because substantially our profits are going to increase.

If you see, we have taken 2 price hikes in the last 2 months, we expect the market to remain buoyant because our

demand for our material is kind of cutting. We are unable to produce --

we are unable to satisfy our customers with the quantity of their demand, whether it is JSW, whether it is JSPL, whether it is after Arcelor Mittal, whether it is RINL, all of the customers are demanding much more from us, so I don't think the demand is ever a problem.

The prices, thankfully are on the upstream and we expect that to remain and accordingly with the increased production, we are -- we expect substantial increase in profits in this financial year. So even if it may -- the payout ratio is the same in absolute terms, I think it will be substantially beneficial to the shareholders.

Moderator: Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.

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Kamlesh Jain: Just one question on the part of your balance sheet, roughly around INR1,700-odd crores increase has been there in the data and a similar increase on our borrowings as well. So what accounting treatment has changed? Or what is the change which we have done in this particular quarter?

Amitava Mukherjee: I'll tell you this with RINL, we have an arrangement for bill discounting. So once we discounted the bill, we did not show it as our debtor. And we showed it rather as a contingent liability over the previous years. So this year, there was advisory from The Institute of Chartered Accountants of India these are different case. So they said, no, you'll have to show the liability and corresponding as debtors also you cannot show it as a contingent liability. So accordingly, we have restated last year and accordingly this year has been restated. It is just as per the latest guidelines of The Institute of Chartered Accountants of India.

Kamlesh Jain: Okay. And sir, secondly, on the advance amount which we have paid INR640 crores for that land in Karnataka for that steel plant which we were earlier pursuing. So now what would be the -- like what we are going to do with that particular land? There was already a steel plant in Nagarnar is on divestment. So what we have...

Amitava Mukherjee: The land already we have possession. So that's one good thing. And it's a beautiful piece of land, almost as big as parcel of almost INR3,000 crores as big a parcel as it is in Nagarnar. It's a flat land completely faced road on one side, railway on the other, water available, nice piece of land it is just that we haven't taken a call on what to do with that land. So now that we have decided not to build more steel plants on NMDC we have engaged a few consultants to see how best the land can be utilized the fantastic piece of land but unfortunately, very deliberately we have had a policy of not making more steel plants after Nagarnar.

So that -- now we are left with finding out alternatives. We haven't found one as yet. We have some consultants to advise us what can be the basis of things. Maybe we can build a blending yard, maybe -- there are possibilities but we'll have to take a call on that. As of date, we don't have a specific plan -- approved plan for that.

Kamlesh Jain: Okay. And sir, lastly, on the slurry pipeline and running of the rail line, so what is the exact status? How much is the entire the capex modules have been ordered or still some there are still to be ordered? What is the exact status of this?

Amitava Mukherjee: In Phase 1, everything has been ordered and everything is under execution. As I have told earlier, that out of 151 kilometres, more than 80 kilometres has already been laid. Another 20, 30 kilometres have already been -- the pipe stringing has been done. It has not been lowered around 75 to 80 kilometres has been done. So that pipeline laying part is completely progressing very fine.

And as I have said in an earlier question that the beneficiation plants of the pipeline at Bacheli the pellet plant at

the tail end at Nagarnar, we had stopped the work deliberately for the last 6 months because of multi-fuelling arrangement and the commerce side of equipment when we enhance capacity from 2 million tons to 6 million tons and creating common facilities and common fuelling arrangement.

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So that decision now has been taken and all those joints have been revised. One, we have

already, in Bacheli, we have already given the change order to the contractor who has already restarted his well. And in the pellet plant, we'll be able to restart the work, I think in a month's time 15 days or a month because we are negotiating with the contractor regarding the exact changes and the financial implications.

Kamlesh Jain: And doubling of railway lines?

Amitava Mukherjee So that's also done about, I think out of 130, 120-odd kilometres have already been commissioned, 2 sections -- 2.5 sections are still left. Railways have assured us that they will be doing it by July 1, I think September 2025. One particular section is a little tricky one. It is - we have Bacheli, so that's the question of health and there's question of LWE also there. But July, I think we'll get -- July and September, we will get 2 more sections and the final section will come out, I think somewhere around December generally.

Kamlesh Jain: Okay. And lastly, if I may...

Moderator: Sorry to interrupt Mr. Kamlesh, I request you to rejoin the queue. The next question is from the line of Kunal Kothari from Centrum Broking. Please go ahead.

Kunal Kothari: Sir, my first question is in regard to the overall demand supply scenario for the iron ore in India, so from current level of the iron ore production, how much you see the volume will be add on in FY'25. And compared to that, how much will be the India demand? And also added to that, for the incremental volume addition expectation for FY'25, what will be the share of NMDC?

Amitava Mukherjee: This year, the production of iron ore was around 279 million tons to 280 million tons, of which we did around 45 million tons, so that was 18%. And of course, for this 279 million tons, around 46 million tons was exported. So the net domestic assumption after the import was around 240 million tons.

I think going forward, with the capacity expansions, NSL would be there and lot of ship parts would be there. So I think at least another 10 million tons to 15 million tons consumption domestically will increase -- 15 million ton to 20 million ton would increase in FY'25 for the production is likely to be around 290 million tons, of which we will do around 50 so that our market share will remain profitable at 18%.

Kunal Kothari: Because according to my knowledge, even OMC is adding up the capacity. So I think they have received the EC limit to add up the capacity of around 6 million tons. So that will also flow in -- add up in the overall volume in FY'25. So...

Amitava Mukherjee: So this year, it's, 279, we are looking at around 295 next year. So 6 to 7 at OMC, 5 to 6 for us, so these are the 2 major things that would come and the rest would come from the Roonters and especially now Lloyd is doing pretty well, so Lloyd would come at 7 or 5. So that's how we are looking at to go around 15 to 20, three big players are OMC, Lloyds and us.

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Kunal Kothari: And also maybe some steel company's captive mining may also increase in FY'25. So do you see compared to the overall iron ore demand increasing in FY'25, the overall supply for iron ore will be much higher?

Amitava Mukherjee: No. I think there's a lot of decent capacity out there that can be -- because if I go for my demand only, I cannot -- I will have to take a deep dive on the demand of others. So far as my demand is concerned, I think the demand there is good enough for us to servi

ce up to 60

million tons as of date.

If I were to service all the customers as per their demand, which is even -- major customers like JSW, JSPL, ArcelorMittal, RINL and NSL, and KSPL their cumulative demand, I think we are able today to certify around 70% to 75% only. And another 25%, we have a demand. So for our product credit return, even at 60 million tons, we'll be able to happily dispatch all our products easily. Orissa is different Odisha is a different volume that what deep dive has to be in there.

Kunal Kothari: Okay. Sir, my second question is on the export side. At India level, we have been fantastic around 48 million tons to 50 million tons in FY'24. What is the overall outlook in FY'25...

Amitava Mukherjee: My guess is it's around 36 million tons to 37 million tons of exports this year, mostly low grade.

Kunal Kothari: Okay. So additional compared to FY'24 what we exported, around 13 million ton to 15 million ton will flow now to the Indian domestic market additionally for FY'25?

Amitava Mukherjee: No, as I said, that has not been required because of the production ramp-up that OMC has employed the planning.

Kunal Kothari: And anything we are working towards the export opportunity, sir that we can think...

Amitava Mukherjee: So we'll have to see where it is because today also the realization from -- net realization, net back cases in exported lumps is about less than INR1400 and for fines it is less than INR1200.

So, even of date, it does not make a strategic sense economic sense to export. Yes, as a matter

of strategic sense, we will have to take a call when we reach a particular level of production. But as of now, beyond the economics, beyond the math and what is the net realization, it doesn't make an economic case for export.

Kunal Kothari: So, largely...

Moderator: Sorry to interrupt, Mr. Kunal, I request you to re-join the queue for your follow-up questions. Due to time constraint, that will be the last question for the day. I would now like to hand the conference over to Mr. Amit Dixit from ICICI Securities for closing comments. Over to you, sir.

Amit Dixit: Yes, thanks everyone for attending the call today. I would also like to thank the management for sparing their variable timing and patiently answering the query. I will now invite Mr. Mukherjee for closing remarks. Over to you, sir.

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Amitava Mukherjee: First of all, thank you all for joining. This financial year was an action-packed year where we commissioned the steel plant, we ramped up our production and a lot of indices. We rearranged our company having a complete new vertical for project execution, etc. So this was a very, extremely happening year.

And we hope that the next year would be even more action packed and the benefits of what we have done this year would accrue to the coming year. We plan to take both the companies NMDC and NSL to the next level, and we are -- it's not an ad hoc plan. We have a blueprint for making both these companies go to the next level. And as it is on a lot of performance parameters, both the companies are the best in the class.

NMDC, for example, in terms of cost of production, in terms of a lot of energy consumption per ton and lot of our ranking in various ESG things are best in -- not only in the country, but comparably better than the big ones in the international market also. Similarly, NSL, despite being a very new company has landmarks.

Which we are proud of For example, obviously rolling out the hot metal from the date of hot metal to HRC at 9 days, which is an India record, similarly achieving 1 million ton of total production -- 1 million tons of total hot metal in 226 days, which is again one of the fastest. So we are bullish about the current financial year and the next. We hope that the records are meant to be broken, and we create a new set of record again this year

and, which we will again

confidently take again in the next year. Thank you so much.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

No.18(5)/2024-Sectt. 22.08.2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001
National Stock Exchange of India Limited
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Bandra-Kurla Complex,
Bandra (East), Mumbai – 400051
Calcutta Stock Exchange Limited
7, Lyons Range, Murgighata,
Dalhousie,
Kolkata, West Bengal 700001

Dear Sir / Madam,

Sub: Transcript of NMDC Limited post Q1 FY 2024-25 Results – Analyst /
Investors Conference Call held on 16th August 2024.
Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015; NSE Symbol: NMDC; BSE Scrip Code: 526371

Reference the captioned subject, please find enclosed Transcript of NMDC Limited post
Q1 FY 2024-25 Results Analyst / Investors Conference Call held on 16th August 2024.
The same is also being uploaded on the website of the Company.

This is for your information and records.

Thanking you,
Yours faithfully,
for NMDC Limited

A.S. Pardha Saradhi
Executive Director &
Company Secretary
Encl: As above.

“National Mineral Development Corporation
Q1 FY 25

MANAGEMENT : MR. A
MANAGING
DIRECTOR OF
DEVELOPMENT

MODERATOR : MR. M

National Mineral Development Corporation
25 Earnings Conference Call
August 16, 2024

AMITAVA MUKHERJEE - CHAIRMAN
MANAGING DIRECTOR (ADDITIONAL CHARGE)
DIRECTOR OF FINANCE – NATIONAL MINERAL
DEVELOPMENT CORPORATION LIMITED
MOHIT LOHIA – ICICI SECURITIES
National Mineral Development Corporation Limited
all"

CHAIRMAN -CUM-
MANAGING DIRECTOR (ADDITIONAL CHARGE) AND
DIRECTOR OF FINANCE
NATIONAL MINERAL
DEVELOPMENT CORPORATION
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to National Mineral Development Corporation Limited Q1 FY'25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Lohia from ICICI Securities Limited. Thank you, and over to you, sir.

Mohit Lohia: Yes, hi. Thank you, Deepika and good afternoon, everyone for -- and thank you for joining us for today's call. At the outset, I would like to thank management for giving us an opportunity to host this call. From the management, we have Mr. Amitava Mukherjee is the Chairman-Cum-Managing Director (Additional Charge) Director of Finance.

Without much ado, I would invite Mr. Mukherjee for the opening remarks, post which we'll have the floor for an interactive Q&A session. Over to you, sir.

Amitava Mukherjee: Good afternoon. Thanks for joining. This quarter in terms of financial performance has been rather satisfactory because as you see that our PBT and PAT have gone up by 19%, 20%. And considering the fact that our production actually came down by around 4% to 14% or almost by about 1.5 million tons that almost 1 million tons. So riding on the financial results to that extent are very satisfactory.

As of now, the Supreme Court judgment regarding retrospective tax, we are assessing our impact, but because we are a mining company, we are basically a merchant miner so it will be -- mostly we will be able to recover it from our customers because our customers are basically almost the same, except for actually a few who might have closed down business in all these years.

Most of our current customers are also customers of that period and over the years have been dealing with us. So the net effect would be rather negligible. So that is something that was positive for a company like NMDC. And regarding NSL, of course, we are proud to announce that it's been exactly one year since we -- the hot metal came out, it came out last 16th of August -- 15th of August.

Today is 16th of August and in this one year, we have produced more than 1.5 million tons of hot metal. And we are the fastest to reach 1 million ton of hot metal in August in about six months back. So that was really encouraging. Financially, we've been able to cut down our losses to half. And once the 5-kilometer electrification is done by the end of next month, we will be able to dispatch 2 rigs daily against the 1 rig currently and we label -- hopefully by the end of this current quarter in Q2.

On a monthly basis, we'll be able to break even. Quarterly breakeven will come, of course, in Q3 and annual breakeven will come in this financial year. That is our target and the performance parameters otherwise have also been in terms of coke rate and others have also been rather satisfactory.

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So all in all, even NSL performance has been in the last one year of its operation. We expect that by the time we reach 24th of August which will be about exactly one year, we'll be able to produce 1 million ton of hot-rolled coil. I think we are some 20,000 tons short as of today. I think we should be able to 20,000 or 30,000 tons. Yesterday was a record day we did 40 heats] and more than 6,800 tons of HRC. So going by our recent performance, I think we should be able to reach 1 million ton mark exactly within a year of its operations. So thank you. Now I would invite questions as of now.

Moderator: Thank you very much. We will now begin the qu

estion and answer session. The first question

is from the line of Pramod Dangi Unifi Investment Management. Please go ahead.

Pramod Dangi: Sir, my question on -- you commented that any royalty which will be payable as per the Supreme Court order. Just wanted to have some clarification on that First, can -- is there any demand on us as of today or was there any demand in the past by any of the state where you operate, which has not been paid till date and which can come?

And second, you said that we will be able to recover this money from the customers because these are all existing customers from the last so many years. But I believe earlier the pricing was all inclusive of the taxes. So how the recovery part will work if you can throw some light on that?

Amitava Mukherjee: First of all, out of the 81 cases that were clubbed together by the honourable Supreme Court, one case, Case number 381 was asked. That was for the MP Rural Infrastructure and Road Development Act for the diamond mine in Panna, for which -- from 2008, '09, till date, our liability would be around INR21 crores.

So this will be a straight liability. I think the recovery from customers would be very difficult because these were sold mostly in auctions, etc. We'll try and recover this INR21 crores, but frankly, I am not very hopeful of recovering the entire amount. Rest so far as Karnataka, FDT is concerned and so far as Chhattisgarh FDT is concerned that Forest Development Tax, these were not included in these 81 cases. But subsequently, when -- once the principle has been decided, sooner or later we might have a liability for these as well.

So far as Chhattisgarh is concerned, we are already recovering it and -- from our customers and paying it. So there will be hardly any retrospective effect. There was some about INR144 crores old demand which we have paid in cash, but under -- if such a demand now fructifies in a related case remember this is not one of these 81 cases. Then if there is a judgment which is akin to this one, then about 144 for Chhattisgarh is there.

For Karnataka, it will be substantially more. The net liability, I think, should come to around more than around INR2,400 crores, INR2,500 crores. But the good thing is that in Karnataka, most of our customer base is the same. Nothing much has changed over the last 20 years in terms of customer bases. So most of this amount are substantial a very substantial amount, leave a few maybe a couple of crores besides of that.

I think we will be in a position to recover it. Remember, this is payable if this liability comes.

And this is not in these one of these 81 cases, it is a separate case. And we are presuming that National Mineral Development Corporation Limited

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the order would be in line with this case. In such a case, yes, there is more than adequate chances of recovery for the customer -- for Karnataka thing. That liability has still not been calculated very -- in the very detail, but the ballpark estimate would be around INR2,500 crores INR2,600 crores.

Pramod Dangi: And sir, can you give some background on this INR2,400, INR2,500, how we calculate it, what are the demand when it came?

Amitava Mukherjee: The demand is not there. The demand was for the period of '08, '09 until I think 2011. So that period we had gone to court in a separate case. We have paid about one third. We have collected around INR254 crores from our customers already, another INR1,500 crores subsequently was collected and given by the monitoring committee. So -- but there are details which we are working out.

But since it is not really a part of these 81 cases, we have some time to -- but we have seen the customer base and we have seen that all those -- 99% of the sales made during that period are our existing customers as well. So I don't think it is a major challenge to recover the amount.

Pramod Dangi: And then when we -- just a follow

-up on this that when we are asking -- saying that we will be able to recover, our terms with the customer was excluding any adequacy?

Amitava Mukherjee: Yes, it is excluding all the taxes and duties. Even now when we have the consolidated pricing

it is inclusive of royalty, DMF and annuity and additional royalty. Any new taxes and duties are always in addition to that.

Pramod Dang: So I assume that, that is historically the case?

Amitava Mukherjee: Our pricing terms are very clear on them. There's about absolutely no doubts about that.

Pramod Dang: Okay. Thanks.

Moderator: Thank you. The next question is from the line of Kirtan Mehta, BOB Capital Markets. Please go ahead.

Kirtan Mehta: In terms of the Karnataka, just one follow-up. You mentioned that your initial estimate is around INR2,500 crores, INR2,600 crores and you have collected already INR1,500 crores?

Amitava Mukherjee: Wait, that is after those INR254 crores and INR1,500 crores, gross would be much more, gross would be around INR44 crores or something like that of which a lot has been collected and already paid during a particular period so that's not much.

Kirtan Mehta: And the second question was about the NMDC Steel Limited where -- would you be able to highlight what was the monthly average run rate that we actually achieved during the last quarter. We were talking about 120 KT per monthly run rate. So were we able to deliver on the same during the last quarter?

Amitava Mukherjee: Yes. Production has been in April about 1,06,000. In May 1,20,000 and in June 1,20,000. It is only in July that actually it fell down because we had a scheduled maintenance. And now we
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have a problem with the R1 with some damage in one of the PSE machine. But up to June, about 1,20,000, we need to go up to 1,50,000 to breakeven.

Kirtan Mehta: So we will be able to reach up to 150 KT by end of this quarter. That is what the current expectation?

Amitava Mukherjee: We are exactly hoping so. The main problem is dispatch. Even yesterday, we did 40 heat from 6,800 tons of coil yesterday. So if you multiply it by 30, we should be able to reach out 180.

But our only problem is evacuation. We need to evacuate 2 rigs. We are currently doing 1 rig a day. That is because of some electrification work that's going on. Once that is done, our turnaround time will drastically reduce and we are -- we'll be able to do it.

Kirtan Mehta: And when we are able to sort of move to the 2-rig operation, how long would it be?

Amitava Mukherjee: I think middle of next month.

Kirtan Mehta: Middle of next month. Thank you sir. I will go back in the queue. If there are more questions I will come back.

Moderator: Thank you very much. The next question is from the line of Shweta Dixit from Systematix Group. Please go ahead.

Shweta Dixit: My one question would be what kind of -- like you highlighted the ballpark number of INR2,500 crores if it is imposed retrospectively. But going ahead, what kind of levies do you expect that can be added to the existing royalty or tax structure?

Amitava Mukherjee: Beg your pardon I did not understand your question. Can you repeat the question, please?

Shweta Dixit: Is there any kind of -- like from going forward from here, can there be additional levies that can be imposed which can be incorporated in the current royalty structure which adds to the prices? And is there a...

Amitava Mukherjee: I have absolutely no idea about what the individual state governments will be doing. That depends on the various state governments. And I cannot speculate about what they would be doing.

Shweta Dixit: Okay. Thank you sir.

Moderator: Thank you very much. The next question is from Pallav Agarwal, Antique Stock Broking. Please go ahead.

Pallav Agarwal: So one was on the outstanding from NMDC Steel. So now with the improved performance, when do we expect

t this INR2,200 crores of money coming back to NMDC?

Amitava Mukherjee: This is a pre-demerger expenses at INR2,500 crores. Last month INR100 crores has been paid with the improved -- as and when we reach breakeven and we'll have enough cash surpluses to pay. Hopefully, within a 12-month period, we should be able to liquidate that. For the first
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time since the operation began last month about INR100 crores have been paid via NSL to NMDC against INR2,500 crores and INR2 crores of pre-demerger expenses.

Pallav Agarwal: Sir, also, I think we had some amount also receivable from the Karnataka Monitoring Committee, if I remember it was close to INR900,000 crores. So now with this judgment in

place, do you think that recovers?

Amitava Mukherjee: That is a completely separate thing. You see, about INR2,900 crores was due from the Monitoring Committee of which we have already received about INR1,000 crores, INR995 crores or INR993 crores last year which was there in the year before last. FY '23 -- '22-'23 we received it, and it was reflected in the PAT of year before last '22, '23.

That left about INR1,890 crores of still a recoverable amount. The Supreme Court initial judgment declined to refund that, but we have now made a review petition for that, and we've gone to the higher bet. So let us see 14th March, it was rejected by the Supreme Court. Now we have again filed a revision petition with the Honourable Supreme Court and let us see how it goes.

In any case, that is not going to affect our numbers adversely because already tax has been paid on that and the amount has already been booked. We will not have a windfall gain in that business.

Pallav Agarwal: And so you're saying in this current recent ruling is a separate matter, that will not affect...

Amitava Mukherjee: Yes, it's completely different. It has absolutely no link with each other absolutely none whatsoever.

Pallav Agarwal: Sir, could you just give us an idea so what are the current sales in that is there in the states of Chhattisgarh. So Karnataka as of now is this 12% Forest Development Tax still present or it's no longer there as of now?

Amitava Mukherjee: In Chhattisgarh, we have FDT of forest transit fees of INR57 and sales of INR22.50 paisa which is in addition to DMF royalty and annuity. In Karnataka, I think there is no other stress etc except for this one and this was at the rate of -- I'll just find out what was the rate of recovery, what was the rate of information.

But it was in absolute terms, not in -- I think it was 5% or something like that. I just don't realize what -- don't recollect what the rate was in Karnataka, I can come back to you on that one.

Pallav Agarwal: Sure, sir. So Chhattisgarh, 57 plus 22.5, so about 78. And this is on a specific quantity...

Amitava Mukherjee: This is being collected from the customers and are being paid.

Pallav Agarwal: Yes, so it will not have any impact on our profitability?

Amitava Mukherjee: As of now, yes it's a [inaudible 18:25]. In Karnataka, it was 12% annual growth.

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Pallav Agarwal: Okay sir. Thank you. I will get back in the queue.

Moderator: Thank you very much. The next question is from the line Shashikant, State Street. Please go ahead.

Shashikant Kinagi: Thanks a lot for good introduction I see the financials are improving. One question that we have is on NMDC Steel might be put on sale. So I'm sure the raw input is being supplied by NMDC itself. So I would like to understand with NMDC Steel being sold in the near future, will it have any impact on your financials? That is my first question. My follow-up question is....

Amitava Mukherjee: Financials of what of NMDC?

Shashikant Kinagi: NMDC Steel is being -- it might get sold that's what we understand just 2 days back that it is in ad

vanced stages of being sold?

Amitava Mukherjee: So you want the financial impact of that on NMDC?

Shashikant Kinagi: No, I would not be interested in that. But I would be interested since the steel -- NMDC Steel, the output, the raw product is being, I'm sure the raw products will be supplied by NMDC, iron ore itself. So since it will be sold to a private player or someone else, will it have any impact in the future once it gets sold on your sales or anything?

Amitava Mukherjee: I think the raw material sourcing would be from our Bailadila -- only because that is only 131 kilometers. The other source are much, much more in Odisha and other places this is much, much further away. So I don't think -- the sourcing of material irrespective of the ownership, whether it's stays with us or it doesn't stay with us irrespective of the ownership Bailadila will remain. Kirandul and Bachel projects will remain the closest source of iron ore.

Shashikant Kinagi: But what percentage of sales or what percentage of output is being procured by NMDC Steel in terms of say about 10%, 15% of your sales are being sold to NMDC Steel internally?

Amitava Mukherjee: No. It's not an internal, it's an arm length sale. Last, I think when it is on peak production for 3 million tons it will require an iron ore of around 5 million tons, 1.6. So 5 million tons Bailadila itself NMDC as you know is around -- going to be 50 million tons. So it will be about 10% of the entire sales.

But from Bailadila which is around 32 and it will go up to 35 million tons, it will be slightly more than it will be around 13 -- NSL will account for 13% of consumption when both the Bailadila's production increases to 35 million tons this year and approximately -- and NMDC

Steel Limited can ramp up to about 100% capacity utilization at that point of time.

Shashikant Kinagi: My other question is I know some of the private players have also made some provisions due to this recent Supreme Court judgment that we have, right? So did NMDC also do some provision because it was declared privately -- publicly by Tata Steel, if I could take one of your counterparties private I know.

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They have declared privately that they have also provisioned some amount because of this unexpected event. So I would be interested in knowing -- I know you have also mentioned that it will be recovered from your customers, but would be interested in knowing any provision that is being made.

Amitava Mukherjee: No, not yet because as I have said, most of my 2 big cases at Chhattisgarh and Karnataka are not in one of these -- not in these 81 cases. They are related cases. And right at the judgment comes from similar lines, only then the liability of payment arises And even if the liability of payment arises, very substantial amount except for a meager amount which might not be recoverable because of the customers not being there anymore.

But a very big substantial amount would be from existing customers. And since it is a -- to be done in 12 instalments, I don't think a recovery would be the -- since the payment is done in 12 instalments so I don't think it is going to be a major problem in the recovery.

Shashikant Kinagi: My other question is, I know we were looking at some news where it is mentioned that...

Moderator: I am so sorry to interrupt you maybe please request you to come back in the queue for the follow-up question as we have other participant on the line.

Shashikant Kinagi: I will have my last question. I know it will benefit all of us. If I may ask the final question. I am an individual shareholders I've been your shareholder from a very long time now. So my final question, if you don't mind?

Moderator: Sir, I'm very sorry to interrupt you, but may we please request you to come back in the queue because we have a lot of participants waiting for their turn for the question

s.

Shashikant Kinagi: Okay. No worries.

Moderator: Sorry about that. The next question is from the line of Kamlesh Jain Lotus Asset Manager.

Please go ahead.

Kamlesh Jain: Sir, one question on the part. Like, you have quantified all the liability how much could be the liability going forward, but just one fundamental question. We shifted from X royalty price to gross price since July 2023?

Amitava Mukherjee: I have not understood your question. Can you reframe your question.

Kamlesh Jain: So I am saying that we had opted for the gross pricing including royalty and various other sales and levy, right from July 2023. So doesn't it make sense in this environment where the states are imposing their own duties and sales, doesn't it make sense that we should stick to that particular old regime because...

Amitava Mukherjee: It doesn't make a difference because our prices very clearly state that it is only inclusive of royalty, DMF and annuity. Any other thing is recovered to be levied is recovered and paid extra, like we do in Chhattisgarh about the FTF, Forest Transit Fees of INR57 and excess of INR22. We are simply not inclusive. We still levy them separately, recover them separately and remit them separately. So it is not going to make any difference about that whether if we

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revert to the old pricing structure or we are in the new pricing structure. There's absolutely no effect.

Kamlesh Jain: But if you see any of the raw material price or mineral price, all are quoted in terms of, like, say, exclusive of duties, be it like say, a steel...

Amitava Mukherjee: No, you are wrong. The industry we were the last person to come into an all-inclusive prices. Odisha and all iron ore miners quote all-inclusive basis. We were the last company to join an all-inclusive price in India.

Kamlesh Jain: But I believe sir it may be a personal judgment, but our old structure was far more better and it was much more transparent. And given the fact that the way the states are imposing duties and, say, the annuity and all other sets which are coming through, it unnecessarily implicates extra burden or additional burden?

Amitava Mukherjee: No, I think your understanding of the situation is completely wrong. It does not matter about any extra levies that come, whether we follow the current regime or we reverse to the old regime, there is absolutely nil zero effect.

Kamlesh Jain: Okay. Thanks a lot.

Moderator: Thank you very much. The next question is from the line of Karthik Gada, Multiple Wealth. Please go ahead.

Karthik Gada: Sir, when you mention that our case was not part of this -- for the -- from the 81 cases, I'm a little confused. And the judgment is applicable to everybody, right? So how are we not affected by this?

Amitava Mukherjee: You did not get me right. One of the cases that is up for Madhya Pradesh, for our Panna mine is included in this one -- it's one of the 81 cases. I think this case number is some 351 or something is the case number. From the bottom, I think it is 7th or 8th. So that case is our case that is included in that.

The Karnataka case and the Chhattisgarh case are parallel cases having the same sort of things. So once the principle has been decided what we expect is that those two cases will be -- ruling would also be in the lines of the ruling of this case. But that separate judgment has to come because that's a separate case which was not clubbed with these 81 cases.

Karthik Gada: So then these two cases the numbers which you mentioned for Chhattisgarh INR144 crores and Karnataka gross number of 4,400, 4,500 and net number of 2,400, 2,500. So these numbers pertain to these two parallel cases, is that right?

Amitava Mukherjee: Yes. I've said this earlier also. Once the principle has been set, maybe I cannot pre-empt what the Supreme Court will decide. But likelihood if it were to come

in the same lines as this

judgment, then this will be a liability, approximate liability.

Karthik Gada: So just the final point on this. So out of -- for Karnataka, out of 4,400, 4,500 of gross number, we have paid already INR1,800 crores. Is that understanding also right?

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Amitava Mukherjee: INR1,750 crores has already been collected and paid.

Karthik Gada: Okay. Thank you so much. That's it from my side. Thank you so much sir.

Moderator: Thank you very much. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: So taking this story into account sir prospectively, how is this additional sales is going to impact our customer and the sale of the ore, how competitive or non-competitive will this division take that into account? And we do not have any number which will affect our per ton liability to the customer. We have not zero in any number as of now?

Amitava Mukherjee: How can we zero in any number when no taxes have been imposed as yet by the state government.

Saket Kapoor: Correct, sir. But taking into account this is going to be now the reality and whatever expect...

Amitava Mukherjee: Yes, if something is imposed, we'll collect it from the customer and remit it. And naturally, the cost to the customer will go up, but it will be in universal. It is not that in Karnataka, what I levied, Donimalai and Kumaraswamy would be any different from any private miner or any other miner. So I guess it will be across the board. So I don't think that it is going to affect our demand in any way because that same effect will be to all the miners in that vicinity.

Saket Kapoor: And sir, we revised our prices first on July upward. And I think so then on August 1 -- August 8 downwards. So what kind of, sir, first of all, variations are we expecting in our realization for this quarter, although we are 45 days into the quarter. And secondly, our volume guidance of 50 million, that stands for this year?

Amitava Mukherjee: Yes. Our prices, we have taken 2 price cuts in the last 2 times. That's about INR500 and INR500, about a INR1,000, we have taken a price cut. And that is why our average sales realization which was Q1, it was around INR5,304. Now it should come down to around INR4,304 but that has been the general trend of the market. As you know, the HRC and the other steel prices have also been coming down in this period. So our pricing is in tune with the market trends, that's number one.

Number two, of course, we still keep a guidance of around 50 million tons. I know we are running about 1 million tons plus on shortfall as compared to last year because of 2 reasons. Because of some go slow in month of May and then very heavy monsoons this year. As you know, there has been some flooding.

There had been some flooding in one of our mines in Kirandul, etc because we received 254 millimeters of rain in 3 hours itself. So given all those problems, we know that we are running at about 1 million-plus tons shortfall as compared to last year, but thankfully, we have more than enough time to make this up.

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And we are confident that not only we'll make this up by October 10 or 15, and we'll reach the last year figures. And thereafter, the last 2 quarters, we'll comfortably outpace all the previous year's performance, and we should be able to reach around 50 this year.

Saket Kapoor: And our last year, the net number for the year was tonnage number was?

Amitava Mukherjee: Day 1?

Saket Kapoor: Last year since -- in tonnage, what was our tonnage for the last year...

Amitava Mukherjee: 45 million tons was the production and 44.6 million tons was our sales.

Saket Kapoor: And last point on this, sir, coal mining aspect and the update from the -- our investment in the subsidiary,

what's the outlook for the current year in terms of dividend repayable or I think to some aspect in terms of the Australian investment, there was some money to be received there also?

Amitava Mukherjee: Coal mining first for Section 7 notification is due, Section 4 was over. We are acquiring land on the CBA as you know the Coal Bearing Areas Act. Finally the Ministry of Coal has given us the approval last year that we can go under the CBA Act and we did not acquire land in the other act. So that is a big advantage. Section 4 is already complete.

Section 7 notification for Rohne has already come and for Tokisud, we expect it hopefully, within the next few days. Of course, that aspect is on track. Australia, of course, we have invested. Our gold mining operations is going on there. Right now, talking about dividend is too premature because even if we were to make that into a profitable venture, there are a few cash flow demands there for accelerated exploration.

In Australia, we have a lot of requirement for accelerated exploration, and we need to invest in that. And the Mount Bevan, the biggest iron ore as the magnetite -- more than 1.8 million ton of magnetite there, very high quality, very good quality of magnetite. The PFS has been completed and we are looking way forward for making further investments in the magnetite project.

Saket Kapoor: Sir, last point for the capex update domestically, how much have we spent in this quarter, first quarter? And what is outlined for the remaining part of the year, I think, so the slurry pipeline and lot of aspects are in the annual. And I request, sir, that in our investor presentation, if you could just give outline to us how much have we spent, at what stages of our capex are and when they will be on stream. That would give us a current understanding of how things are going to improve?

Amitava Mukherjee: Up to August spend, we have spent around INR384 crores or almost INR400 crores in NMDC for against an annual target of around INR2,200 crores. So our capex is going on full stream and the two major projects that were basically, we were asked -- in fact, we decided to keep on hold and redraw the entire thing to our pellet plant and our beneficiation plant, we wanted to make common facilities so that 6 million tons is done in future with common facilities.

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So now that part is complete. We have given the change orders. And as for the new joint work will start coming very shortly, immediately within a month or month and a half. And the capex would pick up then. We are also sort of -- we hope that by the end of the year, we'll be able to exceed very -- by a substantial margin, our capex program of INR2,200 crores.

Saket Kapoor: And lastly, on the losses on the Pellet and Other Minerals category. I think this quarter, the number is closer to INR57 crores?

Amitava Mukherjee: Yes. So we lost some money in Panna. Paloncha is a non-working unit as we know that we have some fixed costs there, which we basically watch in award functions and other fixed costs. We lost some money in the pellet plant as well. But pellet plant, we are trying to give a new eye on that. So we lost around INR12 crores in pellet plant, in Panna, we lost about INR21 crores. And in the sponge iron, the non-operational sponge iron unit, we lost about INR3 crores there. So we are taking steps so that we can run this full-fledged and these negative figures do not arise.

Saket Kapoor: Right. Sir I will join the queue.

Moderator: Thank you. The next question is from the line of Abhishek Poddar, HDFC Mutual Fund. Please go ahead.

Abhishek Poddar: Just one question regarding the SC judgment. Let's say, tomorrow, the MMDR Act is amended by the central government, which kind of limits the state's ability to do it. So will that be a prospective impact or it could be a retrospective impact, which would

mean that even the previous liabilities will not have to be paid?

Amitava Mukherjee: Well, I don't know what sort of -- we can think about crossing the bridge when we get to the

river. Unless we have something in black and white how can we comment on something that's completely hypothetical at this phase?

Abhishek Poddar: Right, because sir a lot of companies are kind of during this fact that in...

Amitava Mukherjee: I don't think it is proper for me to speculate on what will happen and what if scenarios are difficult to comment on.

Abhishek Poddar: Sir, the second question is while you said that even if the prospective levy is there, then it will be an equal playing field for all the companies. But there is some import which can happen.

And including your mine head cost plus the cost of logistics at times, the import costs kind of compete. Will that put you at disadvantage for some of the steel mills that you have...

Amitava Mukherjee: It's very hypothetical at this saying whether such a levy will make us non-competitive from imports. It's very difficult to speculate on such what if scenarios at this stage. Only when something is coming, then we will be able to know.

Abhishek Poddar: Okay. Understood sir. Thank you.

Moderator: Thank you very much. The next question is from the line of Kirtan Mehta, BOB Capital Markets. Please go ahead.

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Kirtan Mehta: Could you update on the status of the slurry pipeline as well as the time line for delivery and same thing for the pellet plant for time line for delivery, you already updated on the status?

Amitava Mukherjee: Number one, the pipeline has 3 major packages as you know apart from other smaller packages. One is the beneficiation plant. The other is the pipeline package itself. The third is the pellet plant. Now out of 131 kilometers, 73 kilometers has already been laid. Rest of it, most of it, the site is now clear except for one or two villages. Some tree removals are being made, etc and pipelines have arrived. A lot more pipeline is being laid now and after monsoon, I think that work is progressing reasonably well.

The pellet plant and the beneficiation plant, we have put it on hold. Pellet plant especially because we wanted a dual fuel arrangement. And it was only on LDO, now we wanted a cheaper tar which is available in the steel plant next door. So dual fuel arrangement and also for common sizing equipment for 6 million tons as and when we decide.

So that engineering portion has been completed fully and the change orders have been issued to the respective vendors. They have now begun work as per the revised specifications or revised drawings. And now we have -- it will pick up and I think it is expected to be completed by mid-2026.

For the entire system, it will get operational, I think the latest time is, I think it was December '25, just let me have a look or I think it is March -- around March '26 what we expect that all the three packages will be up and running. And the entire system will run around somewhere around mid-calendar year '26.

Kirtan Mehta: Thank you sir.

Moderator: Thank you very much.. The next question is from the line of Pallav Agarwal, Antique Stock Broking. Please go ahead.

Pallav Agarwal: Thank you sir for follow up. Sir just want to understand your lumps mix historically has been about 30% to 35% of the overall volume. So do we expect this to continue going ahead?

Amitava Mukherjee: Strategically, there are reports we have done some market survey for this. We expect that in 5 to 7 years especially around '31, '32 or maybe somewhere around '35 with the bigger blast furnaces coming in which has higher capacity of pellets, the lump demand itself might go down to around 20% to 22% or 25%.

And we are in our expansion plan, we have factored that in. So we'll have to keep flexible facilities for producing more fine tha

n lumps, reducing our lump production and increasing our fine production. And we have taken that into cognizance if the market were to behave that way. I can assure you that our expansion plan will have factored in such a possibility.

Pallav Agarwal: So also just on the -- is there some lag between the price hike or price cut that we announced and the actual impact in our financials. So for example, if we take a big price cut, let's say in the month of August. So for this -- for the second quarter, it's there for probably only 2 months or the whole quarter. So does that impact how -- come in with a lag in the next quarter?

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Amitava Mukherjee: Yes, naturally. Because price cuts were done in mid-quarter. So we did have the advantage of higher prices in the first part of the quarter. So naturally, our -- to that extent, our results -- our profit will be insulated to that extent.

Pallav Agarwal: Sure sir. Thank you.

Moderator: Thank you very much. The next question is from the line of from Pramod Dangi, Unifi Investment Management. Please go ahead.

Pramod Dangi: So my two questions, sir. If you can clarify or you can give the calculation of the royalty quarter-on-quarter because this quarter, we see the royalty amount is 37% of the gross revenue.

Last quarter, it was around 47%, before that, it was 43%. So how the royalty is calculated, if you can give the detail on that. I think that will benefit everybody?

Amitava Mukherjee: This is the royalty basically what are -- because our production came down by 40%. And then the royalty, ultimately, what we book, although it is paid based on sales, but the booking is based on production. So that is why the royalty came down by 13%, which is in turn -- which is in tune with the reduction in production. Royalty, remember, is paid based on sales but is accounted for based on production.

Pramod Dangi: So it's not based on the accrued accounting, based on the volume sold. It is based on the actual production we have done?

Amitava Mukherjee: Yes. Because you see -- if you see our iron ore production in this quarter came down from Q1 to Q1, that is year-on-year basis by 14%, 1-4, 14%. And our royalties have come down by 1-3, 13%.

Pramod Dangi: And second, is there any seasonality, I just want to understand, is there any seasonality in the cost for the September month -- September quarter, because last 2 years, we are looking at very high overall cost for the September quarter, '22 and...

Amitava Mukherjee: What cost?

Pramod Dangi: The total cost when I look at as a percentage of revenue, in the September, it's very high compared to other quarters.

Amitava Mukherjee: What cost.

Pramod Dangi: You have increased, decreased in the stock and the cost of services and the raw materials.

Amitava Mukherjee: So that will depend on if we sell more than we produce, then obviously the stock adjustment would be negative. If we produce more than we sell, then it will be the other way around. This is to adjust the cost of production, the cost of goods sold.

Pramod Dangi: No, because, sir, we are not able to reconcile that in terms of -- in both the September quarter, it was very high as a percentage of revenue.

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Amitava Mukherjee: September quarter was very high because we sold much more than we produced. So if we are at higher negative -- if it would be higher positive because we sold more than we produced.

Pramod Dangi: No, I'm talking about the per ton cost. If I'm looking at the per ton cost also, it is significantly higher compared to the...

Amitava Mukherjee: Per ton cost you see this is a fixed cost industry. So if your production goes down, your per ton cost goes up, even if we have production for a unit goes down by 1 million tons, the per ton cost goes up by about more than INR15

0, INR200 simply because 90% of my cost is fixed cost and only 10% of my cost is variable cost.

So that is why there is a disproportionate effect on per ton cost or depending -- and similarly we have seen in some quarters where our productions have gone up, our per ton cost reduced drastically.

Pramod Dangi: Okay got it sir. Thanks a lot.

Moderator: Thank you. The next question is from the line of Ajit Jain [inaudible 49:15]. Please go ahead.

Ajit Jain: I just wanted to know when I look into your performance sheet, which you display and very nicely displayed, sir, there is average domestic realization. When I compare that figure with the figures which you give on monthly basis or lump prices and fixed prices, Again, there is a little reconciliation dip in. My question is in this average domestic realization do we take the fixed price or the lump price or it's a combo?

Amitava Mukherjee: The difference between that is basically because of bonus penalty. So if I say INR6,000 is my price, let us say of lump and then there is 2% -- so it to be another 400. So that is what factor in. That is why the average realization does differ on bonus and penalty costs that we have...

Ajit Jain: If I get it correctly, sir, average realization has this royalty included in it?

Amitava Mukherjee: Not only royalty, but also bonus and penalty.

Ajit Jain: Okay. Fair enough and normally, it is a combo of ore and this thing -- both taken into lumps and both the products' prices, fines and the lumps taken together?

Amitava Mukherjee: Yes average realization is total -- that is lump price, fine price everything taken together. The bonus penalty divided by total quantity.

Ajit Jain: Sir, my next question is you had talked about that parallel cases which are running. I know it's a very hypothetical thing, but in case it comes through, then even that will have 12 years instalment payment if it comes through?

Amitava Mukherjee: We don't know. We cannot speculate on that. So we are applying the current principles to our case. But whether it will be exactly that or not I cannot speculate on the wisdom of the Honourable Supreme Court what they will decide. I'm just applying the current principles to our case, and we doing this on it.

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Ajit Jain: Sure. Thank you so much.

Moderator: Thank you very much. The next question is from the line of Tushar Chaudhari, PL Capital.

Please go ahead.

Tushar Chaudhari: Sir, for a few of the deposits we had applied for 10% EC extension. So basically you were saying that we might receive it without a public hearing and with a time frame of around 6, 7 months. Any update on those?

Amitava Mukherjee: They are being still processed. So yes, some of them are in Ministry of -- MOEF here.

Hopefully, we'll be getting it this financial year itself. If we do, then it is good for us, the more the merrier.

Tushar Chaudhari: So for FY '26, how much should be our capacity as per your...

Amitava Mukherjee: As of now it is 53.6% is our capacity against which we produced 45% last year. When the capacity was 51%, we produce 45%, so that was 89% capacity -- EC utilization -- EC capacity utilization which is definitely the highest in India.

Tushar Chaudhari: Sir, so my question was '25, we are talking about 50 million tons. So '26, whether we will be able to do full 54 or we will -- we might...

Amitava Mukherjee: We should be able to do 54, but certain plants and equipment needs some monitoring, but I think it can be done.

Tushar Chaudhari: But no incremental EC extension, we'll get in the next, let's say, 12 months?

Amitava Mukherjee: These are our 5-star mines will get automatic route which is without local hearing etc. We have applied for that, 3 of our mines are 5-star of our mines as you know, in fact, 4 of our mines are 5-star mines. It was recently given in the -- I think last week, we got the 5-star r

ating

by the IBM in terms of the minister. So those things we would be getting done.

Tushar Chaudhari: Thanks a lot.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, that was the last question.

I now hand over the call to the management for the closing comments.

Amitava Mukherjee: Well, thank you for all your time and thank you for joining us. I think and from the questions, and quite rightly I think the most amount of apprehensions were regarding the recent Supreme Court judgment and its effect on an NMDC. As I have -- hopefully I've been able to clarify that as merchant miners we are in a more comfortable, more reassuring space than maybe those -- our counterparts who are also the end consumer of what they mine.

So naturally, that puts us in a slightly -- not slightly substantially better position. Also, the fact that our customer base has not changed too much in the last 23 years -- last 20 years. It's also a matter of great convenience at this point of time if it comes for recovery from them. But what will happen is now at the helm of -- it's a hypothetical question because as I have said that 2 of our major liabilities arise out of parallel cases. What we are doing right now to talk to you is

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applying the principles of the current judgment to those cases and we actually -- the judgment might for all you know might slightly differ from this one. We cannot speculate that.

But having said so, that because of our pricing structure we are in a position to move -- we're reasonably confident that it will not affect our numbers very adversely. Thank you so much, and thank you for joining us and really appreciate your time and your attention.

Moderator: Thank you very much. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Scrip Code - NMDC The Calcutta Stock

Exchange Limited

7, Lyons Range, Murgighata, Dalhousie, Kolkata - 700001

Scrip Code - 24131

Dear Sir / Madam,

Sub: Transcript of NMDC Limited post Q3 FY 2024-25 Results – Analyst / Investors

Conference Call held on 10th February 2025.

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015.

Reference to the captio

ned subject, please find enclosed Transcript of NMDC Limited post Q3

FY 2024-25 Results Analyst / Investors Conference Call held on 10th February 2025. The same

is also being uploaded on the website of the Company.

The above information is also available on the Company's website:

<https://www.nmdc.co.in/investors/analyst-meet-and-investors-presentation> .

Please take

the above information on record.

Thanking you,

Yours faithfully,

for NMDC Limited

(Pravin Shekhar)

Company Secretary & Compliance Officer

"NMDC Q3 FY'25 Earnings Conference Call"

February 10, 2025

MANAGEMENT : M R. AMITAVA MUKHERJEE – DIRECTOR (FINANCE) &

CHAIRMAN -CUM-MANAGING DIRECTOR (ADDITIONAL

CHARGE), NMDC

MODERATOR : M R. SUMAN KUMAR – DOLAT CAPITAL MARKET PRIVATE

LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY25 Earnings Conference Call of NMDC Limited hosted by Dolat Capital Markets Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Suman Kumar – the Vice President from Dolat Capital. Thank you and over to you, Sir.

Suman Kumar: Yes. Thank you, Albeque. Good afternoon, everyone, and thank you for joining us today afternoon for NMDC 3Q FY25 Results Call.

We have the senior management with us today, represented by Mr. Amitava Mukherjee – Director,

Finance and Chairman-Cum-Managing Director, Additional Charge. So, now I would like to hand over to Amitava sir for his opening comments. Over to you, sir.

Amitava Mukherjee: Good afternoon, everybody and thank you for joining in. Now I believe that this quarter results have been pretty good. Hopefully, it is beyond what the streets expected, both in terms of physical performance and financial performance.

I think it has been very satisfactory, and even then on nine-month basis, we are doing fairly well. So, if you see our performance in terms of production, it has been even higher than Q4 of last year, which indeed is something absolutely unprecedented if I may say so. Financially, of course, despite turned down in the steel prices, we have been able to reasonably hold off prices for iron ore and which shows the results. CAPEX also, we are doing fine. We have locked in approximately 3,112 crores of CAPEX this year which is already we have exceeded last year and we expect to have a CAPEX of around 4,000 crores in this financial year. We should almost be twice as much as we did last year. So, overall, we have had a good run so far in this year including the last quarter.

Also, we have a major vendor conference where about 150 vendors participated, more than 250 people were there where we unveiled our plan for CAPEX of around 70,000 crores for the next five to six years to enable us to reach 100 million tons target. So, these are the major happenings that has happened. And I think response from the vendors were absolutely fantastic where we gave them the understanding of the technology that we are looking for and the major CAPEX programs along the timelines that were there.

So, thank you once again very much for joining and now we can connect to individual people to ask the questions.

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Moderator: Thank you, sir. We will now begin with the question-and-answer session. Anyone who wishes to ask a question may press "*" and "1" on their touch tone phone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Yes. Hi. Good afternoon, everyone, and thanks for the opportunity. Congratulations for a good set of numbers, sir in this quarter.

Amitava Mukherjee: Thank you.

Amit Dixit: I have two questions. The first one is, if I look at the royalty as a percentage of realization, it's around 46% this quarter, much higher than the last two quarters. So, just wanted to understand have you started making provision for the possible higher royalty in Karnataka? If not, what event or milestone would cause us to do that?

Amitava Mukherjee: #1, I like to clarify that we have made no provision for the expected higher royalty in Karnataka.

Moderator: Sir, sorry to interrupt.

Amitava Mukherjee: Yes, we

understood we have not made any provision at all. This is in the contingent liability where we also mentioned that most of it would be recoverable. The higher royalty is on account of higher production that is there, which is about 50 lakh tons increase as compared to Q2. And as you know that royalty provision is made on production, not sales. So, that is why if you match it to sales, it will not give about 20% that you are expecting, so because of about 50 lakh tons. So, I think the production as compared to Q2 has gone up by 60%. So, that is one of the factors for royalty, so if you match it with the sales, it is not necessarily be a straight division. Go ahead.

Amit Dixit: Thank you, sir. Very clear. The second question is on NMDC Steel. So, what was the sales volume this quarter at NMDC Steel and how are we ramping up over there?

Amitava Mukherjee: This quarter, we did production of around 3,80,000 tons which in December we did about 1,46,000 tons, which is almost near. The problem is dispatches. We are still sort of dispatching 2 to 2.5 rakes. We are able to dispatch around 1.4 rakes essentially because of non-availability of rakes in the circuit.

Of course, Indian Railways has just allowed to back board cold rakes and live rakes that come in, so that would bring some relief. But overall, the major problem is that, but we're trying to solve it by getting somewhere rakes there. So, our sales revenue of course has gone to about 2,120, but unless we sell around 165,000 tons, it will be slightly difficult for us to break even. So, we are now at 130 something... I will just give you the figure, but we see 155 we need at least 2, 2.5 rakes a day, and this quarter we sold around 3,57,000, in terms of monthly basis, that is not adequate enough. So, we

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have to do around at least 4,65,000 to 4,80,000 per quarter to have something in a close vicinity of breakeven. Thank you.

Amit Dixit: Okay, sir. So, production wise, there is absolutely no problem, you are just saying that sales wise we are not able to get rakes and there is the bottleneck lie.

Amitava Mukherjee: Yes, I have around 2,00,000 tons of (Audio Distortion) 9:18.

Moderator: Sorry to interrupt.

Amitava Mukherjee: I am not able to dispatch because the rakes are not there. My production is going more than the sales. So, that is the problem. Last to last month I sold 1,65,000 product last month for example I sold about 1,30,000 and this month it's 1,46,000. So, that is the problem. I produce 1,43,000 in the quarter (Inaudible) 9:56 67,000 in the quarter that will be 20,000 to 23,000 and we are carrying a huge backlog. So, the rake availability and the dispatches issue is there.

Amit Dixit: Okay, sir. Thank you so much and all the best.

Amitava Mukherjee: Thank you.

Moderator: Thank you. Mr. Mukherjee, I would request you to come a little closer to the microphone as your voice is a little muffled at times and use the handset as possible.

Amitava Mukherjee: Okay, okay, alright.

Moderator: The next question comes from the line of Saket Kapoor from Kapoor Corporation. Please go ahead.

Saket Kapoor: Namaskar, sir, and thank you for the opportunity. I also missed a lot part of your answer, so we'll take it later from the transcript. Sir, if you could just first explain to us, note #8 of our result and its implication and note #12. The note #12 which speaks about our investment in our subsidiary company, Legacy Iron Ore, what is translating there and what are we exactly eyeing? And for note #8, it's regarding our investment in RINL to the tune of Rs.1,500 crores for setting up of various facility. So, this is my first question. And second question -

Amitava Mukherjee: Note #8 is advance to (Inaudible) 11.25 more exactly what you want to know? Are you referring to Note #6 which is outstanding on (Inaudible) 11.37 kindly be specific what note you are asking?

Saket Kapoor: Sir, the note

says that the company has entered into a memorandum of understanding with RINL for setting up various facilities. What are we eyeing and this is a 1,500 crores investment that we are going to make upfront and deposits of 90 crores. If you could just elaborate the project? And also the

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receivables to the tune of 3,000 crores something pending from them also. So, will this be adjusted from that or we will be needing to make fresh investment?

Amitava Mukherjee: That is note #7. The Rs. 1,500 crores that has been paid is essentially for buying or leasing 1,167 acres of land which was approved by the RINL Board also, our board this year and finally we had to get the approval of Ministry of Finance. Now that land we have taken possession of that. We are now going to develop the India's biggest bending yard there. We plan to terminate our pipeline phase-II, which is from Nagarnar to Vizag. We were not able to sanction that project because we did not know where this pipeline will terminate. And obviously we are terminating our last pipeline, we will also be setting up at least an 8 million tons pellet plant there. So, blending lot, pellet plant and in future we do some critical minerals like lithium etc., we would keep some land for processing of the same. So, we needed last year parcel of land. We have got it. This is just next to the Gangavaram port, 1,500 crores have been paid to RVNL and we are in the process of registering that land, but as of now we have already taken possession and made the boundary wall, now we are making plans to make investments, the three investments as I said, blending yard, pellet plant and pipeline. These are at least will result in the near-term.

Saket Kapoor: As on December 24, the receivables from RINL is to the tune of 3,400 crores. What is the update?

Amitava Mukherjee: Yes, RINL, we said we have started paying for the supplies around one week back. So, as you know what I understand that RINL has got a grant of around 11,000 crores from the Government of India and we hope that it will facilitate liquidation of our outstanding sooner than later. As of now, the interesting thing is that RINL is doing better and that can be seen in the recent steps that they have taken in paying our outstanding.

Saket Kapoor: Okay. And note #12 is about our Legacy Iron Ore investment. For that, we have done for some trading suspension to be revoked. If you could just explain this Rs.84 crores that we have done for Legacy Iron Ore?

Amitava Mukherjee: There was a liquidity issue and then when we got pending rights infusion by us and by the investors, we have taken a trading halt there because there were liquidity issues and unless we had subscribed to the rights issue and it would not have been possible for Legacy to continue with their operations, because the rights issue would have taken a month to design and fructify, so during that period we had taken voluntary trading halt. Once the rights issue were subscribed, I think we subscribed around 22 million and the subscribers had subscribed their cost. So, thereafter once the subscription was completed, the trading halt was lifted, we requested for lift of trading, which is now lifted, and now trading has commenced in a regular fashion.

Saket Kapoor: I will just take the next question offline, but the point was, what are the benefits you are currently envisaging from this investment? And secondly sir, when you mentioned we are eyeing for 100

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million tons five years target of output and we have spoken to our vendors, have we made any presentation being uploaded to the stock exchanges also for our investors to know exactly where are we going to put the money and how are things going to shape up because 70,000 crores in five years

is a large number. So, the vendor meet and the update of the same, where can investors find the details of the same?

Amitava Mukherjee:

Sir, as of now, each of the projects it will not be possible for us to give it to the investors and others, but that is the direction that the company is moving towards that we have mentioned in various interviews and various press releases and various things. As and when the board approves and as and when the competent authority approves, we will go ahead and you will be intimated.

Saket Kapoor: But can you give an outline for what kind of CAPEX we are envisaging for the next financial year in taking into account this 70,000 crores number, our run rate is 4,000 for this year, so the average should go up significantly from the -

Amitava Mukherjee: Not 4,000, slightly more than that.

Saket Kapoor: What could be our volume for Q4? Considering what we did for Q3, this was the same number we did for last year Q4. So, if you could just give some understanding on how the volume should shape up for the ensuing quarters and also how have been the realization trend as of now?

Amitava Mukherjee: I think the Q4 should be doing much better than last year; I think we should be doing at least 16 to 17 lakh. In last month, January, we have done around more than 5 lakh plus. So, that leaves us to do around 11 to 12 lakhs in the next two months, February and March and hopefully we should be able to achieve that.

Saket Kapoor: Okay. Right, sir. I will join the queue for this follow up and thank you sir. And lastly, this iron ore product services line item wherein we are making losses. What steps sir are in the anvil to mitigate this losses? I know diamond mine is a drag. And earlier also we have alluded to the request that the CAPEX what we have spent, the projects which are under implementation, the projects we are going to complete in one or two years time, we needed the details of the same in our investor presentation. So, kindly look into our request, earlier also we requested during the conference call so that we get an idea of how much we have to spend for the quarter for the nine months or 12 months and what are we eyeing going there in terms of the completion also, the timeline that would give a better idea and save lot of time during the call, sir.

Amitava Mukherjee: Okay.

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Moderator: Participants please restrict yourself to two questions if you have any further questions, kindly rejoin the queue. The next question comes from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi, thank you. Just a follow up to the previous question. You outlined 70,000 crores CAPEX for increasing to 100 million tons whereas the current gross block on the book that you have for 50 million tons is much significantly lower. And previously, you mentioned 50,000 crores CAPEX to get 100 million tons in one of the earlier calls. What has led to this increase in 50 to 70 and maybe can you outline why such high CAPEX compared to the current gross block that you have?

Amitava Mukherjee: You see, this figure will keep on changing till the time we get all the projects. Few of these are at desirable stages. So, this figure of 70 might become 80, this is what we are targeting as of now. When we made a deep dive into each project, then we will know whether this project is required or not and the project cost we are now doing is essentially bulk cement, obviously going to make detailed DPR, etc., the cost themselves go on changing. Sometimes they change the method of execution, for example, we can do it on some what is called partnership mode with the private investor and we now have a board for. NMDC partnership participation policy. So, it can change more of execution from EPC to partnership basis. We are trying to get a few dispatch facilities on the partnership mode, they invest and we pay on a per ton basis. So, these are right now a lot of fluidity more in term of per ton, more in terms of cost and finally in terms of execution methodologies.

When we made a little more,

it could become 65, could become 50, so, but we have made a long list of items that possibly needs to be done, we have gone through that quite a few times, we feel that, that list is exhaustive, but we might add or delete a couple from them as we go ahead.

Satyadeep Jain: Sir, on that question of why this is much higher than the current gross block, I can understand there will be changes, but what is causing this such high CAPEX, for new CAPEX assuming and I'm not sure if this assumes that you'll give out some MBO, it seems like you are saying some can be contracted, the 70,000 already assume some MDO and why is this CAPEX so high? When you look at CAPEX, you mentioned you're looking at 2030 as the guidepost for 100 million tons, which means possibly from FY27, there's a significant step up in CAPEX. So, what kind of annualized run rate CAPEX do we look at and does it mean you may have to relook at your dividend if the CAPEX is going to be so high in '27-28? All of these questions tied to the CAPEX. These are my only questions.

Amitava Mukherjee: We can speak about Crossing the bridge when we get to the river about '27-28. One thing you must realize is that the production jump comes in when this CAPEX are completed. So, if I am putting a 12 million tons let us say screening pump, about let us say 8,000 crores, so only when the screening pump is completed that I get a one-time one-shot jump as well. It will not be staggered. So, a lot of

this from 50 to 100 will come up in a step rather than being a smooth curve up. So, this we realize and it is a project-specific. A lot of investment is related to dispatches where we need to build up a lot of dispatch capacities, both in terms of loading and in terms of evacuation. So, we have to focus NMDC

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at least 1.5x or at least 2x of our production capacity in terms of evacuation. That is very important. Evacuation methods have to be fungible. So, you must have free capacities for dispatches as well as through weight as well as through conveyors. So, it is a multi-model if I may say so of dispatch capacities which are fairly in excess from production capacities, because we have seen and we have learned the lessons over the years and we believe that we should have enough capacity so that we have flexibility in dispatching and a lot amount of this is related to the dispatch and boarding capacity enhancement.

Satyadeep Jain: Thank you. I will join the queue. Thank you so much.

Moderator: The next question comes from the line of Prateek Singh from DAM Capital. Please go ahead.

Prateek Singh: Hi, sir, thanks for taking my question. Just sort of a hypothetical question. So, as you know, Karnataka bill talks about 1.5x extra royalty of 3x extra royalty depending on when it is granted. I would assume that bulk of this were granted before 2015 when the renewals happening post 2015. So, do we have a sense as to what percentage of our Karnataka production would fall under 1.5x or 3x or is it all under 1.5x as of now?

Amitava Mukherjee: Can you repeat please?

Prateek Singh: So, what kind of tax increase are we looking at if the Karnataka tax bill kind of is passed completely? So, they had asked for 1.5x royalty more or 3x royalty more. Do we fall under the 1.5 slab which means that is status quo, or do you think that some of our mines where before 2015 so we fell with 3x royalty slab right now?

Amitava Mukherjee: It is normal royalty slab going ahead into the future, but yes, retrospectively it is tough period we would like sub-3 kind of royalty. But (Inaudible) 27.47 that because the still it is likely to have repercussion beyond the borders of the state of Karnataka. I hope the central government takes note of this and our burden of the future and the past is relooked at. That is what we are hoping that it would be done.

Prateek Singh: Sir, just to summarize, the only impact in the wo

rst case would be the retrospective impact, on a run

rate basis, there is no incremental royalty impact because we are already paying 1.5, is that the current?

Amitava Mukherjee: There is an agreement of royalty of Rs.100 per ton and I think over and above 1.5x that we are paying. So, what we are saying is 22.5, it will be 45.5 plus 20, it will be 65.5, it will have plus 50 effect as well.

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Prateek Singh: Understood. Understood. and Sir, if you can shed some light on the current demand/supply scenario in the country, given that you have been able to keep prices elevated despite steel prices going down, how do you see it going ahead, do you think that the supply situation will continue to remain tight and we will be able to hold prices in over the next six, seven months?

Amitava Mukherjee: We are not in the six, seven months horizon, we are at least the one month, two months horizon right now. Every day, of course, the steel prices are not very encouraging. We have taken a small price cut about a month back. So, we are headwinds in terms of prices, but we are trying to see what best can be done. So, because the profitability of the company and we will have to take a call in April about the next six months, but right now we are having a very close look of what to do of 31st March. I hope that even if we have to take a cut it will not be very substantial I and I hope that we'll be able to go stretch this pricing as long as we are able to. As of now, we are managing our prices. That's what we are looking at on a day-to-day basis. It'll be difficult to speculate right now.

Prateek Singh: Understood. Thanks for answering my question sir.

Moderator: Thank you. Mr. Mukherjee, I would request you to come a little closer to the microphone and press handset mode so that everyone could hear you a little clearer.

Amitava Mukherjee: Okay.

Moderator: The next question comes from the line of Sumanga I Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes. Good afternoon. Thanks for the chance. A couple of follow up questions. One is on the timeline. As far as this uncertainty and the final decision on the Karnataka state government tax is concerned, any sense do we have as far as timeline is concerned?

Amitava Mukherjee: No, your guess is as good as mine. As we gather from the newspapers, that the bill work to return that it has again been resubmitted to the governor. All we are hoping is that because there is likely to have a domino effect beyond the state borders of Karnataka, I hope that in the interest of the entire mining community, the central government will possibly have a look at the entire situation that is now developing. So, beyond that I am not privy to any more information on this.

Sumangal Nevatia: Understand. Understand. And in case this 150% is being imposed from a prospective basis, do we have any clause under our supply agreement where this is an automatic pass-through or this is

something which we will have to -?

Amitava Mukherjee: It will be a pass-through. We are very sure about that. All of these are pass-throughs. Even the retrospective of what it is we are hitting pass-through and of course getting it recovered from the customer is a different administrative issue, and that is what we have written in our note if you see

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and significant aspect we have said that in terms of LTA and options, if these are the factors introduced in the future are recoverable from customers and bidders. We are very clear. But nonetheless, in terms of the market, individually it might not succeed, but overall if the market crashes the steel producers or customers will have disadvantages and in our dispatches So, that is our point of worry.

Sumangal Nevatia: Okay. Because last time in 2021 there was an additional 22.5% premium we had to absorb it and only gradually depending on the demand/supply situation, w

e were able to occasionally pass on. So,

this time also it will be same, right, I mean it will depend on demand/supply situation rather than any contract pass-through -

Amitava Mukherjee: Last time pricing policy and all inclusive, so we did not put there a separate line item but that we can change at any given point of time. But this is a pass-through, definitely. we can convert our pricing through a pass-through mechanism. So, that's not a problem at all. The way earlier we used to do it for royalty and DMF and NMET, we can do it for this also. So, that's not a major problem that we have. All we need to do is change our pricing structure. We will declare our base price and add on price item and it will be shown. Today, it's an all-inclusive pricing. So, there is no separate line item, so you can't see that, you presume that it will come to the total profit.

Sumangal Nevatia: Alright, thank you.

Moderator: The next question comes from the line of Tushar Chaudhari from PL Capital. Please go ahead.

Tushar Chaudhari: Good afternoon. Thanks a lot for the opportunity. Sir, in the last few quarters, you had given us an update on a few of the projects at mines basically deposit five, deposit 10, where we could increase the capacities by 10% without public hearing. Any incremental info on that?

Amitava Mukherjee: We are expecting it by end of February. Hopefully, the approval for deposit for 2 million tons would come by end of February. It should be at the end of this month or somewhere around middle of next month. Similarly for deposits 14 also, we are expecting that, that it will be coming but those are in the various statutory approvals that are required, but we have not been received, we are pursuing this hard. Hopefully that is why for next year we are factoring in these approvals and we hope to do around 53 million tons next year.

Tushar Chaudhari: In fourth quarter, you said around 14, 15, 16 million tons?

Amitava Mukherjee: 16 should be easily done. We will try into 17, but we have already done five plus in the month of January, as you know we have declared I think 5.15 or 5.25 in the January month. So, that gives us around 11 to 12, that should be possible, it's not impossible.

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Tushar Chaudhari: Sir, my next question is on the commissioning of the pellet plant which you were confident of finishing by end of FY'25. So, you're saying that from 2 we are configuring this 6 mtpa. So, any update on that for Nagarnar?

Amitava Mukherjee: I expect the pellet plant will be commissioned by the end of this calendar year, but what we are executing now and completing is a 2 million tons pellet plant with the provision of upgrading into 6 million tons. All the facilities are common, etc., The upgradation to six would also depend on back-to-back our upgradation if any the Nagarnar facility steel plant and also for the market. So, that to me, as of now, it is not a sanctioned piece of CAPEX. It is included in that 70,000 crores that we are talking about. It is included in that, but as of now it is not a board approved investment to be made. It would be sanctioned hopefully in the next three to four months, then we will decide of improving it from 2 million tons to 6 million tons. But 2 million tons I think we should be getting done by end of fiscal year.

Tushar Chaudhari: Okay. Thanks a lot. Thanks a lot.

Moderator: Thank you. The next question comes from the line of Rashi Chopra from Citigroup. Please go ahead.

Rashi Chopra: Thank you. Most of my questions are answered. Just could you provide the cash balance as of December?

Amitava Mukherjee: As on 31st January was around 7,696 crores. December. I have to recheck and give it to you.

Rashi Chopra: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Ronil Dalal from Ficom Family Office. Please go ahead.

Ronil Dalal: Yes, hi, sir. Is there any impact of the ir

on ore consumption due to the recent budget announcement

on reduction in steel import duties to 15% from 22.5%? That's my first question.

Amitava Mukherjee: Can you ask the question again? I could not understand that please.

Ronil Dalal: Is there any impact on iron ore consumption due to the recent budget announcement on reduction in steel import duty to 15% from 22.5%?

Amitava Mukherjee: It has been reduced from 22% to 15%.

Ronil Dalal: I believe this is announced in the budget right unless I'm mistaken on the steel import duty.

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Amitava Mukherjee: Steel import duty is I think the different things. That was the maximum rate of steel import duty, not the effective rate of steel import duty. So, the steel import duty I think they are currently around 5% or 7%, that stays. So, that has not affected any steel import and consequently our customers as such domestic production and prices of steel as much. I think that's completely a misnomer. That is the maximum permissible and we are actually much lower than that. So, that having an impact on increased domestic steel production, which constitutes the hyper import impact on iron ore, I don't think it is correct, there is any correlation as of now, none whatsoever.

Ronil Dalal: Sure. My second question is that one large private player has announced possible investments of 1 lakh crores for 25 million tons steel plant in Gudchiroli and also some iron ore mining investments.

And there is another player also which is expanding its capacity in iron ore mining in Maharashtra as well. These are large kind of capacity increases and investments. Would this have any bearing on the demand/supply dynamics, pricing or even your CA PEX plan over the next two, three years, have you reviewed this development and any impact from the same?

Amitava Mukherjee: I would not like to comment on the plans of any other company. So, that is beyond my competence to do, but if there is something big coming up in Gudchiroli, unfortunately, a place that is beyond our service area, there are no evacuation facilities as of now, even bigger plants come out there. Our possibility of making supplies there appears to be rather remote as of now. Future, I do not know. As of now it looks non-viable for us to be a source of supply.

Ronil Dalal: Line is not clear, sir.

Amitava Mukherjee: What I'm saying is that if in Gudchiroli mega steel plant comes in, I don't think NMDC is going to be affected by that because NMDC is not likely a key source of supplies for such a steel plant. West, of course the other things that coming in from Andhra, the more steel plants coming, the better it is for us as a merchant I will do my best, bigger customers, more customers are always more welcome.

Ronil Dalal: Sure. Thank you so much. Thank you. All the best.

Moderator: The next question comes from the line of Shweta Dikshit from Systematix. Please go ahead.

Shweta Dikshit: Hi, good afternoon. Thank you so much. Most of my questions were answered. Just could you give some outlook on where are we looking at our volume numbers for FY27 like we are expecting EC limit enhancements to take our volume to 53 million tons this year, but that was expected in FY'25 itself, but we did not achieve that number. So, what's the outlook for FY27 from here?

Amitava Mukherjee: In FY27 we should be doing if SP-III comes in around 60, next year, it should be around 53, because one major project which is SP-III is going to come on line, that is going to substantially increase our NMDC

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capacity for processing our ore, and by that time, of course, EC has to be also enhanced in terms of mining required. So, we're looking at that.

Shweta Dikshit: Alright. Thank you.

Moderator: Thank you. The next question comes from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Hi, sir. My first question is on the coal block.

As we are looking to start maybe this year, any updates on that?

Amitava Mukherjee: Yes, I hope that by next year, we should be able to start that. I think that we should start from around December next should be following. Sec. 7 modification of the CP has been already done. And the next is Sec. 8 and 9. I think that is in line of going for the statutory requirement for Sec. 9 and then

Sec. 11 take us to the end of this year at least. Those will be statutory timelines that we have to give up each notice. And I think we should be able to do small scale mining and start the mine operational some around the next year.

Siddharth Gadekar: Second, in the Kumaraswamy mine, have you received the EC clearance of 10 million tons?

Amitava Mukherjee: No, currently it's 8.86 something very close to that, I don't remember the exact figure, but it is for 8.86 or 8.92 something like that, I just give you the exact number. Because apart from the EC clearance for which we have for 9.5 or something like that, but there is also another cap in Karnataka which is the MPAP, the maximum permissible annual production, which is there in the Bellary region where we operate. So, when you cap that, it comes to around 8.87 or something or 8.2. The exact number I give you slightly later, but that is the problem. So, the sale we should be doing about 8.62, which is the permissible limit for this year and next year we should be able to do about 8.92 or something like that. Just a second, I will just give you the number. This year is 8.2 for Kumaraswamy, next year it will be 8.91 or 9.

Siddharth Gadekar: Okay. Thank you.

Moderator: The next question comes from the line of Sumanga I Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes, sir. Thanks for the follow up. I just wanted to know on the overall volume o say around 45, 50 million tons. What is the breakup of few large steel companies, JSW, JSPL, Essar and RINL?

Amitava Mukherjee: Generally, all ticket is around 75% 80%, but exact breakup of a customer like for the first nine months, you'll have to give me some time to get back to that. Exactly the customer wise total, I don't think I have right now on hand.

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Sumangal Nevatia: Approximate range also is fine?

Amitava Mukherjee: Four taken together I have this number; for the nine months, AMNS is 56 lakh tons Vizag is 47 lakh tons, JSW is 84 lakh tons, that is 18%, 15% and 26% JSPL is 21 lakh tons which is 7%,

Sumangal Nevatia: Understood. Understood. And sir, with respect to NMDC steel plant, I mean, when do we expect the recovery of all the outstanding receivables, the investments and also any monetization timeline for the 10% equity stake we have?

Amitava Mukherjee: The 10% equity stake is as and when it is proposed to the disinvestment on which I don't have much of idea as of now. So, that is something as of now a hypothetical question.

Sumangal Nevatia: And the receivables and advances and investments, other assets that we have?

Amitava Mukherjee: I think we go to break even in that situation and that will only come when we do two or five rakes a month, not earlier than that.

Sumangal Nevatia: Understood. Alright. Thank you. Thank you.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor Corporation. Please go ahead.

Saket Kapoor: Thank you for the opportunity. Yes. So, when we look at our finance cost, that has gone up from 29 crores to 61 crores for this quarter and year-on-year th e number is up from 32. So, what explains this increase in finance cost?

Amitava Mukherjee: Are you talking about NMDC or NMDC Steel Limited?

Saket Kapoor: I'm talking about NMDC Limi ted consolidated accounts.

Amitava Mukherjee: Of course, increase is in rate quite substantial. Now that with th e finance cost has gone up, we are not investing in NMDC rather liquidating our previo us outstanding. So, it is essential of wor

king

capital limits that we had substantial increase on that. So, it has gone up by around 55 crores.

Saket Kapoor: Come again, sir. The last point was completely muffled.

Amitava Mukherjee: Yes. The working capital requirements have gone up and as you know now that we are trying to get this down instead of investing into FDs, our surplus cash, we are now liquida ting our working capital loan that has accrued, so that we're taking care of that.

Saket Kapoor: Okay, sir. Thank you for all the answers and all the best.

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Amitava Mukherjee: Thank you.

Moderator: The next question comes from the line of Atharva Gupta, an indi vidual investor. Please go ahead.

Atharva Gupta: Sir, my question is mainly on NMDC Steel Limited. I read the news the co ntract would break on.

Now, I just wanted to understand, now the operations have been handled by NSL? And secondly, the problem of rakes, have you spoken to the ministry lik e what is being done to address that, and do we have any sight on when this will get rectified?

Amitava Mukherjee: Yes. First of all, the first question is that of course the mecon contract ended on 17th of December and thereafter we have been on our own, we are doing pretty fine without them as well. So, we are having to shift now, we have a new executive di rector who we have recruited and who has now already joined us. So, we have an expert who's no w getting the plant. So, that is some good news.

The second question is about rakes, obviously, we are talking to the Indian Railways and they have been trying their best to help. But alternatively we ar e also talking to the private rake supplier for the LFTO, there are five or six vendors in India and we're trying to get them to supply us rakes. That is something that we are looking at. Ho pefully, once we do the tenders, etc., we expect that these rakes at least one per day will be available from the various suppliers, we are targeting to get this somewhere around mid-March, 1 st April. I think by that time should we be able to have those private rakes players supplying us. 1, 1.5 from Indian Railw ays is fine enough, the other one has to come from the private suppliers.

Atharva Gupta: Okay. So, once that's done, perhaps in Q1 we target breakeven if this happens by March or April Q1 of financial year '26?

Amitava Mukherjee: Yes, definitely there are only five or six suppliers , we have just called a limited tender from them.

So, once we give the order also it takes them around a month to organize the rake and supply to us. So, we should be able to give them the order by th e end of this month and then we will pursue with them how fast now so they can po ssibly supply to us. Thank you.

Moderator: Thank you. The next question comes from the line of Vikas Singh from PhillipCapital. Please go ahead.

Vikas Singh: Good afternoon, sir. Thank you for the opportunity. Sir, I see that our production has been pretty good, but our sales volume had been a little bit lagged. So, just wanted to understand our evacuation or the logistics in place right now and how do we see this improving over the next six or 12 months down the line especially from the Chhattisgarh region?

Amitava Mukherjee: Yes, that has been a problem. We have now opened two more newer sidings, but the whole sidings is giving us a major mechanical problem which have been similarly responsible for our numbers

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being lower than expected. Yes, it is possibly much higher than last year, but we could have done better, except one mechanical siding in Kirandal Road which is giving us some problems. We are looking at that thing; we are trying to get that in order. But with two new line No.4 in Bacheli and line No.13 in Kirandal Road, are basically on manual download system. We expect that we should be able to move 50 to 53 because even if we take four rakes, that is an incremental loading of at least 6 to 7 million

tons from these two sidings. So, we hope to actually achieve better going forward.

Vikas Singh: So, FY26 basically, we could be at 52, 53 million tons range?

Amitava Mukherjee: Yes, it should be.

Vikas Singh: Understood, sir. Sir, any update on the doubling of railway line?

Amitava Mukherjee: I think except for two sections, one between Bacheli and Bailadila the entire line is ready even from Kirandul to Bacheli it should be ready this year March. So, that would leave two sections, about 20 kilometers left out of the 151 kilometers. That is likely to take another six months. Nonetheless, as you know in railways, it is possible to take benefits even of tracks doubling. So, our facility has gone up for these two sections. I think one is 10 kilometers, one is 11 kilometers or something, 21, 22 kilometers I think we have to go somewhere around the end of next year. As you know railways is an executable job, we are following it up with railways very intensely. So, that is a question that we need to address.

Vikas Singh: Understood, sir. That's all from my side.

Moderator: Thank you. The next question comes from the line of Ruchita Maheshwari from Ace Lansdowne.

Please go ahead.

R Maheshwari: Hello. Yes. Just want to understand what's your sense on iron ore price movement, which is currently hovering around \$100, \$102 per ton, for next six months, what's your sense, whether this price will move up or it will stabilize or there will be some decline if some guidance is provided that will be great?

Amitava Mukherjee: I don't see it increasing too much, I'm not very optimistic on the medium term prices on iron ore. I think at the current scenario of the global production of steel. I think at even \$102 it is a robust price.

I think given the situation now steel production went by \$102 is a fair price. If it holds for sometime I think people should be happy rather than complain. I don't think that even in the medium term it's going to move up north at all.

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R Maheshwari: Okay. And today there was a news that US imports have 25% kind of a tariff on metals. What's your understanding on this and how it's going to impact the steel prices, iron ore going forward, and do you feel that Trump might revert this stance or it will maintain this?

Amitava Mukherjee: Nobody to comment on President Trump's whether he is going to revert or not. I don't think I'm the right person to be answering that question. Yes, there is an import duty of around 25%, but I have not had a good look at the countries exporting to US. I'm sure that from India there is hardly any steel export to US, even it is more sporadic. But I don't think there's a very regular steel export from India to US. So, far as Indian market is concerned, I don't think that's going to impact immediately. I have limited knowledge because I have not read the exact breakup of countries from where US is currently importing its steel. That's the thing that I cannot answer.

R Maheshwari: Do you feel that, that will increase the imports in India because if the other countries are not able to export to US because of the tariff?

Amitava Mukherjee: Internal report we are very clear from where it is coming so we know how much is coming from FTA countries, how much that includes Japan and Korea and how much is coming from the trade. So, unless we have a clear clarity from there, US was reporting. I don't think we will be able to have a view on that as of now.

Moderator: That's the last question now for today, sir. I would now like to hand the conference over to you, Mr.

Amitava Mukherjee for the closing comments.

Amitava Mukherjee: Yes. Thank you all for being there and asking the questions. I believe that NMDC is poised for good Q4 this year, good FY26 and beyond. The company is poised for a quantum leap. I hope that the investors will be happy with our comments not only in the coming quarter, coming

year, but also in the short-term. We are planning very aggressive growth plans, and we are also doing pretty well as you have seen in the recent past. You must realize that at this should I say we are in the month of May, we had a 30-day strike. So, what we've done last year in 12 months we are doing in 11 months and

had the strike would not have happened we would have easily cross 50 million tons of this year itself, but nonetheless what has happened has happened and I think we should be able to be comfortably locked down 53, 54 next year given the inputs that we are making in terms of operation, in terms of the machineries that which orders are being placed on and are due for delivery and which are in pipeline, I think the future of NMDC is bright and we are hopeful that we will take the company to the new heights in future. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, on behalf of Dolat Capital Markets Private Limited, that concludes this conference. You may now disconnect your lines.

Call: Jun 2025

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No. SEA2025017 01st June 2025

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Scrip Code - NMDC The Calcutta Stock
Exchange Limited
7, Lyons Range, Murgighata,
Dalhousie,
Kolkata - 700001
Scrip Code - 24131

Dear Sir / Madam,

Sub: Transcript of NMDC Limited post Q4 & FY 2024-25 Results – Analyst / Investors
Conference Call held on 28th May 2025.

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015.

Reference to the captioned subject, please find enclosed Transcript of NMDC Limited post Q4 &
FY 2024-25 Results Analyst / Investors Conference Call held on 28th May 2025. The same is
also being uploaded on the website of the Company.

The above information is also available on the Company's website:
<https://www.nmdc.co.in/investors/analyst-meet-and-investors-presentation> .

Please take the above information on record.

Thanking you,

Yours faithfully,
for NMDC Limited

(Pravin Shekhar)
Company Secretary & Compliance Officer

Encl.: As above.

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"NMDC Limited Q4 & FY25 Earnings Conference Call"
May 28, 2025

MANAGEMENT : MR. AMITAVA MUKHERJEE – CHAIRMAN AND
MANAGING DIRECTOR – NATIONAL MINERAL
DEVELOPMENT CORPORATION LIMITED

MODERATOR : MR. SUMAN KUMAR – DOLAT CAPITAL MARKETS
PRIVATE LIMITED

National Mineral Development Corporation Limited
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Moderator: Ladies and gentlemen, good day and welcome to the NMDC Limited Q4 and & FY '25 Earnings Conference Call hosted by Dolat Capital Markets Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Suman Kumar from Dolat Capital. Thank you, and over to you, sir.

Suman Kumar: Thank you, Shruti. Good afternoon, everyone. Thank you for joining us today. Today, we have with us Mr. Amitava Mukherjee, the Chairman and Managing Director of NMDC Limited.

Without further ado, I'll hand over to you, sir, for your opening comments and then we can open the floor for questions. Over to you sir.

Amitava Mukherjee: Right. Thank you, Suman. These are -- I think our performance despite the challenges in FY '24 -- in FY '25 has been rather commendable. We did lose around 43 or 44 days of production due to industrial issues, but we did in the other days, much more than that was -- we have done previously. And despite all these challenges, our numbers speak for themselves.

We have a growth in PAT on an annual or a year-on-year 12-month basis of around 19% and PBT after exceptional item of around 16%, which is indeed commendable. Our production was marginally lower about -- by about 1 million ton and sales was -- did pick up at the end. But we did manage to weather the rough storm and overcome that.

And as we say that our -- this is the first year in the block of 4 to 5 years where we plan to take NMDC from 50 million tons approximately to about 100 million tons. And in that way, we are progressing. We have seen that the capex was the highest this year, which was INR3,700 crores, highest ever. And we plan to continue much higher capex so that we are able to not only execute, but also commission all the capacity building projects that we have.

A lot of them have already been sanctioned. Some of them have been already tendered out and execution has started. And some of them would be tendered out by this end of this year so that in the next 3 years, we are able to complete all our projects and take NMDC from around 50 million tons to around 100 million tons in the next few years.

This year, financials were good. But coming to April, I think our -- we have shown again record production. And May till date has also been rather encouraging. Once the May numbers come, I hope that they would be much better than what you expect. And we have set ourselves a very, very steep target of 55 million tons, which is exactly 100% of our EC that we will have this year. So we have taken ourselves on the challenge to meet these aspirational goals. And up to May, we are fairly on track. The growth -- the actual numbers suggest that we are fairly on track. And going forward, you will see transformed NMDC. We are actively looking for assets abroad and we are evaluating many, many assets, which obviously cannot be discussed in the public domain.

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But the good thing is that we have been able to open an office at Dubai so that our Africa -- the assets that we look at -- are looking in Africa is easily coordinated. And our gold operations in Legacy, which we -- the first year was -- obviously, any first year mining project will not make profit, where we had made some losses. And we have also stabilized Legacy in the last 2 months, 3 months.

And hopefully, in this financial year, Legacy would also be showing us good profits. As you know, we have entered into a conversion of pellets with -- conversion agreement of

pellets with

KIOCL. We have started exploring. It has added to our top line, but not so much to our bottom line.

But this year, we plan to do DRI-grade pellets, which will substantially add to our bottom -- not only to our top line, but also to our bottom line. So that is the business plan for the coming year. And we hope that this year would be the year where our new assets like the two coal blocks and the two iron ore blocks under our JV, NMDC CMDC Limited should also become operational. We are looking -- so this coming year would be a transformational year for NMDC. And it will be taken as this watershed year where the foundations of the great leap would be put. So thank you. Now let's have the questions, please.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sumangal Nevatia from Kotak Securities. Please proceed.

Sumangal Nevatia: Sir, first question is on the balance sheet. So we are seeing a very sharp increase in receivables this year to almost INR7,800 crores. So can you share what are the key reasons behind and what are the key accounts where this has gone up? And how are we dealing with it?

Amitava Mukherjee: There are only two accounts. One is RINL, the other is NSL. We don't sell on credit to any other people. NSL, as you know, is just turning around. March was the highest production and dispatch followed by April by another highest dispatch. So we expect the NSL outstandings to be fully liquidated by the end of the year, hopefully, because already they have started some payment of around INR100 crores -- about INR200 crores a month.

I think in the last 2 months, they have paid around INR200 crores a month. So going forward, when NSL is doing much better, obviously, these things will be liquidated. Second is RINL.

RINL also, as you know, has turned around that like NSL, which has started making -- generating cash surplus. RINL has also started generating cash surplus.

And we have recommenced the -- what you call the bill discounting thing. And over and above the bill discounting, they have started paying us back. So the stagnancy has been removed. Both these outstanding accounts have become active in terms of liquidation of the outstanding. So going forward, by the end of this year, you will see a much truncated number.

Sumangal Nevatia: Understood, sir. Sir, then any reason why we have taken some INR50-odd crores of provision, if we are seeing recovery in these accounts?

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Amitava Mukherjee: We had done the modelling on expected credit loss on these things. Once the amounts are, I think -- realized, I think it will be reverted back to income.

Sumangal Nevatia: Understood. Understood. Sir, my second question is with respect to RINL. We've entered into some long-term lease and extended some INR500-odd crores. So can you explain what is the use? And what -- I mean, what is the business purpose on long-term basis?

Amitava Mukherjee: We have taken 1,167 acres from RINL, which shows in the capex. About -- it has cost us about INR1,500 crores. 1,167 crores -- acres, it is just next to Gangavaram port. So we expect three assets. It's all in our plan of the 100 million ton expansion plan that is within that larger plan.

One is to -- the slurry pipeline that is likely to come from Kirandul, Nagarnar to Vizag, will terminate there, and we'll have to make an 8 million ton pellet plant there. That is envisaged. Second is, of course, the blending yard that we are envisaging that as you know that I have told in multiple fora that we will end mine head sale and start selling from blending yard and stockyard. So a mega blending yard of around 20 million, 25 million, 30 million tons will be made there in that land.

And the third is in future, if we are to mine lithium somewhere or some expansion plan is there, then we may need

some land to -- for processing of such minerals. So we are keeping a provision for that. But that is something that is -- the surety of which is not there today. The rest two, the pellet plant, the termination of the slurry pipeline and the blending yard would obviously be -- are much more certain to come.

Sumangal Nevatia: Okay. And sir, for these two things, I mean, a few hundred acres should be enough, right? I mean we have around 1,100 acres?

Amitava Mukherjee: About 1/3 becomes green area. So 1,167 out of around, let us say, 400 goes straight away to green area, straight away. Your blending yard would require around 250 to 300 acres. And pellet plant would require another 200 to 300 acres. And about 100 acres is spare for future growth. So we have taken that because that land is very strategically located because we border the Gangavaram port. So whatever we do, we'll have access to the entire Gangavaram port.

Sumangal Nevatia: Understood. And just one last question. Sir, what is our sales volume guidance for FY '26? And given that Lloyds Metals mine in Maharashtra is coming up with some expanded capacity, do we see that as some sort of a higher competition for us given it is...

Amitava Mukherjee: No, I don't think Lloyds is a competition for us in the -- their competition -- a little competition for us at the Raipur area. But Raipur for us accounts for around 4 million tons of ore only. So

that's less than 10% of our entire sales is Raipur. Obviously, our access to the other markets, whether it is at Vizag or West Coast, we have an advantage.

So -- and anyway, the -- our customer base is also growing very hugely, both in terms of number and our existing major customers are also expanding their capacities very, very substantially. So I don't think that's going to be effect. I think the size of the cake is increasing. And I think everybody can take a larger piece, including us.

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Sumangal Nevatia: Sir, what is the guidance for volumes for '26?

Amitava Mukherjee: Around 55.4 million tons is what we are targeting. This is the EC capacity -- max EC capacity that we will have. Both the production and sales, we are trying to reach that. Remember, notionally, we didn't -- if we didn't have a strike -- of two strikes of around IR issues of around 40 days, 45 days so we would have reached -- 45 days is 1.5 months, which is around more than 6 million to 6.5 million tons.

So we would have reached to 50 million this year itself notionally. So 55 million would be 10% growth from whatever it is notional that we could have done last year.

Sumangal Nevatia: Got it. Thank you so much, sir and all the best.

Moderator: Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please proceed.

Satyadeep Jain: Yes. First question on the long-term capacity outlook, you mentioned it's 200 million tons.

Previously, you had mentioned INR50,000 crores capex. Just wanted to see any update. And when you look at '26, '27 capex, maybe can you provide an update what kind of capex you're looking at for next '26, '27 and overall figures?

Amitava Mukherjee: This year, FY '26, most of the efforts would be on sanctioning the works and getting them off the ground. So actual capex would be -- we expect around INR4,000 crores this year. But our already sanctioned work now we have around -- INR40,000 crores of works have already been sanctioned by the Board, which are either being under execution.

It's -- around INR8,600 crores of works are already under execution. INR20,000 crores has been sanctioned by the Board and it is making -- we are in the stage of making the packaging philosophy and the tender documents and all those sort of things. And around INR12,000 crores, we will be sanctioning in the next couple of months.

Apart from that, we have around INR2,000 crores where we call it the partnership m

odel where

people will invest in creation of assets. So that is something that we were there. And another INR31,000 crores or INR32,000 crores of project we are having a close look, which includes 2 slurry pipelines, one from Kirandul to Bachel and the other is from Nagarnar to Vizag, which the DPR, etcetera, is being prepared.

So that's a long one, but that is -- the 2 taken together should be around INR20,000 crores. And apart from that, the total, which is at the drawing board level, is around INR32,000 crores.

Satyadeep Jain: So just -- so you're saying sanctioned is about INR40,000 crores. There is...

Amitava Mukherjee: Sanctioned is about INR28,000 crores, INR29,000 crores. Another INR12,000 crores will be sanctioned in a couple of months. So you can take sanctioned by July or August, is around INR40,000 crores. Another INR2,000 crores is under various sort of what you call is on BOO basis and other things.

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So around INR43,000 crores is what you'll have by the middle of this year, by the Q2 already sanctioned and at various stages. And another INR31,000 crores, INR32,000 crores is on the drawing board where DPRs are being made and other things are being done.

Satyadeep Jain: DPR, I know all these will take some time, but the one that is sanctioned, when you have greater visibility on the sanctions. So this year you're saying INR4,000 crores...

Amitava Mukherjee: INR4,200 crores...

Satyadeep Jain: '27-'28, we should be looking at more than INR10,000 crores annualized...

Amitava Mukherjee: Yes because all those tenders will be awarded and it takes around 6 months after the tenders being awarded to be -- to capex to start flowing in. Because the first 6 months, even if I were to award INR10,000 crores tender, the capex flow will start around 6 months after the award of the tender. So next year -- next fiscal mid where we'll hit the capex flows.

Satyadeep Jain: Next fiscal -- so '27, '28 is when you start picking it up. But the capacity increase would be busted up at about -- you'll see most of the capacity increase coming towards '29, '30?

Amitava Mukherjee: Yes, obviously, obviously, when these -- most of these projects finish off, only then -- a little bit

would happen earlier also because there are at least three, four major projects that are in execution, the screening plant 2 at Donimalai, which is about INR1,000 crores. That is already under execution since the last 2, 3 years -- last 4, 5 months.

Then SP 3, screening plant 3, is under execution at Kirandul. The downhill conveyor at Kirandul, which is about INR1,000 crores that -- we have awarded that around 2, 3 months back. So that will start -- that will get commissioned in 2 to 3 years. But yes, all this quantum jump on a -- it will not be a smooth graph. It will not be -- it will be hop step jump. So the maximum jump would come when these capex projects are completed at various stages.

Satyadeep Jain: Okay. On the -- recently, there's been some news around NMDC exploring coking coal assets in Australia, Indonesia. Just wanted to understand what is the thought? You already had some coal blocks within India, Rohne coal blocks and all. So this -- what is the thought at -- looking at coking coal? What kind of expansion? Is it like producing or exploration assets? Just the thought on diversifying into coal and specification?

Amitava Mukherjee: Our diversification and international policy is very clear. It has been sanctioned by the Board. And in consultation with the ministry, we've made a very clear-cut policy that we'll be looking at 10 minerals only, of which met coal or coking coal is one of the most important ones. Apart from that, we'll be looking at copper, lithium, cobalt, nickel, gold, the bauxite. So we are looking at 10 minerals only. That's one.

Of course, we would like a portfolio to have all 3 types of assets. Some would

be exploration

stage assets where the risk would be less -- risk would be great, but the investment would be less. Some assets would be at the DPR and preproduction stage where the risk would be much lesser, but the prices would be higher and some where we would be taking stakes in operational

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mines where the risk would be almost still, but obviously -- the prices would be obviously much higher.

So coking coal, most of it would be on the stage 3 assets, which would be operational. There's no point in taking coking coal, which are at the exploratory level. So most of the assets that we are looking at, negotiating at various levels. Obviously, we cannot name them, but they are across the geographies.

Of course, Indonesia is one geography, Australia is another geography. There are other geographies as well where we are looking at coking coal. But so far, yes, I can take a lithium mine, which is at the exploration stage, but coking coal, I would prefer mostly operational stage assets.

I don't mind paying much more because the way the steelmaking is going to grow in India and the way the blast furnace capacities, most of it is to be blast furnace capacity. So India is -- which imports around 55 million, 60 million tons is likely to go up to 150 million to 160 million tons of import for India in terms of coking coal.

So we see a big opportunity there as a miner and as what you call is a company which is on hyper aggressive expansion mode. I think coking coal fits the bill, and it has been one of those minerals where we have been mandated to look very closely and aggressively.

Satyadeep Jain: Just wanted to understand, I mean, as a country, there have been various attempts at acquiring international coal assets by 5 state players across different minerals. And you obviously mentioned the Legacy iron ore portfolio. Just wanted to understand your own success in the -- with the Rohne because we've not -- what is the update there on the coal blocks and generally...

Amitava Mukherjee: Rohne should get operational by the end of this financial year. I think we have already done Section 5 and the Section 7 notification for Rohne has already been done -- sorry, Section 9 notification is pending. Section 7 is over, 8 is over. So Section 9, we have been requesting the ministry to issue that. And then after Section 9, the land comes in our possession and Section 11 is where the mining lease is given.

So hopefully, in another 4 to 5 months, we will be able to commence Rohne. There was an issue regarding animal corridor, which has just been settled. And hence, there was a delay. And Rohne, remember, is mostly forest land. So there's hardly any private land that requires to be operational. So the washery will take some time to come up, but the coal mining operation will -- should commence any time this financial year in the second part, let us say, Q3 or Q4, that is where we are targeting.

Satyadeep Jain: Okay. So just last follow-up. Just last question on -- maybe an update on the doubling of KK line and also the Nagarnar plant has been -- the losses widened. You're saying it's generating cash. So is it EBITDA positive? And what led to this loss again in FY '25? Just the overall Nagarnar performance and doubling of KK line?

Amitava Mukherjee: The first question was what?

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Satyadeep Jain: Doubling of KK line, what's the update?

Amitava Mukherjee: Only two sections are left out of 131 kilometers, 20 kilometers is left. One is Kamalpur to Bhansi, other is Bhansi to Bachel. Rest of them has been completed. So that's a difficult one. Railways have told us that they should be able to do it by December, but I think it will take a couple of months more. But by the end of this financial year, I think that should be completed. Around 20

kilometers left. Two sections are only left out of the entire 150 kilometers.

Nagarnar, of course, we had our issues where the -- in the mill, the R1 roughing stand one had broken down. It has come back to operation. It was put back in January. And from February, we have had our regular production. But mainly in Nagarnar, the problem that was there was of dispatch. So if you see, we were dispatching around 125,000 per month, which has gone up to 230,000 in the month of March and around 215,000 in the month of April.

So that's a growth of more than 50%, which consequently has led a growth of our production, which was hovering around 110,000 to 120,000 to it has now gone up to 180,000, 190,000. Our cash collection, which was about approximately INR1,000 crores has gone up to around INR1,400 crores in March and around INR1,500 crores in April.

So the turnaround is almost there. It's fully there. Back of the envelope calculation also shows that we have become EBITDA positive on a monthly basis on March and April. So that's a positive thing to have that we are a cash surplus now on a monthly basis in the last 2 months, since the turnaround has happened.

And that is why I was so confident, while I was saying that in my introductory speech and subsequently thereof, that we will be able to -- Nagarnar would be able to liquidate the outstanding that is with NMDC this year. So you will see a much reduced figure by the end of next year when it comes to the creditors there.

Satyadeep Jain: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Pallav Agarwal from Antique Stock Broking. Please proceed.

Pallav Agarwal: So first question was on the domestic pricing outlook. So we've seen that international prices have been broadly reach-bound on the Chinese prices, whereas domestic prices, we've also taken a price hike. So are these price hikes sustaining? And what is leading to -- is it the safeguard duty on steel? Is that helping the iron ore pricing outlook as well?

Amitava Mukherjee: Yes. The safeguard duty on steel initially did help the market to look up. And that after a long period of depressed and gloomy market, I think the safeguard duties did kick in some buoyancy in the market. We all know the numbers. So yes, it was there. But subsequently, I think the prices have remained rather stable, both in terms of international.

If you see it's been hovering around INR99 to INR102 only for the past several weeks. So there has been some sort of a stability coming in. But of course, domestic prices, I see again, non-

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HRC, that is the -- basically the sponge and the other things, they seem to have come down a little bit.

So -- but the HRC segment is doing fairly well to that extent. So the market, I think in the steel market, is behaving a little differently for various segment of products. So far as iron ore is concerned, pricing -- our pricing is concerned because we cater to all sorts of customers having everything. So we have to keep our pricing in tune after taking into account all these factors. We are trying to come into index-based or a formula-based pricing.

That's the first time we did last month after 3, 4 months of research. That is why we delayed the pricing a lot. This time, it will be the second time and let us see going forward, what lessons do we learn because the idea is to have more predictive pricing and more frequent pricing so that the market dynamics are factored into pricing on a regular basis rather than on a -- with a great amount of time lag.

And also when -- in NMDC, because we aspire to sell from various depots rather than from our ex-mines. So unless we enter into some sort of a formula-based pricing where we -- in 3 years from now, where we'll have multiple point pricing and multiple product pricing, it might not be possible to do it manually ever

any time that we do.

So we are -- we have started the exercise. We hope that we get enough feedback in the next 1 or 2 years to fine-tune that system and be ready for the 100 million ton sales also through a much

transparent, autonomous and current mechanism.

Pallav Agarwal: Sure, sir. So also, I think this quarter, we saw a pretty sharp jump in employee expenses and other expenses. So is this the run rate that will be there for this -- for the next year or this includes some performance-related pay or sort of one-off in this quarter?

Amitava Mukherjee: This quarter, you'll have the actual valuation, so that will be a jump so -- because that is only done in the Q4. So that -- the jump that you see is essentially for the actual valuation. Otherwise, I don't think there has been a quantum jump on a year-to-year basis. I think that remains fairly stable and predictably almost the same.

Pallav Agarwal: Sure, on the other expenses, any -- apart from the expected credit loss, any other things contributed to the jump?

Amitava Mukherjee: Other expenses, obviously, you'll have -- because we have started 2 things. One, we have started exporting pellets. So obviously, the cost of pellets will be an expenses. So that's around INR250 crores. Then we have a marketing tie-up with NSL also. So that -- obviously, the purchase cost of that would also be under the other expenses only. So that is why you'll see a substantial jump. That itself was around INR200 crores. So naturally, you'll see -- because of these 2 new verticals that you will have a jump in the other expenses.

Pallav Agarwal: Sure. But this -- I mean, this purchase of coil would also lead to higher revenues. So part of that...

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Amitava Mukherjee: Yes, it has led to around -- we have not made much of a profit here, but we have not lost money. We have sold around, I think, around INR 200 cores of coils. And because the markets are not good and the purchase was around INR190 crores or something, so we've made, I think, from that business, INR5 crores or INR6 crores only.

I think -- how much was that? The pellet business accounted for around INR448 crores and HR coil this year was around INR200 crores. Wasn't it? Around that.

Pallav Agarwal: Sure, sir. So we are still making a positive contribution from the export of pellets this year?

Amitava Mukherjee: Yes, but the game changer will be when we go to 3 million tons this year. We hardly did 0.5 million tons. The game changer will be when we do the entire capacity of 30 million tons and when we start producing DRI grade pellets. We are in talk with AGPL right now to do the logistics of 3 million tons and how to crush it and have higher growth, then that will be the real game changer.

These are all in preparation towards that goal. This was just to ensure to get a sort of break in to the system of making pellets and exporting, etcetera. Now that we have done it for around 5 lakh tons. This year, our target is to do 30 lakh tons or 3 million tons, which is the full capacity of the KIOCL plant. We also need to improve the grades to improve our realization. We expect at least a premium of \$30 to \$40 by selling high-grade pellets in the international market. So that would be a game changer. Hopefully, the sooner, the better.

Pallav Agarwal: Sure, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Ashish Kejriwal from Nuvama Institutional Equities. Please proceed.

Ashish Kejriwal: Sir, three questions from my side. One, when we are talking about 55 million tons, do we have proper infrastructure on evacuation in place? Second question is on account of the huge expansion plans, which we are targeting around INR70,000 crores plus, do you think that we need to take any further -- any debt on that or our cash flows will be sufficient to fund all the capex? And third, we are talking

about this pellet plant conversion from KIOCL. And what about our plant, which is there at Karnataka where we are in the operation?

Amitava Mukherjee: Your first question was? Sorry.

Ashish Kejriwal: The first question was, do we have proper infrastructure on the evacuation because...

Amitava Mukherjee: The evacuation is not the issue. The plants are an issue. We will have to run our plants at around 105% capacity, which is possible. Some of the -- there are a few bottlenecks. Rest of the plants are okay because there are conveyor belts, let us say, which can do 3,000 TPH, where we have been doing around, let us say, 1,200 TPH only because the downhill at some place, there was a restriction of that. So the entire system got choked.

And we are in the -- right in the middle of debottlenecking such things. And I think if we can flog our plants to around 95% to 105% capacity, we should be able to easily achieve that.

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Evacuation is not an issue. Railways are willing to give us rigs, and we have the loading

capacities.

We have installed one RWLS, which the FOD is there of the SP 3 part, which is the fine iron ore handling area. Once that is commissioned in a couple of months, we'll be able to dispatch many more rigs from there. We are also having -- trying to develop a manual siding at Bacheli, route number 5. If that comes in, so that will be two rigs another.

You see last year, we have commissioned three manual sidings. One is route number 13, which is now route number 15 in Kirandul and route number 4 in Bacheli and now route number 5. So this will give us an incremental of seven to eight rigs a day, which translates to 9 million to 10 million tons. So I don't think dispatch is a problem. The focus that we are putting in is on the plants, which is the downhill conveyor and the crushing and the screening plants where we need to use them optimally to ensure that we reach this one.

Ashish Kejriwal: So that means, sir, you're saying that if we can produce, we can entirely sell. That's not...

Amitava Mukherjee: That's not a problem. Selling is not a problem. The second part of your question was?

Ashish Kejriwal: Any debt you plan to take on their new capacity expansion or entire thing...

Amitava Mukherjee: One more calculation, we can expect most of it would be internally financed, but whether we should -- considering our expansion plans beyond India, one call has to be taken about a year from now or about 1.5 years from now that do we leverage our balance sheet even for our domestic expansion plan.

That's a call that we need to take, but not today, maybe about a year from now or 1.5 years from now to -- once our evaluation of a couple of properties abroad is finalized and once we are able to have some number to those particular tie-ups that we can going to have and only then we can take a call.

Otherwise, we are -- we have a fair amount of cash to see our -- this capex through because some of these, we are actually also doing on an NPB basis, what is called the partnership basis on the BOO basis. And our pellet plant in Karnataka is one such example, where we are giving a full O&M contract of the pellet plant.

I think that contract should come -- should be notified in another 7 to 10 days and finalized in another 2 months. So I think that will start getting operational. Our Nagarnar pellet plant will also get operational by December or January this year. So a lot of happenings likely to be this year.

Ashish Kejriwal: Understood. And sir, lastly, with pellet and HRC, which you are collaborating with NMDC Steel as well as KIOCL, how is the system work? I mean obviously, we must be working on some fixed margin or how it is?

Amitava Mukherjee: I didn't understand.

Ashish Kejriwal: So we are producing -- we are selling iron ore fines to KIOCL and internally... National Mineral Development Corpo

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Amitava Mukherjee: That job work for job. We're not selling.

Ashish Kejriwal: So how much we can make on a per ton basis?

Amitava Mukherjee: If you sell high-grade pellets, it will be huge. Right now, we are just about making a very few amount of money. We are just neck to neck. But once we start selling high-grade pellets, then we should be able to make at least a margin of \$30 per ton in the international market.

Ashish Kejriwal: Okay. Thank you sir and all the best.

Moderator: Thank you. The next question is from the line of Vikash Singh from PhillipCapital. Please proceed.

Vikash Singh: Sir, I just wanted to understand when you are talking about an EC limit of roughly about 55 million tons, we had this option to mine 20% extra from some of the mines. So are you taking...

Amitava Mukherjee: This is after those.

Vikash Singh: Okay. It's including all those basically. And...

Amitava Mukherjee: Deposit 10 is -- sorry, deposit 5 is 10 million tons. So we are factoring in 12 million tons there because we have already applied for that 2 million ton extra. So we hope that, that will come.

So these are all after those 20% extra.

Vikash Singh: Understood. So sir, what is the EC limit increase visibility beyond this 55 million tons in the next 1 to 2 years?

Amitava Mukherjee: The ECs and the capacities will come online together only, I think. We have applied for this EC in Bailadila for NMDC, would be around 55 million tons only in Bailadila and -- 55 million to 60 million tons. And I think 17 million tons in the Karnataka sector. So that will be around 82 million taken together -- sorry, 72 million taken together. And we have applied for EC of around 7 million tons in deposit 4, which is under NCL, where the FSC meeting has been held last week only.

Hopefully, we will get it. And then deposit 13, where the EC needs to be transferred to us. So that's another 13 million tons there, which needs to be increased to around 18 million tons.

Moderator: Hello sir we think the participant line got disconnected. We will take the next question the next question is from the line of Tushar Chaudhari from Prabhudas. Please proceed.

Tushar Chaudhari: Sir, this INR662 crores in segmental revenue, which you have given, you have given the breakup, it is INR200 crores for selling of coil and INR400 crores for pellets. Am I right or you're referring to FY '23...

Amitava Mukherjee: I just have to get the numbers right. I give you an approximate number. I'll just let you know what the numbers are exactly and just give me a minute. What was the pellet sales and what was the -- you just showed it to me. Show me what was the pellet sales and what was the -- how

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much is -- pellet sales was INR448 crores and trading sales was INR199 crores. That is INR647 crores.

Tushar Chaudhari: Okay. Secondly, sir, on NSL, why is our RM cost is much higher than industry peers. So basically, if I compare it...

Amitava Mukherjee: Because it was not producing at 100%. Because...

Tushar Chaudhari: No, raw material cost, I'm asking. Raw material cost is almost 80% plus if I just take RM to...

Amitava Mukherjee: It will be there because your coke consumption would be huge, your coal consumption would be huge. So obviously...

Tushar Chaudhari: Can you share some operating parameters like coke rate, PCI injection rate?

Amitava Mukherjee: Now we have touched -- our coke rate is around 530 right now. Fuel is around 530 -- fuel rate is 530. And now in April and -- March and April, we have touched a PCI rate of 150, which is one of the best in industry standards. It used to be 70 only earlier. So naturally, all these cost metrics has no meaning unless you are producing at 70% or 80%...

Tushar Chaudhari: Utilization.

Amitava Mukherjee: Now our PCI has touched 150...

Tushar Chaudhari: Iron ore...

Amitava

Mukherjee: Our PRP has become 15 megawatt and our fuel rate has come down to 530, which used to be around 580. So all those techno-economics have -- which were -- had earlier gone for a toss.

Now with the volume increase, they all come back to where they should be.

Tushar Chaudhari: And what will be the ratio between sinter and lump mix?

Amitava Mukherjee: Right now, it is much more because we are not having the sinter plant. There's a problem of -- the granulator shaft being broken for the last 3, 4 months. So it is right -- instead of being 20%, 80%, it is around 30% to 68%. So that is one of the reasons that, again, your raw material cost has gone up. That is again because we are putting in 20 to 25 -- sorry, around 12% more lumps. But hopefully, the granulator shaft will be repaired by July. And the new granulator shaft will come only by October. But by July, I think once the granulator shaft is repaired, so we will go back to the 80%, 20% as a consequence the -- so despite all this, the fact that we have broken even on a back-of-the envelope calculation basis, in the month of March, monthly -- on a monthly basis in March and April.

And we will do the same in May, is a substantial, substantial achievement for a new steel plant.

And I think this is one of the fastest ramp-ups if you see. Touching around 90% capacity utilization on a monthly basis is one of the fastest ramp-up for a new Greenfield plant.

Tushar Chaudhari: Understood. Thanks a lot, sir. I will come back in the queue.

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Moderator: Thank you. The next question is from the line of Shweta Dikshit from Systematix Group. Please proceed.

Shweta Dikshit: So a few questions on the guidance for FY '26. When we say that we are targeting 55 million ton EC enhancement that includes 2 million ton enhancement that we're looking at for the deposit side. So is this the right guidance for FY '26 in terms of sales or should we look at a number which is moderate than 55 million tons for FY '26?

Amitava Mukherjee: That's an aspirational target we also understand because our plant capacities will have to be worked at around 100%, 102%, 105% -- some of the plant at 105%, some of them at 95%. But that is what we are taking on. Sales, I had actually answered in the previous question, that sales is not a problem because we have now much huger dispatch capacities.

We have opened, as I said, three new sidings, which will account for at least 6 rigs a day, and with RWLS, it will be another three, four rigs additional. We do three there. We'll be able to do five to six there. So around 8 to nine rigs on an additional basis, which is 12 million to 13 million tons of capacity of dispatch.

So dispatch is not the issue here. The issue here is the plant. Excavation will also not be an issue. The issue would be, of course, the plant in terms of downhill conveyor and the screening plant and the loading plant.

Shweta Dikshit: Understood. And sir, on the other expenses, since we talked about 2 new segments contributing to the other expenses, one is export of pellets and the second is the marketing tie-up benefit. So how do we see these 2 numbers moving forward? Marketing expenses, are they supposed to remain at this level going forward? And how is that...

Amitava Mukherjee: There is very substantial increase because we intend to increase our revenues. This is, remember, only 0.5 million tons of pellets, okay? About 500 -- so we plan this year to have around 2.5 million to 3 million tons of pellets. So these are likely to increase very, very substantially, so would our revenues and so would our profits be.

So it's a consequential increase in other expenses because all these expenses are shown under the head of other expenses in the operations. So that's -- we need to, I think, reclassify some of the expenditure heads as well when these become very substantial. I thi

nk next year on, we'll

have to show them as a separate line item so that there will be much more clarity.

Shweta Dikshit: Then that would be very helpful, sir. This was INR250 crores of expenses that was for the export pellet segment, right, in the other expenses?

Amitava Mukherjee: Hold on. KIOCL was INR250 crores and there were other expenses related to -- and other expenses, CSR is about INR141 crores. And what is that -- and hiring of mining machinery was around INR61 crores.

Shweta Dikshit: And we are targeting 2.5 million to 3 million tons for FY '26 in pellet sales?

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Amitava Mukherjee: Yes, yes. And high-grade pellets. So what we have been selling is 62, 63 grade. We need to sell 66 to 67, which is basically a DRI grade, which gives us a premium of \$30 to \$50 a ton.

Shweta Dikshit: And sir, last question, could you just highlight what was the realization for pellets this year? And what could it be once you go to high-grade pellets?

Amitava Mukherjee: The average realization for the 62, 63 grade pellet has been around \$105 -- \$108 to \$110 this year, except for a couple of consignments where we had to sell it a little less. That's been the average in dollar terms. If we are selling high grade, this average will go up to around \$140 to \$150 as per the current market situation. Our realization is, I don't know. But yes, currently, if I were to sell that, so that would be the difference.

Shweta Dikshit: Thank you so much.

Moderator: Thank you. The next question is from the line of Nidhi from BigMint Limited. Please proceed.

Nidhi: I just want to know that there have been reports that NMDC is considering index-based pricing for its iron ore. Can you please explain a bit more on this regarding methodology and all?

Amitava Mukherjee: So the methodology is not in public domain right now because we are ourselves on a learning process on this one. But going forward, as I said, the philosophy is that because we will be selling from various stock yards and blending yards and because we will be selling various types of products, even that we do blended products, which we don't make as of today.

And because -- so that's having a manual pricing regime and because we want to price -- do pricing more frequently to take -- so that our prices are in tandem with the market movements almost on a current basis. So having this philosophy, it is very clear that some sort of an automated platform has to be built for pricing.

And so we have taken our first baby steps in terms of index-based pricing. We will -- as and when we go learn, obviously, this will be not in public domain as, for example, the Platts formula is not in public domain. But that is something that we want to develop for ourselves, having in view a 100 million ton business and a distributed business and a segmented business.

So this is the first baby steps that we have taken. It's a matter of faith that where we want to go. And let us see how -- because this itself is a learning process for us. We've just done it for 1 month, and let's see how it goes and how we fine-tune our approach to this.

Nidhi: Okay. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Sanjay Jain, an Individual Investor.

Amitava Mukherjee: I have five more minutes, so if you can...

Sanjay Jain: And my question is on Nagarnar steel plant. I think some of this was discussed in one of the earlier questions. What I wanted to understand is what was the production sales in the last quarter, in the third quarter. Production and sales from that Nagarnar steel plant?

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Amitava Mukherjee: Production and sales last quarter, I'm just telling you. Production was -- Q4 was 443 lakh tons - - sorry, 443 -- what is 1,000 tons -- so it is 443,000 tons. And the sale was 501,000 to

ns, which

is a substantial growth. I believe that's more than a 15% growth as far as Q3 is concerned.

Sanjay Jain: Yes. So second question is how much more -- like what is the max production that we can achieve from this plant for the year?

Amitava Mukherjee: We will be doing this year around 2.6 to 2.7, which is about 98% capacity utilization of HR coils. That will do.

Sanjay Jain: That's great.

Amitava Mukherjee: Our problem was dispatch. Now that has been reasonably solved. We have taken 6 LSFTO rigs from 1 company. So that has really added to our dispatch capacities. We are taking 20 more rigs in future on [inaudible 54:17] basis, so which will completely change the scenario for...

Sanjay Jain: Okay. In one of the notes, it's mentioned that you've done some arrangement with SAIL for the sales of...

Amitava Mukherjee: Currently, because we thought that creating depots everywhere is a very expensive and time-consuming in a different way. So we have entered into arrangement with SAIL. And I think 60% of our total sales as of date is routed through SAIL because we send it to their stocking yard.

They already have it. They are a sister concern. So based on the user charge, they also market our products. 40% still we market directly in terms of HR coils.

Sanjay Jain: Can you share the commercial arrangement there? Like how much -- what cuts they are taking?

I mean, how much we are...

Amitava Mukherjee: That is a commercial arrangement that I cannot disclose in the -- here, but there is a commercial arrangement between us and SAIL where SAIL does that to us.

Sanjay Jain: Okay. If I can ask one last question. In the question which was asked by Tushar earlier, as a percentage -- raw material cost as a percentage of sales, like it was 80% plus in the fourth quarter, and it was even higher earlier quarter. And when we benchmark this with the private players like the international...

Amitava Mukherjee: I have already given that answer in much, much detail. There was no...

Sanjay Jain: Yes, I got -- directionally, you mentioned that. But my question was, see, the gap is huge. Like they are between 50%, 55% comparable business model and we are at 80% plus. So I mean, when everything is right, are we going to go to...

Amitava Mukherjee: See, everything got right from March onwards. Earlier to that, I am still putting in 32% lumps instead of 20% lumps. So that will obviously cost be much huger. The lump prices are 30% higher than the fines. So naturally, that will be huge. So...

Sanjay Jain: My question was more on -- I get your point. My question was more on -- is that a right benchmark? Like can we reach to those?

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Amitava Mukherjee: No, certainly not. But if you see the benchmark of March and April, as I said, our coke rate, our fuel rate, everything has come down. We are waiting for our granulator to be okay. Despite all this, on -- we were cash positive in April, we were cash positive in March. So that's something...

Sanjay Jain: Yes, that's good to hear.

Amitava Mukherjee: It will be much better in Q1. When you see the Q1 results, I think that is from where we can start the techno-economic comparisons with different plants. Earlier to that, I don't think it was a correct comparison to make.

Sanjay Jain: Yes, yes, I understand. In the ramp-up phase, yes. But like what my question was that ultimately, when everything is right, let's say, after two quarters, three quarters, when we run at full blast and all the things are fine. So can we also expect that our -- this raw material cost as a percentage of revenue reach towards that?

Amitava Mukherjee: Yes. Please, you would be happy to hear that our blast for this capacity is 9,650 per day. And at least in the month of April, we have run it on 5 to 6 days, I think, at a capacity of more than 10,000. One day, we run it at 11,000. So we know now that ramp-up is

possible. And once you

ramp it up, your -- every cost comes down, raw material, your overheads, your electricity cost, everything comes down, things improve.

But I think that it's better to make those comparisons after Q1 when that hopefully is the first quarter where we'll be running it at around 80% plus capacity utilization on an average. So that is there...

Sanjay Jain: And do we still run the steel plant under O&M contract or like now...

Amitava Mukherjee: No, we run it ourselves.

Sanjay Jain: Okay. Thank you so much for answering my questions.

Amitava Mukherjee: I think this has been an hour. I have another commitment.

Moderator: Thank you. Due to time constraints, that was the last question. I would now like to hand the conference over to the management for the closing comments. Over to you, sir.

Amitava Mukherjee: Well, thank you all for joining in. I can assure you that this year will be much more substantially action packed in terms of NMDC, of course. We hope to open new mines within India, coal and iron ore. Outside India, we hope to acquire a few mines. And so this will be a year where it will be fully action packed and we expect to cross comfortably the psychological barrier of 50 million tons this year. So very comfortably, we expect to do that.

We will also be setting the foundations for our entire growth plan of 100 million tons, where the sanctions are already in process and we hope to kick start the execution this year itself. So this is going to be the watershed year of NMDC and we are committed to ensure that we redeem our promise that we are making to our stakeholders.

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NSL, of course, is another story that would be told for years because we have -- it is the fastest ramp-up that is happening in the history. I understand for a Greenfield plant in the history of India. And we hope that NSL has turned its corner. A couple of problems remain, like I said, the center plant, granulator, etcetera.

But despite all those constraints, I think we will be able to log in much better performance for NSL and our full efforts and we are confident that this year, it will turn green. The numbers would be in green rather than in red. So thank you very much for joining in. Really appreciate your time and attention. Thanks.

Moderator: Thank you. On behalf of Dolat Capital Markets Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2026

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No. SEA202627018 3rd June 2026

BSE Limited
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Dalal Street,
Mumbai - 400001
Scrip Code – 526371
Through BSE Listing Centre National Stock Exchange of
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Bandra (East), Mumbai -
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Scrip Code – NMDC
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Dear Sir / Madam,

Sub: Transcript of NMDC Limited post Q4 & FY 2025-26 Results – Analyst / Investors
Conference Call held on 01st June 2026.

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015.

Reference to the captioned subject, please find enclosed Transcript of NMDC Limited post Q4 &
FY 2025-26 Results Analyst / Investors Conference Call held on 1st June 2026. The same is also
being uploaded on the website of the Company.

The above information is also available on the Company's website:
<https://www.nmdc.co.in/investors/analyst-meet-and-investors-presentation> .

Please take the above information on record.

Thanking you,

Yours faithfully,
for NMDC Limited

(Pravin Shekhar)
Company Secretary & Compliance Officer

Encl.: As above.

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“National Mineral Development Corporation Limited
Q4 and FY26 Earnings Conference Call ”
June 01, 2026

MANAGEMENT : MR. AMITAVA MUKHERJEE – CHAIRMAN AND MANAGING
DIRECTOR – NMDC LIMITED
MR. ANURAG KAPIL – DIRECTOR (FINANCE) – NMDC
LIMITED

MODERATOR : MR. SUMAN KUMAR – PHILLIP CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the NMDC Limited Q4 and FY26 Earnings Conference Call, hosted by PhillipCapital. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Suman Kumar from PhillipCapital. Thank you and over to you, sir.

Suman Kumar: Thank you, operator, and welcome everyone to the call. I first thank NMDC for giving PhillipCapital the opportunity to host today's call. We have with us from the management today Shri Amitava Mukherjee, the Chairman cum Managing Director, joined along with Mr. Anurag Kapil, Director (Finance), NMDC. Without further ado, I would like to hand over the conference to Amitava sir for his opening remarks, and after this, we can open the floor for Q&A. Over to you, sir.

Amitava Mukherjee : Well, good morning everybody and thank you for joining. As you know that NMDC's performance in FY26 has been rather encouraging. We have touched 53 million tons of production, we have crossed that. Our sales revenue has grown to INR31,000 and we are all now ready for the Maharatna status of this company because now we fulfill all the requirements of a Maharatna company.

And despite slightly sluggish prices, we've been able to achieve a PAT, an 11% growth in PAT, and all our financial indices and operating indices have been rather encouraging. I believe that this sets the foundation for us to achieve 100 million tons by the end of this decade. And in that journey, I think this year we will be targeting 60 million tons, which we hope to achieve. Around the good news is that the more encouraging thing is that we've been able to open a coal mine in Jharkhand, which gives us a new mineral as well as a new geography.

And after 50 years, we've been opened, been able to open an iron ore mine, that is Deposit 4 in Bailadila. That is of course under the NCL banner, NMDC -CMDC banner, where we have 51% stake. And very soon we hope that we will be opening the other, this financial year, we hope to open the other iron ore mine which is in Deposit 13, and also the Rohne coal block in Jharkhand, which is a coking coal block. So there's a lot of action that is happening and obviously we are also pursuing assets abroad.

A few of them are in very advanced stages of acquisition. Obviously we cannot disclose the details because of confidentiality agreements, but this year we hope to acquire a couple of assets abroad as well. And the capex this year has been around INR3,300 crores, which is an all-time high capex because if you leave out the land acquisition this time, and we hope that this year we'll be able to substantially increase our capex, almost double the capex now because all our expansion plans right now are on the ground.

We have to award a couple of them, rest of them are already under execution. So we are well on our way to get to 100 million tons by the end of the decade. And my colleague, Mr. Anurag Kapil, Director (Finance) is also here. He might like to add something to what I have said.

Anurag, please.

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Anurag Kapil: Good morning to you all. This is a tremendous performance which NMDC has given in the last, in the previous financial year. As CMD sahab has just mentioned, we have surpassed all the expectations and crossed the magical figure of the production which is 50 million tons. The growth of around 20 % to 30% in various parameters is really a pathway which will be making

it possible to achieve 100 million tons by 2030. And the more important part is the diversification

on path of NMDC, which is like, as CMD Sahab has just mentioned regarding coal and other minerals. Also the acquisitions of various minerals abroad. We have also opened a subsidiary for rare earths which will be ...

Amitava Mukherjee: We have actually also opened a subsidiary which is now completely dedicated to rare earths and other critical materials. So we are taking those critical requirements of the country very seriously and we hope to achieve breakthrough in that as well very soon. So we can take questions now if that's okay.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Mr. Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit: Thank you for the opportunity. First of all, congratulations for a great performance, sir, particularly on operational front, achieving above 50 million tons of production and sales.

Couple of questions. The first one is NMDC Steel, you know, if it is possible to mention the volumes and since now, you know, it's going to be a substantial portion of our revenue, so would appreciate if we can give the quantity sold by us in the presentation. But for this quarter, if you can, if you can let us know the quantity that we sold and also what are the basic terms for this because this number appears in cost as well as revenue. So just wanted to get a little bit of more clarity on this for projection purpose?

Amitava Mukherjee: Okay, so this was essentially an arrangement made for a very specific requirement of NMDC Steel where they were facing cash flows, so we stepped in and we were doing trading business with the HR coils of NMDC Steel. In Q1, there's not going to be any trading right now. That is essentially a special mechanism that as and when if there's a cash flow issue at NMDC Steel and we generally tend to step in and buy HR coil and then sell it in the market.

However, because that is at that time NMDC Steel was, as you know, is under the same management and at that time the marketing was being done by SAIL and there was a lag in payment of, in realization of material sold. So at that time we had to step in, but I don't think that that would be triggered right now because that was a very low volume business. If you see our EBITDA, it has come down from 42% to 33%, essentially because of steel business.

If we take the iron ore business standalone, our EBITDA is still at 42%. So that is not changed. But because of the steel business in the last quarter that we had to do, which was essentially trading, the EBITDA has come down. That was a one-time measure. I do not think that this quarter it definitely it is not required. Maybe this financial year it will be very rarely used if at all it is required. Yes, Amit.

Amit Dixit: Got it, sir. The second question is essentially on, and congratulations for opening Deposit 4, I think after a long time finally we see it getting under way. So just wanted to understand the National Mineral Development Corporation Limited

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Deposit 4 capacity, when we will hit the rated mining capacity and also Deposit 13, that's also a very welcome thing. And on coal mines, you know, Rohne and the Tokisud, how do we see the production ramping up if you can detail it out, sir? That would be great.

Amitava Mukherjee: Deposit 4, as you know, we have already opened and we are now installing the infrastructure. We hope to have commercial mining commencing on July, that's in Q2. And this year, I think the guidance would be around 1 million ton out of Deposit 4. So and next year it will be 2 million ton, followed by once the infrastructure is all ready by another one and a half to two years, then it will be ramped up to 7 million ton, which is the peak rated capacity of Deposit 4. Deposit 13, because we are still awaiting some clearances which we hope that we'll be able to commence, start the mine somewhere

around in Q2, followed by monsoon. So I don't think that we should be able to, we will be able to do more than 0.5 million ton out of Deposit 13. But next year we will do around 2 million ton out of Deposit 13 and then the peak rated capacity initially is 10 million ton, but we plan to ramp it up to 20 to 21 million ton in 4 years to 5 years time.

So that is the iron ore section. Regarding coal, Tokisud as you know is already operational, we are removing OB. By this month -end or maybe in Q2, we should be able to hit the coal seam and we should be able to now extract coal by Q2. And our guidance for Q2 would be around 0.75 million ton to 1 million ton of coal this year.

So it is the peak rated as you know in Tokisud is 2.3 million ton. Rohne of course would take some time to open up because lots of approvals are still pending. We plan to open it around late Q3. And this year we don't see, envisage any production out of Rohne because the overburden removal etc etc will have to be carried out once the mine is opened. But Rohne would open around Q3, end of Q3.

Amit Dixit: Great, sir. Thanks a lot for these details and all the best.

Moderator: Thank you. Next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes, good morning. Thanks for the chance. So first on the guidance of 60 million ton, can you guide mine-wise where are we expecting the incremental 10 odd million tons?

Amitava Mukherjee: Yes, Deposit 14 will get one extra and Deposit NMZ will get one extra. So that's 2 million ton extra as compared to last year. And Kumaraswamy we will be getting around 1.3 extra because it has a peak rated capacity of 10 and last year we had this MPAP imposed for 8.6, which I hope that we will be able to get around -- so that's around 3.3 million ton extra as compared mine-wise.

And then if we target the last year that we could not achieve in Deposit 5, instead of 12 we had done around 10. So that will be two extra from Deposit 5. So all this totals up to around 5.3 million ton. So if we add to 53 million ton that we did, so we will end up with NMDC as around 58.5 million ton. And if we add 1 million ton from Deposit 4 and another 0.5 million

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ton from Deposit 13, so as a whole, NMDC as a whole including NSL would touch 60 million ton. This is the guidance.

Sumangal Nevatia: Understood. Sir, when Deposit 4 ramps up, will that be replacing the supply which we are currently doing to the steel plant?

Amitava Mukherjee: No, these are all fungible. These are all fungible. It's not --- nothing is linked to any mine, no plant is linked to any mine, these supplies are fungible depends on the production, depends on the quality, depends on the requirement of the steel and most importantly depends on the logistics at that point of time. For example, today we are supplying to NSL from Kirandul as well as from Bachel. We are supplying material from Deposit 14 and Deposit 11, Deposit 5 also, Deposit 10 also. So the supplies are fungible.

Sumangal Nevatia: Understood. Sir, can you explain the economics of the coal mine, what would be depending on the grade, the price, all the duties, levies and overall profitability?

Amitava Mukherjee: I think we would be able to be selling it because initially most of it would be in auction. So that will fetch a substantially higher prices than the CIL FSAs do fetch. So if 1 million ton is there, I think approximately that should account for around INR500 to INR600 crore s, I think. And if we take an average EBITDA of 30 to 40%, so that would be the first year revenue. But these are all very approximate figures. We'll have to see how we go along with it, what prices are realized on auction and local sales. So these are very preliminary and approximate figures.

Sumangal Nevatia: Okay. So what will

be the grade and I mean in terms of royalty and all the government duties, what are our liabilities?

Amitava Mukherjee: If I remember correctly, it is G10, the grade.

Sumangal Nevatia: Understood. Sir, with respect to RINL, I mean how confident we are on the recovery of all the receivables and we've, we're paying around 1,500 odd crores for the land lease, 1,800 odd acres. So can you explain what is the use of such a big land parcel?

Amitava Mukherjee: Yes, the board has already sanctioned investment of around INR3,000 crore s for creation of a blending yard. You see, in India no company has ever manufactured or supplied branded iron ore, unlike in the international market you have Rio Tinto selling RTX and RTF and BHP selling Jimblebar Fines and Newman High and Vale selling IOCJ.

These are all branded iron ore. So India has never tasted that. So NMDC would be the first company in 3 years' time will be selling branded iron ore and board has already sanctioned an investment proposal for INR3,000 crore s approximately for making a blending yard at Vizag where we will be making this blended iron ore of a consistent quality which India has never seen.

So we expect that to be a game changer in fact in the iron ore market in India. So that's a real big thing. Apart from that, of course, we'll have a pellet plant there in due course of time once the slurry pipeline, once the mode of the slurry pipeline is decided. And we've also kept a land

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parcel for other purposes like making a lithium refinery or something as and when we get some mines abroad.

And or any other critical mineral processing zone that might be required because we are aggressively looking for other minerals as well and we'll require processing area and that is a port-based area. It's a wonderful land parcel of around 1,100 acres. So I think all these

NMDC's future expansion plan is dependent completely on the Vizag land parcel. We have big plans. One board has already sanctioned INR3,000 crore s, which I think will be completed in around 2 years' time, 2.5 years' time. Rest of course will be as we have long -term plans on that.

Sumangal Nevatia: Understood. Just one last question. Is it possible to share over what time do we expect to recover all the receivables and the dues from NSL and RINL?

Amitava Mukherjee: NSL now it has become profitable as you are aware that NSL has become profitable. This year we expect much greater profits because most of the operational aspects have been solved except for the one or two. And this year we expect to make greater profits. So NSL we see light at the end of the tunnel.

I guess it should take about a year and a half, max two to liquidate all the entire amount of outstanding. If you see NSL pre -demerger expenses was around INR2,500, it has already been reduced to around INR1,800. So INR700 has already been liquidated despite such difficult circumstances.

And we are doing about a INR100 crore s every month, so that should take around 16 to 18 months to get liquidated. And the rest would also get liquidated I think in a year or year and a half. That's not a problem. RINL of course we'll have to have another look what their plans are. We are in touch with RINL. Hopefully once it turns around, it is a, as you know, it's a 100% government -owned company. So we don't see any risk. Of course there's a time element to that, but we don't see any risk in that.

Sumangal Nevatia: Understood. Thank you, sir and all the best.

Moderator: Thank you. Next question is from the line of Vikas Singh from ICICI Securities. Please go ahead.

Vikas Singh: Good morning, sir, and thank you for the opportunity. Sir, just wanted to understand any threshold which we have in order in terms of credit to RINL or on a good faith it will continue?

Amitava Mukherjee: No, it will continue as of now as it

is done. You see RINL is, we have an arrangement of bill discounting with RINL. So we obviously we are getting that money with 45 days lag and they are over and above what they are consuming, they are paying around 10% extra for that. So the liquidation process is on, but it is a little slow.

But you see from our business perspective, they consume 7 to 8 million tons of our product and are located in a very strategic place. So both in terms of the importance of the customer National Mineral Development Corporation Limited

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and the location, the logistics convenience, that is one company we cannot afford not to supply because that will immediately affect our production if supplies there are constrained.

So it is neither in our interest to curtail the supplies nor in their interest to have lesser supplies. Accordingly, we are going ahead with the full -fledged supplies and the payments are received being at a 45 -day lag because the bills are being discounted and as of now RINL has been honoring 100% of their discounted bills which they have the arrangement with the bankers, which I do not know what is the time limit of their honoring, but nothing has been recourse to us last year or this year.

Vikas Singh: Noted, sir. Sir, my second question pertains to our logistics. Have the railway doubling of railway line has been completed and if not then by what time it would get completed and how much extra evacuation it can provide?

Amitava Mukherjee: Out of 131 kilometers, only two sections are left. One section is expected to be completed this month -end and one final section that is between Bhansi and Bachel will get completed in the month of December because there are a couple of bridges that needs to be constructed there. So by December we'll be able to do it.

Once it is done and now also you see we are doing on an average more than 20 rakes and on peak around 23, 24, 25, 26 rakes. We have done 30 rakes on an odd day, on a good day. So the capacity of course will increase to around 40 million ton immediately once it is done from the present 28 to 30. And then as and when the railway completes its doubling beyond Jagdalpur, which railway is doing at its own cost. So I guess around 50 to 60 million tons can be, at least 60 million tons can be taken through this route if not higher, depending on how the railway operates the line.

Vikas Singh: Noted. Sir, our guidance of 60 million ton, is it contingent on the completion of this railway line or even without this we can actually dispatch up to 60 million?

Amitava Mukherjee: We'll not be able to do 100 without this, but 60 we can.

Vikas Singh: Noted, sir. Sir, lastly on our capex side basically, for the critical mineral or rare earth, just two parts. Firstly, have the government told us anything that we would get in the India on a nomination basis or we have to bid like anybody else? And secondly, do we looking at the abroad and which critical minerals in that sense and what is the total amount which we think

would be comfortable investing in the critical mineral side?

Amitava Mukherjee: Let me take this in three parts. Well, critical minerals and rare earth within India, I think it's -- we are not very confident of having too many leases. Of course, we have entered into an MOU with as you know with Gujarat Mineral Development Corporation and they have rare earth mine in Gujarat which we plan to jointly develop and then create processing facilities jointly. We are in advanced level of talks with them to have get this operational as fast as possible. Our main thrust on critical mineral and rare earth is essentially abroad. Not that too many assets are available, but wherever they are available, we are very aggressively pursuing them. Now obviously the success of that cannot be predicted as of now.

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Now the profitability of such ventures as of now it cannot be predicted because we really don't have anything concrete on the table except for the proposal with Gujarat Mineral Development Corporation. So except for that, it is more that we are aggressively looking for it. We are scouting assets.

So it will be very difficult to give you a guidance about how profitable it is, but we are, we know that rare earth and other critical minerals are the future and as a mining company and as a national mining company and as a -- as an all -mineral company, National Mineral Development Corporation, we, we realize that these have to form a very important and a substantial part of our mining portfolio.

Vikas Singh: Noted, sir. Sir, I'm not asking for the guidance on the profitability since we're looking abroad, I'm what I was looking actually is the amount of capex which we are comfortable spending. So any threshold on the maximum capex which would go for the critical mineral side?

Amitava Mukherjee: That is again a very speculative thing. It depends on the assets that we finally are able to buy. We are looking at a lot of assets. How many of them will reach the last stage we are not very sure. So only when you get to an asset level where you enter into a price negotiation you can have this.

So for example, I might be looking at 10 assets, but I'm sure that all of them will not go to the level of a price negotiation and procurement. And also it will depend on the size of the asset. So it, it is very speculative right now to even second guess. But I think overall the capex on acquisition, the back of the envelope calculation is wherever we stand today as of today, we should be spending INR2,000 crores to INR3,000 crores on acquisition of assets abroad this year.

Vikas Singh: Noted. And sir, lastly, if I look at the average price increase in the iron ore, it doesn't reflect the full extent of the price increase. So currently what kind of lag which we are experiencing in passing on the price and how should we look at the average price realization for the Q1 FY27?

Amitava Mukherjee: I think the prices would be more or less stabilized because if you see the, I mean steel prices were very strong after December and up to December, January, February the steel prices were very, very on the, it had a -- it had a northern movement. And then March it stabilized, March and April it has reasonably stabilized and I think we are in some period of price stability both in terms of steel and consequently in terms of iron ore as well. I don't see much volatility in the very short term.

Vikas Singh: But once you would see a sharp increase in your average realization, right, because of the lag effect of the price rise which you have taken?

Amitava Mukherjee: Slight lag is always there because we take into consideration a lot of other factors as well while deciding our prices. It is not only steel prices, it's not directly linked or proportionately linked to that. We have other factors, international prices, the prices of our competitors, the demand appetite and the logistics where we can supply and where we cannot and all those things.

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So these are multiple variables come into play and to say that there's an absolute lag, I don't think it would be a very accurate projection of the facts. So we, we take a call every month at the earliest. This year also we'll take a call, this month also in a couple of days we'll take a call about the prices, but they would be fairly range -bound rather than having a, I don't expect a sharp increase, they would be rather range -bound.

Vikas Singh: Noted, sir. That's all from my side. Thank you for answering them and all the best for future.

Amitava Mukherjee: Thank you.

Moderator: Thank you. Next question is from the line of Siddharth Gadekar from Equirus . Pleas

e go

ahead. As there is no response, the next question is from the line of Mr. Vinit Thakur from Plus91 Asset Management. Please go ahead.

Vinit Thakur: Hi, sir. Congratulations of great set of numbers. So sir, I just needed a clarity on the other operating revenue from HR coils. Would it be a continuing effect going forward or it was just the trading effect from NMDC Steel?

Amitava Mukherjee: That I had already mentioned in the answer to the first question that it was essentially the trading of steel business was essentially a temporary measure. It's been done and dusted. We have had no transaction of that sort in Q1 as of date. We don't see any transaction happening in Q1 this year. And hopefully such transaction would be very minimal if at all it happens this year. So I think I've already answered that previously and that is that.

Vinit Thakur: Sir, what would be our capex going forward for next 2 to 3 years?

Amitava Mukherjee: This year we expect to capex of around INR6,000 crore s. That is what my own assessment is. And going forward next 2, 3 years it will be in the range of INR7,000 crores to INR10,000 crore s every year for the next 2, 3 years because you see most of the works are under execution and a couple of major works are just under award.

I think we should be able to award those major tenders worth around INR15,000 crores, INR16,000 crore s or INR20,000 crore s by the end of this month or maximum next month. So these will come into peak execution stage about next year only. So this year the guidance would be around INR6,000 crores to INR7,000 crore s. INR6,000 crore s would be more realistic.

And next year on maybe we, we should be able to touch the magic figure of INR9,000 crores to INR10,000 crore s. So the idea is that we have to spend this INR40,000 crores, INR 50,000 crore s within the next 3 years to reach our desired capacity level of 100 million ton. And we are right now completely, completely geared towards capacity expansion projects only, execution of capacity expansion projects.

Vinit Thakur: So to reach 100, would we be adding new mines or would be doing a capacity expansion in the existing ones? What would be our pathway...

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Amitava Mukherjee: Kirandul, for example, has done last year around 21 million ton. Kirandul is expected to go up to 30 million ton by the end of the decade. Bachelidi did around 18 million ton, 18, 19 million ton, that will go up to 35 million ton by the end of the decade.

And apart from that Kumaraswamy, the Karnataka sector will stabilize at 17 million ton because of regulatory issues, because of we will not, we don't expect more MPAP levels. And we got two new mines that is Deposit 4 and Deposit 10 in another 3 to 4 years which will reach peak rated capacity. So that's 7 million ton in Deposit 4 and around 10 and plus 10 in Deposit 13. So we are pretty confident of reaching 110 if not 100 million ton by the end of the decade.

Vinit Thakur: And sir, one last question. You mentioned about blended iron ore as a next potential game changer for the company. Could you just expand more on that, how and when would we be able to...

Amitava Mukherjee: Not only be a game changer for the company, it will be a game changer for the country in the way it consumes iron ore. You see worldwide what happens is that most of the iron ore that is sold is branded in the sense that specifications are absolutely adhered to. So if you are buying a let us say an RTX or a Newman High, you know exactly what FE content, exactly what silica content, exactly what alumina content, exactly what phosphorus content.

So and you can then calibrate your blast furnace for maximum efficiency for such ore. In India, it is not there. So one consignment from my mine or any other mine would be of a particular, FE is anyway still maintained within a very narrow

range, but then the silica and the alumina and the phosphorus and the other elements tend to vary much more depending on how and where I am mining.

And that's not only true for NMDC, but that's true for all the miners in the country because we don't have blending facilities because Mother Earth is Mother Earth and it will give iron ore of a particular, the idea is to store it somewhere and then mix various types of iron ore to come to an absolutely very narrow band of specifications which does not change.

And that is what you call is branded iron ore. So you have IOCJ from let us say Vale. So when you buy an IOCJ, you know exactly that this will be my FE, this will be my silica, this will be my alumina.

That is what we are now, we've studied this phenomena for the last three years. The Board has sanctioned INR3,000 crore s for the blending yard at Vizag and that will be our first output would be the, the branded iron ore from there, which I'm sure will fetch a substantial premium in the market because it increases blast furnace efficiency very substantially.

Vinit Thakur: And sir, could you explain the process of how do you achieve the blending process, like is it a special, there has to be some, I would have zero idea how would this economics of this work ?

Amitava Mukherjee: Standard process followed worldwide.

Vinit Thakur: Okay.

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Amitava Mukherjee: So Vale has huge blending yards , let us say at Malaysia in Sohar, in Malaysia and in Oman. So there's a process which is not very cumbersome. You just -- you have different stockpiles of different grade and then decide on and how that, what would be the recipe for mixing. And it is something that's done everywhere.

It is done in Australia, it is done in Malaysia, it is done in small scale at various locations in China, it is done at -- in Oman and all this. So it's something that the world already does everywhere. It's just that it was not there in India. And we are bringing that what the world does to now to India and that is why we had procured that huge parcel of land there. About a more than a third, almost a half of that land would be used for this blending yard purposes.

Vinit Thakur: Okay, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Tushar Chaudhari from Prabhudas Lilladher Private Limited. Please go ahead.

Tushar Chaudhari: Yes, good morning, sir. Congratulations on a great set of numbers and the achievements on volumes. Sir, just wanted to continue on your discussion on Deposit 14 and NMZ 1 million ton each you said next year. So all the capex which you had talked about downhill conveyor and new crushing plants at Deposit 14 and Deposit 5 . Are these both completed as of now or it will get, we will complete it by the end of this year?

Amitava Mukherjee: These Deposit 14 and NMZ additional 1 -1 would be through our existing infrastructure only.

Tushar Chaudhari: Okay.

Amitava Mukherjee: We have applied for additional EC for 1 million ton in both these mines and we expect to get them and we will be actually sweating our existing assets to achieve this. So that is without. Of course the new infrastructure that is being built for Deposit 14 and 14 NMZ and 11 and 11C, it will take another a year and a half to get completed.

Of course at that time the production capacity would increase substantially by 5 to 6 million ton. But this, this year it is by our existing asset. Deposit 5, there was a slight capacity expansion going on in one of my downhill conveyors. It is expected to end on, I think it will get commissioned in June end or July and then we can easily do 12 million ton out of that. There's only one small bottleneck which will get commissioned in this month or maybe early next month. So we are good to go for 12 in Deposit 5. Rest of it of course unless after 60

the

further increase would either be on NSL or only after the infrastructure is completed in.

Tushar Chaudhari: Completed. Right. Sir, and the pellet plants which you are, we talked about at Vizag, what is the status on that?

Amitava Mukherjee: The pellet plant at Vizag is essentially on an -- on drawing board stage. The pellet plant and the slurry pipeline will get commissioned by end of June or maybe at best in July. The 15 million ton slurry pipeline that we are building from Bachel to Nagarnar and the pellet plant at National Mineral Development Corporation Limited

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Nagarnar and the grinding mill at Bachel, this entire system would get commissioned by this month -end or maybe by around mid -July. That is what we are looking at.

They are in currently in pre -commissioning trials. Once this pre -commissioning trials are started and the heating is started, I think the mechanical completion of the plants is over. The mechanical completion of the pipeline is also over. So various pre -commissioning trials and testings are being done and then we'll go in for the commissioning I think by the month -end or something like that.

And the Vizag pellet plant , of course it is only at an ideation stage. We will build one, but first we need to sort out our, so the route of the slurry pipeline, whether it will go from Nagarnar to Vizag or whether it will go directly from Kirandul to Vizag, that's a question that we are looking at. Once that is sorted out, we'll be planning a.

Tushar Chaudhari: Okay. Sir, this KIOCL 3 million ton which we are running, right, that is running at what utilization now?

Amitava Mukherjee: Last year we did around 2.2 million ton, if I'm correct, 2.4 million ton I think we did last year.

This year we plan to do around 3 million ton. And we are trying to make again for the first time in India a DR grade pellet. We have already achieved around 66.5 million, sorry 66.5%

FE content pellet. That we have already achieved.

The idea is to get DR -grade pellets made out of there. Hopefully by Q2 we should be able to have a greater clarity on our ability to make DR grade pellets at KIOCL. We've been successful till 66.5% FE. Another half a percent FE and we are done. So that's our aim right now. But we'll do 3.3 million ton out of KIOCL.

Tushar Chaudhari: Okay. Sir, and last, lastly on customer side, are we tying up incremental plants, few of the existing customers have formed JVs and what any status over there, we will be supplying to those plants or?

Amitava Mukherjee: There's no doubt that plant usage has been a huge amount of capacity expansion in the secondary sector in the Raipur area where we are the dominant supplier. I think huge number of new plants have come in last year and, and capacities of existing plants has also been substantially increased. That's one.

I think our big customers have huge expansion plans, all our big customers with the JSW or AMNS or JSPL or now NSL and Vizag is also performing to optimal levels. And all our existing customers have very substantial expansion plans.

So I don't think demand would be ever a problem for NMDC, especially the quality of ore that we produce, simply because of the phosphorus, the low phosphorus that we have. So I don't think demand is an issue at all, even for a 100 million ton production.

Tushar Chaudhari: Right. Right. Thanks a lot, sir, and best wishes.

Amitava Mukherjee: Thank you.

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Moderator: Thank you. Next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Yes, congratulations, sir, for the very good numbers.

Amitava Mukherjee: Thank you.

Rajesh Bhandari: Yes, sir, as you explained that in 2027 we'll be coming up to 60 million tons and then end of the decade you said 100 million tons, then we are

left with 2028 and '29 and '30. Will we be able to come to 40 million ton expansion?

Amitava Mukherjee: Yes, most of these are either under execution or under the final stages of award. So Deposit 5 will go up from 12 million ton to 20 million ton. The works are already [inaudible 0: 44:17]. So I think this 40 million ton the infrastructure for that is being created and we are following this up very, very intensely. So I think going to 100 million ton by the end of the decade is something that is eminently possible.

Rajesh Bhandari: And will we find a market for 100 million tons, sir?

Amitava Mukherjee: I just answered my last question that market is never a problem for NMDC. My existing big customers who are the fine customers like JSW, like AMNS . AMNS is coming up with a 10 million ton, 7 plus 10, 17 million ton, 40 kilometers from Vizag . JSW is increasing its capacity very substantially, JSPL is doing, so, so all my big customers.

Rajesh Bhandari: But they are coming with their own mining also, sir ?

Amitava Mukherjee: It doesn't matter, but our product they will still require because their requirement is huge. Now not only they cannot meet them through their own mines and they cannot meet it only exclusively through NMDC. We have studied that, we have studied that very closely and I think that selling 100 million ton is not a big deal and especially now that we plan by that time having around 3 plus 3 plus 7, around 15 million tons of pellet making capacity at that time.

Rajesh Bhandari: No, no, that selling 100 million ton is not a problem is a very good news, sir. It's a very good news, even for the Investors and for NDMC.

Amitava Mukherjee: Our phosphorus content is 0.05. No one else in India has that. So you will always need my ore as a blend even if you have full capacity.

Rajesh Bhandari: I know NMDC very well, sir. I was working with McNally Bharat.

Amitava Mukherjee: Very nice.

Rajesh Bhandari: So, I know all the details, NMDC is one of the best iron ore companies, no doubt about it. Sir, another thing you were mentioning about blending. What exactly will we be doing, sir, and where will we be selling?

Amitava Mukherjee: Vizag gives us the double advantage of having a few very big steel plants in its vicinity, RINL , there is Ankapalli plant, then there's the Steel Exchange plant. So , it has a huge local captive

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market and also it gives us the opportunity to use coastal shipping to reach western markets

also, which we are doing today.

So, we have coastal market on the western side which is being serviced through Vizag today.

So, through Vizag I have the liberty of accessing the local market as well as the entire coastal market in India.

Rajesh Bhandari: Any chance for exports, sir?

Amitava Mukherjee: With a 30% export duty, it doesn't make too much of a sense to do that. If you have to export, you should be exporting pellets.

Rajesh Bhandari: But do we have the permission kind of a thing?

Amitava Mukherjee: We don't need any permission, you pay the duty and you do it at 30%, but it doesn't make economic sense.

Rajesh Bhandari: Yes, yes, it doesn't make economical sense. I agree, sir. Sir, I have a question on coal mines.

This coking coal one, is it in the Dhanbad area, sir?

Amitava Mukherjee: Both my mines are located 12 kilometers from each other. It is in the Hazaribagh district near Barkagaon. So, they are located 12 kilometers from each other, there's a lot of synergy ...

Rajesh Bhandari: And will this be open cast or underground?

Amitava Mukherjee: Both are open cast mines. Both Tokisud and Rohne are open cast mines.

Rajesh Bhandari: Okay, because Dhanbad, basically BCCL, is entirely underground mines ?

Amitava Mukherjee: No, no, they are all open cast mines and within three years you will have a coal top line of sales of not I

ess than INR5,000 crores to INR8,000 crore s.

Rajesh Bhandari: As you are saying open cast, that would be excellent, sir.

Amitava Mukherjee: Absolutely.

Rajesh Bhandari: The mining cost will be very low. This is very good news, sir. When will it come into production, sir?

Amitava Mukherjee: Tokisud will come into production this month, we have opened it, that's 2.3 million ton.

Rajesh Bhandari: That is a normal mine.

Amitava Mukherjee: That is a normal thermal coal, but that's still profitable. And the coking coal will start the operation, we hope to start the operation by end of Q3 because certain amount of regulatory approvals are still pending for that.

Rajesh Bhandari: You mean to say Q3 FY27?

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Moderator: Rajesh sir ...

Rajesh Bhandari: Only this last question. What will be the capacity of this, sir?

Amitava Mukherjee: What?

Rajesh Bhandari: What will be our coking coal capacity?

Amitava Mukherjee: Peak rated capacity is 8 million ton.

Rajesh Bhandari: Eight?

Amitava Mukherjee: Eight, eight, eight.

Rajesh Bhandari: Okay, very good, sir. Congratulations and all the best.

Amitava Mukherjee: Thank you, thank you.

Moderator: Thank you. Next question is from the line of Suman Kumar from Phi IlipCapital. Please go ahead.

Suman Kumar: Good afternoon, sir. My first question would pertain to, just for everyone to understand, what would be the current total EC capacity of NMDC as on date and in FY27, in this financial year, where can we look at our EC capacity by let's say FY27 exit? That would be the first question.

And second question, can we throw some color regarding the exact prospects of the Legacy of what is exactly happening in Australia and whether that gold mining that we had talked about, what is the current status and the abroad investments, the existing abroad investments?

Amitava Mukherjee: Regarding the EC capacity, you must know that there are two things in EC capacity, one is EC per se, the other is the operational aspect which is called the CTO or Consent To Operate. Now we have an EC capacity of 64.8, but a CTO of around 55.4. We have asked for an enhancement of CTO in three places to about 3.32, so we'll have a CTO of around 58.8 and which is exactly what we want to do this year.

So, if you know that in FY26, for the record and for the understanding, all our mines touch the EC capacity except one Deposit 5. At that time because we got the enhancement in deposit in EC late in the late through the year, but as on 1st April EC we have touched the EC capacity of all the mines and that is the first time that has happened for any company in India. In India, all the mines owned by a company touching EC, it has never happened in iron ore.

So we did that and this year we expect to repeat once we get the CTO of around 58.8, we expect to repeat that feat this year. So, this is a unique and a very commendable feat which has never ever happened. So, this year I'm sure that we'll be able to do it. As you know our

production as compared to last year for the first two months is around 15% higher. So, we have already touched almost 10 million tons in the first two months as against 8. something, 8.2 or something last year.

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This month itself I think we've already declared to the stock exchange I guess, so I can say this today's first, we have done 5.3 million ton against what we did 4.4 -million -ton last year. So, we are well on our way to achieve 60 million ton for the first time we have touched a 5 million ton in Q1. We have crossed 5 million ton in one month production in Q1. So, 58 would be our CTO against a EC of 64 and we I am confident that we'll touch this. Apart from NMDC would be around 1.5 million ton as I had said Deposit 4 and Deposit 13.
So

that's the game plan for this year. Regarding Legacy, we had produced as per our requirement gold for the last two years. This year the operations just broke even, but now we have curtailed our production and we are now actually going full hog on exploration and proving of further assets because we have realized that given the gold prices unless you have your own refinery, making it very profitable becomes very difficult there . So, the idea is now to prove enough resources, additional we have the additional mining leases in nearby areas which we are exploring.

Once we have enough resources, we will be we are planning to put up a small refinery there so that we can refine our own gold and make money because even after producing so much it was only at around almost around break -even level essentially because the refining costs in the market have gone very substantially up. So , we need a refinery there and for that we need instead of small volume mining, we need large volume mining for which we need to prove resources in our adjoining mining lease as well which we are doing right now.

Suman Kumar: Sir, and in terms of the job work arrangement for our pellets with KIOCL, does that continue and what are the prospects of transitioning to high -grade pellets? Can you please throw some color on that?

Amitava Mukherjee: We have already touched 66.5 grade FE, we've sold a couple of consignment on that. The idea is to come to around 67 grade FE. We will be doing, we did around 2.4 or 2.6 million ton last year. This year we'll do 3 to 3.3 million ton this year and the idea is to be able to make 67 grade pellet which is the DR grade pellet and then we'll be the first time to make it in India. We expect the current premium is around \$20 to \$30 for the DR grade pellet, that is what we are targeting to achieve that.

Suman Kumar: Thank you, sir.

Moderator: Thank you. Next question is from the line of Netra Deshpande from Mirae Asset Sharekhan . Please go ahead.

Netra Deshpande: Yes, am I audible?

Amitava Mukherjee: Yes.

Netra Deshpande: Yes, congratulations, sir, for the great set of numbers and the new launching segment of coal and the other minerals. My first question is about average domestic iron ore realization that has slightly declined 2% -- hello?

Amitava Mukherjee: Yes, please.

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Netra Deshpande: Yes, so based on the ongoing expansions and the strong order pipeline which is there, so can you please give the guidance for the EBITDA per ton and a blended iron ore realizations per ton for the FY27 on a quantified basis? About also the EBITDA per ton because.

Amitava Mukherjee: See, as I have said that the prices are going to remain range -bound. I don't think there is going to be this financial year, especially this quarter, I don't think there's to be any volatility either upside or the downside. So, this will be a range -bound movement around this time also and we expect to have to maintain our EBITDA at around 42 to 43% this year. This is our expectation.

Netra Deshpande : Okay, okay, sir. And sir, about the higher employee cost due to this government pay revisions. So, any other kind of contractions in the margins ahead that you're looking for?

Amitava Mukherjee: Sorry, I didn't understand your question. Please repeat your question.

Netra Deshpande: Yes, about the higher employee cost which is expected due to this government pay revisions in the next year. So FY27 that is going to get adjusted, so what would be the any other kind of an impact on the contractions of the margins?

Amitava Mukherjee: I think most of our employees are in non -executive cadre and their pay revision is being worked out right now, it is under the consideration of the ministry. But we always account for

the higher wages, it is already been provided for. The increased amount of wages is already

provided for in the books of accounts and so there's not going to be any large -scale effect on that because whatever has been proposed for enhancement has already been accounted for from 1/1/26 itself.

So, there's not going to be any marginal effect on that. So, when the inclusion is concerned, yes, our executive are lesser in number, it is only around about 1,100. We will be providing for that from 1st January 2027, start providing for that. I think the impact would be not very substantial. We've been able to curtail our, in fact bring down our production cost from INR1,000 odd per ton in Bailadila to around INR800 per ton this year.

And we expect to have more such efficiency gains and we expect to reduce our cost per ton even more and the effect would essentially be very marginal. It will be offset by efficiency gains.

Netra Deshpande: Okay, okay, sir. And what is the, what would be the debt level positions, like net debt positions would be for the FY27, it would be like?

Amitava Mukherjee: As of now there are no immediate plans of leveraging our balance sheet. The current visibility is that we should be able to service all our capex and acquisition requirements through internal resources. That is the visibility we have as of now. But if required going forward late this year, -- we might think in terms of leveraging it only if certain big ticket acquisitions fructify, certain big ticket global acquisitions fructify. Otherwise, I think we are fairly comfortable in terms of servicing our capex requirement and current acquisition requirements.

Netra Deshpande: Okay, okay, sir, got it. And sir, my last question, it is about environmental clearance as like expansions which are happening about the key constraint, there are a lot of projects like National Mineral Development Corporation Limited

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Bacheli -- mine. So, what would be the timeline for the receiving any approvals? So, can you have some, can we share some insights on that?

Amitava Mukherjee: These have been applied for, I think we will have them well before these expansion projects actually get completed or even get started. So, we'll have that, those in place well in time. In a mining company, you see it's a continuous process, asking for enhancement of environmental capacity and then asking for forest clearances. It's a continuous process. Sometimes you require it for dumping, sometimes you require it for excavation, sometimes you require it for others. It's a continuous process and I don't think that's a red flag as of now.

Netra Deshpande: Okay. Sir, and last is coal mine timeline, can you please expect ramp -up timeline and annual volume target for FY27 for coal mine? Can you please tell again what would be the?

Amitava Mukherjee: Tokisud is for about 1 million ton for coal. Rohne I don't think we'll go, it will the mine will start in Q3, but there will be no commercial production because there will be a lot of overburden removal etc etera. The peak rated capacity we expect to achieve in one and a half years to two years maximum. Tokisud it will be 2.3 million ton and Rohne it will be 8 million ton.

Netra Deshpande: Okay. Thank you so much, sir.

Amitava Mukherjee: Thank you.

Moderator: Thank you. Due to time constraint, that was the last question of the day. I now hand the conference over to management for closing comments.

Amitava Mukherjee: Yes, I think the Director Finance, Mr. Anurag Kapil, would make the closing comments. I might have missed something which he would like to add and I'd request Kapil to please give the closing comments.

Anurag Kapil: As you've already heard that the company NMDC is on that path of 100 million ton with proper planning and in all probabilities the all the questions have been answered very, very satisfactorily. The performance in all the things like production, revenue from operation, profit before tax, profit after

tax and sales have surpassed all the expectations this time. I really thank all the investors for the productive questions and I hope that all of them have been answered satisfactorily.

I have nothing more to add on that because almost everything is covered. Our performance is covered, our future plans are covered, our foreign acquisitions are covered and our diversification in both coal and other minerals is also covered. Thank you.

Moderator: Thank you. On behalf of Phillip Capital Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.